

Options Trading Interview Q&A — Experienced Level

Experienced-Level NSE F&O Interview Q&A with Deep Answers (India, 2026)

Greeks, volatility, strategy, risk, expiry/STT, India F&O, events, behavioral & brain-teasers

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How to Use This & Options-Interview Strategy

This bank is built for one job: walking into an *experienced-level* NSE F&O options seat — prop desk, hedge fund, market-maker, or a serious HNI/family-office trading role — in 2026 and sounding like someone who has actually run a book, not someone who read a textbook. Use it as a rehearsal partner, not a script. Read a chapter, then close it and answer out loud. If you can't hit the "*say it crisply*" line from memory, you don't own it yet.

What senior interviewers are actually probing for

At a junior interview, they check whether you know what a call option is. At the experienced level, the definitions are assumed — they are hunting for three things, and every question is a proxy for one of them:

1. **Do you think in Greeks and vol, not in direction?** A trader who talks only about "market will go up so I bought calls" is a punter. A trader who says "I'm long the 15-delta wing because skew is rich into the event and I want convexity, funded by short gamma at the body" is a professional. The interviewer wants to hear the *second language* — delta, gamma, vega, theta, skew, term structure — used naturally, as the unit you actually think in.
2. **Do you have a risk framework, or do you have a story?** Real desks blow up on the position nobody sized. They will push you: "*What's your max loss? Where's your stop? What happens to this book if Bank Nifty gaps 4% overnight and IV doubles?*" The right candidate has *numbers* — position limits, greek limits, a scenario grid, a stop discipline — and can produce them without flinching. The wrong candidate says "I'd manage it."
3. **Have you actually held a position through pain?** This is the one you cannot fake with theory. They want the scar tissue: the trade where you were short gamma into an RBI policy and got run over, what the P&L did intraday, what you *did* — cut, hedged, rolled, or froze — and what you changed afterwards. Experience is measured in losses survived, not strategies memorized.

How to structure every answer

Lead with the punchline, then the reasoning, then a concrete example. Interviewers are pattern-matching for clarity of thought under time pressure — the same skill that keeps you alive when the tape is moving.

- **Punchline first (one sentence).** "Short gamma means I lose on big moves and get paid to sit still." Don't build up to it; state the conclusion, then defend it.
- **Reasoning (the mechanism).** Explain *why* in cause-and-effect terms — what the greek does, how the P&L accrues, where the risk hides.
- **A real number.** "On a 200-lot Nifty short straddle at 24,000, a 300-point gap is roughly ₹X of gamma loss before I even touch vega." Numbers signal you've lived it. Use real strikes, real-ish premiums, real lot sizes.
- **The management nuance.** Close with how a *seasoned* trader handles it — the roll, the delta-hedge cadence, the sizing rule. This is what separates you from a bright graduate.

Keep it to 45–90 seconds. If they want more, they'll dig — and the follow-up is where you win.

Red flags that instantly expose a fake

Interviewers listen for tells. Avoid these, and listen for them if you're ever on the other side of the table:

- **Confusing IV with direction.** "IV is high so the market will fall." IV is the *price of movement*, not its sign. High IV means the market expects a big move *either way*. Saying otherwise ends the interview in their head.
- **No risk framework.** If your answer to "how do you size?" is vibes, you're out. Even a simple, honest rule ("I risk max 1% of capital per structure, and I cap net vega at ₹X per point of IV") beats hand-waving.
- **Never having taken a real loss.** Anyone who describes only winners is lying or hasn't traded size. A clean, specific story about a loss — and the lesson — builds *more* credibility than a win.
- **Greeks as trivia, not tools.** Reciting the BSM formula but unable to say what vanna does to your book around an event. They don't want the formula; they want the *consequence*.
- **Ignoring India microstructure.** Talking pure CBOE theory with no mention of STT on ITM exercise, physical settlement of stock options, SPAN margin, or weekly-expiry gamma. It signals you've never actually cleared a trade here.

The honesty note (read this twice)

Answer truthfully about *your* real F&O experience. If you've traded a modest personal book, say so plainly and let the *depth of your reasoning* carry the credibility — that is what an experienced interviewer actually weighs. Do **not** invent a P&L, a fund, or a track record; desk heads have seen a thousand candidates and smell a fabricated number instantly, and one caught lie voids everything else you said. It is completely legitimate to say "I haven't run institutional size, but here's exactly how I'd manage this risk and why" — demonstrated understanding of mechanics and risk is the asset you're selling. Your edge in this interview is that you genuinely *understand* options, not that you claim a history you don't have.

Night-before cram checklist (one page)

Contract specs (verify current — SEBI/NSE revise these): - Nifty 50 lot size **75**; Bank Nifty lot **35** (verify — revised in the 2024–25 cycle). FinNifty, Midcap, Sensex have their own lots. - Weekly expiries: verify the current schedule — SEBI moved to **one weekly expiry per exchange** (Nifty on NSE) plus monthlies. Do not assume the old multi-weekly grid. - Index options: **cash-settled**. Single-stock options: **physically settled** on expiry — you deliver/take shares.

Costs & taxes (2026): - **STT on options: ~0.10% of premium on the sell side historically → hiked to ₹0.10% and set to ~0.15% of premium from the 2026 cycle (verify exact rate/effective date).** - **The ITM-exercise STT trap:** STT on *exercised* ITM options is charged on **intrinsic/settlement value (notional)**, not premium — far larger. Never let a deep-ITM option auto-exercise if you can square off; letting it exercise can cost multiples of the premium in STT. - Exchange txn charges, GST (18% on brokerage+txn), stamp duty, SEBI turnover fee.

Margins: - **SPAN + Exposure** margin on shorts; SPAN is scenario-based (worst of ~16 risk arrays). Long options: premium only. Margin benefit for hedged/spread positions.

Greeks & numbers to have cold: - ATM option delta ≈ 0.5 ; delta $\approx$ risk-neutral P(ITM) proxy. - ATM straddle premium $\approx 0.8 \times S \times \sigma \times \sqrt{T}$ → back out expected move. - Gamma and theta peak **ATM**; both explode

into expiry. Long gamma = long theta bill. - Vega highest for **ATM, longer-dated**; per 1 vol-point. - Put-call parity: **$C - P = S - K \cdot e^{-rT}$** . - India VIX: annualized 30-day Nifty IV; daily expected move $\approx VIX/\sqrt{252}$.

Have ready: your one real loss story (what, why, what you did, what you changed), your sizing rule, and your one-line view on current Nifty/Bank Nifty IV regime.

The Greeks I: Delta & Gamma (Deep)

Delta and gamma are the first two things a desk head will pressure-test, because they reveal whether you think in *positions* or in *risk*. This chapter drills the mechanics, the trader's feel, and the India-specific management nuance.

Q1. What is delta, really — give me all three interpretations and when you use each. - *Interviewer is testing:* whether you hold delta as one number or as three distinct mental tools. - *Deep answer:* Delta is three things at once, and a seasoned trader switches between them by context. **One, hedge ratio:** $\partial \text{Option} / \partial \text{Spot}$ — how many futures/shares neutralize the position. A 0.40-delta Nifty call on 75 lot size means 30 "spot units" of exposure; to hedge one lot I short ~ 0.40 of a futures lot equivalent. **Two, probability-ITM proxy:** under risk-neutral pricing, an option's delta is roughly the probability it expires ITM (call delta $\approx N(d1)$, and $N(d2)$ is the actual RN probability — close for near-ATM, diverges in the wings). So a 15-delta OTM put is the market saying $\sim 15\%$ chance of finishing there — I use this to sanity-check whether a tail hedge is cheap. **Three, equivalent position:** my *net rupee delta* tells me how the book moves per point of Nifty. When someone asks "how long are you?" I answer in delta, not lots. The subtlety: delta itself moves with spot (that's gamma), decays toward 0 or 1 with time for OTM/ITM, and shifts with vol — higher IV pulls every delta toward 0.5 because it makes ITM/OTM less certain. I never treat delta as static; I treat it as a snapshot of a moving surface. - *Say it crisply:* Delta is my hedge ratio, my rough probability of finishing ITM, and my rupee exposure per point — same number, three lenses. - *Follow-up they may ask:* "Which interpretation breaks down first?" The probability proxy — it's $N(d2)$ not $N(d1)$, and skew makes market-implied and true probabilities diverge in the wings.

Q2. How does an increase in implied volatility change the delta of an OTM option? - *Interviewer is testing:* whether you understand delta as a function of the whole surface, not just spot. - *Deep answer:* Higher IV pushes deltas *toward* 0.5. An OTM call at, say, 0.20 delta rises toward 0.30–0.35 as IV jumps, because higher vol makes it more plausible the option finishes ITM — the market can no longer be confident it stays out. Symmetrically, an ITM option's delta falls from 0.80 toward 0.65. Mechanically, delta = $N(d1)$, and $d1$ has $\sigma\sqrt{T}$ in the denominator of the moneyness term and adds a $\sigma\sqrt{T}/2$ drift — raising σ compresses the distribution of $d1$ toward zero, so $N(d1)$ drifts to 0.5. Practical consequence on a real desk: when India VIX spikes into an event, my OTM wings suddenly carry *more* delta than my hedge assumed — I get "delta bleed" from vega. If I bought cheap 10-delta puts as a crash hedge and vol doubles, those puts are now maybe 18-delta and hedging more than I intended; conversely my short OTM calls have grown teeth. I re-mark deltas at the *current* IV, never at yesterday's, especially around RBI policy or budget day. - *Say it crisply:* Rising IV drags every delta toward 0.5 — OTM options get more delta, ITM options get less — so my hedge has to be re-struck at live vol. - *Follow-up they may ask:* "So vol changes your delta hedge?" Yes — that cross-effect is vanna, and it's why I re-hedge after big IV moves, not just big spot moves.

Q3. Walk me through delta-hedging a short option position in practice on Nifty. - *Interviewer is testing:* real mechanics, hedge cadence, and cost awareness — not the textbook. - *Deep answer:* Say I've sold 40 lots of the 24,000 ATM Nifty call at ~ 0.50 delta. My net delta is short $40 \times 75 \times 0.50 =$ short 1,500 deltas. To neutralize I buy Nifty futures worth $\sim 1,500$ deltas = 20 lots of futures ($20 \times 75 = 1,500$). Now I'm flat delta but **short gamma** — as Nifty rises, the call's delta grows past 0.50, my short-delta deepens, and I must *buy* more futures at higher prices; as it falls I sell futures at lower prices. That "buy high, sell low" re-hedging is the gamma bill I pay for the theta I collect. The art is *cadence*: hedge too often and transaction costs (STT, brokerage, slippage) eat you; too rarely and a gap leaves you exposed. I typically band-hedge — let delta drift within a tolerance (say ± 300 –400 deltas) and only re-hedge at the band edge, wider bands when

realized vol is low and premium collection is the point. Overnight I tighten because Nifty can gap on SGX Nifty/GIFT Nifty and US cues. Near expiry I hedge more nervously because gamma explodes. Every re-hedge is a real cost in India — futures incur STT and exchange charges — so I budget hedging cost against theta collected before I even put the trade on. - *Say it crisply*: I flatten delta with futures, then re-hedge in bands — buying rallies and selling dips — and that gamma-scalp cost is exactly what my theta has to beat. - *Follow-up they may ask*: "What sets your band width?" Realized vs implied vol and hedging cost — wide bands when I'm being paid a lot of theta relative to how much the market is actually moving.

Q4. What is rupee (dollar) delta and why do you manage the book in it? - *Interviewer is testing*: whether you aggregate risk across strikes/underlyings correctly. - *Deep answer*: Rupee delta is delta translated into money per unit move of the underlying — net delta $\times$ lot size $\times$ point value, summed across every strike. A book with +2,000 Nifty deltas makes/loses ₹2,000 per Nifty point (since Nifty point value = ₹1 per index point per unit, $\times 75$ per lot). Why manage in it: raw option counts are meaningless — 100 lots of 5-delta puts and 10 lots of 50-delta puts carry the *same* directional risk, and only rupee delta reveals that. Across a multi-name book (Nifty, Bank Nifty, Reliance, HDFC Bank options) you *can't* net raw deltas because a Bank Nifty point $\neq$ a Nifty point; you convert everything to rupees to see true net exposure. On my desk the first line of the risk sheet is net rupee delta by underlying and aggregate — that's the "how long am I in money" number that a 4% overnight gap will multiply. It's also how I set limits: a delta limit of, say, ₹5 lakh per Nifty point means a 200-point gap = ₹1 crore swing, which I size against capital. - *Say it crisply*: Rupee delta is money-per-point; it's the only way to net risk across strikes and underlyings and the number I actually set limits on. - *Follow-up they may ask*: "How do you net Nifty and Bank Nifty delta?" You don't net them directly — convert each to rupee delta, and even then treat them as correlated-but-separate risks, beta-adjusting only for a rough overlay.

Q5. What's the delta of a bull call spread, and how does it behave into expiry? - *Interviewer is testing*: combining greeks across legs and understanding pin behavior. - *Deep answer*: A bull call spread (long lower strike K_1 , short higher K_2) has net delta = $\delta(K_1) - \delta(K_2)$, always positive but *bounded*. Say Nifty 24,000, long 24,000 call (0.50 δ), short 24,300 call (0.35 δ) $\rightarrow$ net 0.15 delta. The beauty and the trap is how it evolves: if Nifty rallies to 24,300, the long is ~ 0.65 and short ~ 0.50 , net still ~ 0.15 — the spread's delta stays modest because the short leg fights you. Into expiry the profile sharpens brutally: if both legs are OTM, delta collapses toward 0; if spot sits *between* the strikes near expiry, gamma is violent — a small move swings you between the legs. The classic pain is being short the upper strike and having Nifty pin *right at* K_2 on weekly expiry: your short call's delta whipsaws between 0 and 1 in the last hour ("pin risk"), and for stock options that means uncertainty over physical delivery. I manage spreads into expiry by squaring off before the last hour rather than gambling on the pin, especially on single stocks where assignment means shares and STT-on-exercise. - *Say it crisply*: A bull call spread has small, bounded positive delta because the short leg caps it — but if spot pins the short strike into expiry, gamma and pin risk go wild and I close early. - *Follow-up they may ask*: "Why close early on stock spreads specifically?" Physical settlement — an ITM short leg means delivering shares plus STT charged on notional, so I never carry pin risk on stocks to the close.

Q6. Contrast the *feel* of being long gamma versus short gamma. - *Interviewer is testing*: lived experience, not the definition. - *Deep answer*: Long gamma *feels good on big days and bleeds on quiet ones*. When I'm long gamma (long options, e.g. a long straddle), every big move makes my delta move *in my favor* — as spot rises my delta grows longer, as it falls my delta grows shorter, so I'm always positioned toward the move. I actively harvest this by scalping: buy dips, sell rips, locking in the convexity. The cost is theta — I wake up every morning poorer if nothing moved. Short gamma is the mirror and psychologically far worse: I collect theta daily (feels like easy money — that's the seduction), but every large move hurts *more* the further it

goes, because my delta moves *against* me. Short gamma is being **short surprise** — I'm implicitly betting the world stays calm, and I get paid a small amount to take unlimited tail pain. The tell of an experienced trader is that they respect short gamma: I size it so a 3-sigma gap is survivable, I know exactly where my delta blows out, and I never let the daily theta drip lull me. The quiet weeks collecting premium are precisely when the position is building the risk that hurts. - *Say it crisply*: Long gamma bleeds theta but loves big moves; short gamma drips easy premium but is short surprise — it hurts more the further the market goes. - *Follow-up they may ask*: "So when do you want to be short gamma?" When implied vol is rich versus what I expect realized to be, sized small enough that a fat-tail gap doesn't end me.

Q7. Explain gamma scalping with a concrete Nifty example. - *Interviewer is testing*: whether you can actually run a long-gamma book profitably. - *Deep answer*: Gamma scalping monetizes realized volatility against the theta you paid. Setup: buy a Nifty ATM straddle at 24,000 — long call + long put, net delta ≈ 0 , long gamma, paying theta. As Nifty moves I stay delta-neutral by trading futures *against* the drift: Nifty rises to 24,100, my straddle delta is now +30 (say), so I **sell** futures to flatten — locking a gain. Nifty falls back to 24,000, delta goes to ~ -15 , so I **buy** futures — buying low after selling high. Each round trip banks a small realized-vol profit. Over the day, if the sum of my scalps exceeds the theta decay, I win. The equation every long-gamma trader lives by: $P\&L \approx \frac{1}{2} \times \Gamma \times (\Delta S)^2 - \Theta \times \Delta t$. I profit when realized variance beats implied variance — i.e. when the market moves *more* than the option price assumed. So gamma scalping is really a bet that realized > implied vol. In India I watch two frictions hard: transaction costs on every futures scalp (STT, slippage in fast markets) and the fact that weekly ATM gamma is enormous but so is theta, so the move has to be sharp to pay. I scalp more aggressively intraday around 9:15–10:30 and the close when Nifty actually moves. - *Say it crisply*: I stay delta-flat on a long straddle and trade futures against every wiggle — selling rallies, buying dips — and if my scalps beat the theta I paid, realized vol beat implied and I win. - *Follow-up they may ask*: "What kills a gamma scalp?" A quiet, grinding market — theta bleeds daily and there's no realized move to harvest, so implied was too rich for what showed up.

Q8. Where is gamma largest, and what does that mean for weekly expiry risk in India? - *Interviewer is testing*: understanding of the gamma surface and India's weekly-expiry regime. - *Deep answer*: Gamma peaks **at-the-money** and **explodes as expiry approaches** — for a near-expiry ATM option gamma goes hyperbolic, because delta has to transition from ~ 0 to ~ 1 (or 0.5 to either extreme) over a vanishing time window, so tiny spot moves flip the option's character. Away from ATM gamma is small; deep ITM/OTM options are nearly linear. The India angle: with weekly Nifty expiries, there is a fresh burst of monstrous ATM gamma every single week, concentrated on expiry day. On Thursday/expiry afternoon, ATM weekly options have gamma so high that market-makers who are short those options must re-hedge frantically — this is the mechanism behind expiry-day "pinning" (spot gets magnetized to the max-open-interest strike) and violent last-hour whipsaws. If I'm short weekly ATM straddles for the theta, expiry day is where a 150-point Nifty swing in an hour can erase a week's premium. Management: I cut short-gamma weekly positions *before* the final session, or I keep them tiny, or I flip to defined-risk spreads (iron flies/condors) so my gamma is capped. Long-gamma expiry-day scalping, conversely, can be extremely profitable *if* the market actually moves. - *Say it crisply*: Gamma is biggest ATM and blows up into expiry — so India's weekly ATM options carry violent expiry-day gamma, which drives pinning and forces me to either shrink or define-risk my short-gamma books before the close. - *Follow-up they may ask*: "What's pinning?" Dealers short huge expiry gamma hedge by buying dips and selling rips right at the max-OI strike, which mechanically pins spot there into settlement.

Q9. Explain the gamma-theta tradeoff. Can you ever have one without the other? - *Interviewer is testing*: whether you grasp that they're two sides of one coin. - *Deep answer*: Gamma and theta are inseparable and *opposite in sign* for a given option — you cannot buy convexity without paying rent. Long options = long

gamma *and* short theta (positive gamma, negative theta); short options = short gamma *and* long theta. Mathematically they're linked through the BSM PDE: for a delta-hedged position, $\theta \approx -\frac{1}{2} \sigma^2 S^2 \Gamma$ (the "theta pays for gamma" identity). This says the theta you bleed each day is exactly the fair price of the gamma you hold, *assuming* the market realizes vol equal to implied. So the tradeoff is never free — the real question is always **realized vs implied vol**. If I'm long gamma and the market realizes *more* vol than implied, my gamma scalps out-earn my theta bleed and I win; if it realizes *less*, theta wins and I lose. Short gamma is the reverse bet. You can *tilt* the ratio — a calendar spread is long vega but can be near-flat gamma; buying wings vs body reshapes where the gamma sits — but you can't own positive gamma with positive theta simultaneously on the same option. Any structure claiming "free theta" is just short gamma somewhere, i.e. short a tail you haven't priced. - *Say it crisply*: Gamma and theta are the same trade with opposite signs — theta is the rent on gamma, and whether the rent is worth it comes down entirely to realized versus implied vol. - *Follow-up they may ask*: "So a positive-theta strategy is always...?" Short gamma somewhere — you're being paid to be short a move, and the only question is whether that move shows up.

Q10. You're short gamma into an RBI policy announcement. Walk me through your risk. - *Interviewer is testing*: event risk management and scar tissue. - *Deep answer*: Short gamma into a scheduled event is short surprise at the worst possible moment — the event is *designed* to produce a jump, and jumps are exactly what short gamma can't hedge. Concretely, say I'm short Bank Nifty weekly straddles collecting fat premium because IV is elevated pre-policy. Two dangers: (1) the **gap** — RBI surprises on rates/stance, Bank Nifty jumps 800 points on the announcement, and my short gamma means my delta blows out violently against me faster than I can hedge; there's no re-hedging a discontinuous move. (2) The **vol crush** cuts the other way and is my *friend* here — post-announcement IV collapses, helping my short vega. So the trade is really "I'm betting the realized move is smaller than the priced-in move, and I'm getting paid the IV premium for that." Management: I size so the *worst historical policy-day move* (Bank Nifty has done 3–5% intraday on shock policies) is survivable within my loss limit; I often convert to a defined-risk iron fly so my gamma/tail is capped by long wings; I pre-place the hedge or reduce before the print; and I never hold naked short options through an event in size. The premium looks like free money right up until the one meeting it isn't — that's the trade that teaches everyone this lesson once. - *Say it crisply*: Short gamma into RBI is short the jump the event is built to create — I cap the tail with long wings, size to survive a 4–5% Bank Nifty shock, and take the IV-crush profit if the move underdelivers. - *Follow-up they may ask*: "Why not just be long the straddle then?" Because IV is usually pumped pre-event — you often pay so much for the straddle that even a decent move doesn't cover it; the edge is in whether priced-in over/under-states realized.

Q11. How does gamma interact with a stock option's physical settlement in India? - *Interviewer is testing*: India-specific expiry mechanics that catch out theory-only candidates. - *Deep answer*: This is a pure-India trap that index-only traders miss. Single-stock options in India are **physically settled** — if a stock option is ITM at expiry, it's exercised into actual shares: short a call, you deliver stock; short a put, you take delivery and pay full cash. Now layer gamma: on expiry day an ATM stock option has explosive gamma, and if the stock oscillates around the strike in the final hour, your option flickers between ITM and OTM — meaning you don't *know* until settlement whether you'll be assigned a large physical position. Getting assigned means suddenly needing the full delivery margin / cash for lakhs of rupees of shares overnight, plus **STT charged on the entire notional** of the exercised contract (the ITM-exercise STT trap), which dwarfs the premium. I've seen traders left holding a delivery obligation they never intended because they held a near-ATM short stock option to the close and it pinned ITM. Management is strict: I square off single-stock options *before* the last hour of expiry — never carry ATM/near-ATM stock options into settlement — and if I want expiry exposure I use index options which are cash-settled and carry no delivery or notional-STT risk.

The gamma that's just P&L noise on Nifty becomes a physical-delivery and tax event on stocks. - *Say it crisply*: On expiry day stock-option gamma is a delivery landmine — pin near the strike and you're physically assigned shares plus STT on full notional, so I close single-stock options before the close and keep expiry-day gamma in cash-settled index options. - *Follow-up they may ask*: "What's the STT trap exactly?" STT on *exercised* ITM options is levied on intrinsic/settlement notional, not premium — often many times the premium — so letting a deep-ITM option auto-exercise instead of squaring off is a costly mistake.

The Greeks II: Theta, Vega, Rho & Second-Order

Theta pays the bills or eats them; vega is where books actually blow up; rho is minor in India but not zero; and the second-order greeks are what separate a trader who manages a book from one who manages a position. This chapter goes deep on all four.

Q1. Describe the theta decay curve. Why isn't decay linear? - *Interviewer is testing:* whether you know decay accelerates and why. - *Deep answer:* Time value doesn't bleed evenly — for an ATM option it decays roughly with $\sqrt{T}$, so the *rate* of decay accelerates as expiry approaches, going near-vertical in the final days. An ATM option loses a small slice of its time value each day when far-dated, but in the last week the daily theta balloons, and on expiry day the remaining extrinsic can evaporate in hours. Intuition: time value is the price of the remaining uncertainty, and uncertainty shrinks proportional to $\sqrt{\text{time left}}$, so halving the time doesn't halve the value — it removes only ~30%, meaning the back-loaded chunk falls off fast at the end. The trader's consequence: as a *seller*, the last few days are where I earn the most theta per day — but that's also exactly where gamma is largest, so I'm collecting the fat theta precisely when a move hurts most (the gamma-theta identity). As a *buyer*, I avoid holding near-expiry ATM options for a directional view because theta is savage; I'd rather buy time. In India's weekly cycle this curve resets every week, so the steep back-end of decay is a recurring Wednesday-Thursdays phenomenon I structure around. - *Say it crisply:* ATM theta decays with the square root of time, so it accelerates into expiry — the last days pay sellers the most per day, but that's also peak gamma, so the rich theta and the sharp risk arrive together. - *Follow-up they may ask:* "Does OTM decay the same way?" No — deep OTM time value is smaller and can actually decay more linearly or even peak mid-life; the sharp accelerating curve is an ATM phenomenon.

Q2. Contrast theta decay for ATM versus deep-OTM options. - *Interviewer is testing:* nuance that the "options decay fastest at expiry" cliché misses. - *Deep answer:* The cliché is only true for ATM options. **ATM:** theta is largest in absolute terms and accelerates into expiry ($\sqrt{T}$ curve), because ATM options carry the most extrinsic value to lose and their fate is most uncertain until the very end. **Deep OTM:** the story is different — a far-OTM option has little time value to begin with, and its theta is small and can decay more steadily; some deep-OTM options actually see their theta *peak well before* expiry and then flatten, because once they're clearly going to expire worthless, there's little value left to decay day-over-day. **Deep ITM:** almost all value is intrinsic, so theta is tiny — it behaves like the underlying. Practical use: if I want to *sell* theta efficiently, ATM/near-ATM gives the most decay but the most gamma risk; selling OTM gives less theta but a wider margin for error before the strike is threatened. When I structure a premium-selling book I'm consciously trading theta yield against gamma/tail — ATM strangles harvest more decay but are far more sensitive to a surprise than OTM strangles. - *Say it crisply:* ATM theta is biggest and accelerates into expiry; deep-OTM theta is small and can peak early and flatten — so "decay is fastest near expiry" is really only an ATM statement. - *Follow-up they may ask:* "So where do you sell for income?" Slightly OTM — enough theta to be worth it, enough distance that normal noise doesn't threaten the strike, and I size the tail.

Q3. What is weekend theta and how do you handle it? - *Interviewer is testing:* practical calendar awareness that only real traders think about. - *Deep answer:* Options decay on calendar time, but the market is only open on trading days — so the ~3 days of theta over a weekend (Fri close to Mon open) get *priced in* somewhere. Two schools, and the market blends them: pure BSM says Friday should lose three days of time value, but if it did, buyers would dump options Friday and repurchase Monday. In practice market-makers "bleed" the weekend decay gradually across Thursday and Friday, marking implied vol down slightly so the option doesn't gap lower on Monday's open. As a *seller*, I like holding short premium over a weekend/long holiday because I collect multiple days of theta for one day of gamma risk — but I'm aware the market has

partly pre-charged that decay, so it's not free, and a weekend can also deliver a gap (global news over the weekend) that my short gamma can't hedge. Around long holidays (Diwali, multiple market holidays), the accumulated theta is larger and I explicitly factor it: sell into the holiday to bank the calendar decay, but reduce size because any gap on reopening is unhedgeable. It's a recurring small edge if managed, a recurring small trap if the weekend brings a shock. - *Say it crisply:* Weekends carry three days of calendar decay that the market bleeds in across Thursday-Friday — I like being short premium into them to bank theta, but I size down because a weekend gap is unhedgeable. - *Follow-up they may ask:* "How does the market avoid a Monday IV gap?" Dealers quietly mark IV down through Friday so the option's price glides rather than jumps when the clock 'skips' the weekend.

Q4. How does vega vary across strikes and expiries? - *Interviewer is testing:* whether you understand the vega surface, the core of a vol book. - *Deep answer:* Vega — sensitivity to a 1-point change in IV — is largest for **ATM** options and for **longer-dated** options. Across strikes: ATM has peak vega; it falls off symmetrically into the wings (deep ITM/OTM options barely respond to vol because their fate is nearly decided). Across expiries: vega scales roughly with $\sqrt{T}$, so a 3-month option has far more vega than a weekly — long-dated options are the vol instruments, weeklies are the gamma instruments. This split is fundamental to how I run a book: if I want a *pure vol view* (I think IV is too low ahead of results season), I express it in longer-dated ATM options to load vega with minimal gamma noise; if I want *realized-vol/movement*, I use weeklies for gamma with less vega drag. The surface also isn't flat — skew means OTM puts carry a vol premium, so their *effective* vega exposure to a skew shift matters. A real vol book is managed by **vega buckets** across the term structure: I might be long 1-month vega and short 3-month vega (a term-structure trade) with near-zero net vega but a strong view on the *shape* of the curve. Netting all vega to one number hides that. - *Say it crisply:* Vega peaks ATM and grows with the square root of time, so long-dated ATM options are my vol instruments and weeklies are my gamma instruments — and I manage vega bucketed across the term structure, not as one number. - *Follow-up they may ask:* "Why bucket vega by expiry?" Because front and back vol move differently — a spike is usually front-loaded — so a book flat on total vega can be very exposed to a term-structure twist.

Q5. How do you think about vega risk in a whole book, not a single option? - *Interviewer is testing:* portfolio-level vol risk management. - *Deep answer:* At book level, net vega tells me my P&L per 1-point move in the vol surface — but the naive net number is dangerous because it assumes a *parallel* shift, which never happens. Vol moves by term structure (front spikes more than back), by skew (puts bid in a selloff), and by underlying (Nifty vs Bank Nifty IV don't move 1:1). So I decompose: **vega by expiry bucket** (weekly/monthly/quarterly), **skew exposure** (am I long or short the wings vs the body), and **cross-underlying vega**. A book can show "net vega ≈ 0 " yet be massively short front-month vega and long back-month — a calendar bet that gets crushed if the front spikes on a shock. I also stress vega jointly with spot, because in India a Nifty selloff *raises* IV (negative spot-vol correlation) — so my short-vega and short-delta risks compound in a crash. My risk sheet carries a scenario grid: spot down 3% *and* VIX up 5 points simultaneously, which is the realistic joint shock, not each in isolation. That joint scenario is where books that looked balanced discover they were long correlation. - *Say it crisply:* I never trust net vega — I bucket it by expiry, split out skew, and stress it jointly with spot, because in a selloff spot drops and vol spikes together and those exposures compound. - *Follow-up they may ask:* "What's the single most dangerous vega position?" Short front-month vega/gamma in size — one gap event spikes front vol and realized vol at once and hits you on both greeks.

Q6. Vega versus gamma — they both love volatility, so how are they different? - *Interviewer is testing:* the classic confusion between realized and implied vol exposure. - *Deep answer:* This is the distinction that

separates real vol traders. **Gamma is exposure to realized volatility** — actual movement in the underlying; you monetize it by re-hedging (gamma scalping), and it pays off *as the market moves*, right now, regardless of what IV does. **Vega is exposure to implied volatility** — the market's *price* of future movement; it pays off when the option's IV re-rates, whether or not the underlying has moved yet. You can win on one and lose on the other simultaneously: buy a long-dated straddle before an event, IV rises (vega gain) but the underlying sits still (gamma/theta bleed) — net could be positive from vega alone. Or, short-dated: the market moves violently (gamma gain) but IV was already high and crushes post-event (vega loss). Time and strike separate them: **near-expiry ATM = mostly gamma, little vega; long-dated ATM = mostly vega, little gamma**. So when I choose an expiry I'm choosing which vol I want exposure to. If my thesis is "the market will *move*," I buy gamma (weeklies). If my thesis is "the *price* of vol is wrong," I trade vega (longer-dated). Confusing the two — buying weeklies to express a "vol is cheap" view — means paying enormous theta for almost no vega and losing even if you're right. - *Say it crisply*: Gamma is realized-vol exposure you harvest by re-hedging as the market moves; vega is implied-vol exposure that pays when IV re-rates — near-expiry is gamma, long-dated is vega, and you must trade the right one for your thesis. - *Follow-up they may ask*: "I think vol is underpriced but the market's quiet — what do I buy?" Long-dated options for vega — weeklies would just bleed theta while you wait for IV to re-rate.

Q7. Why is rho minor in India but not zero? - *Interviewer is testing*: whether you dismiss rho entirely (wrong) or place it correctly. - *Deep answer*: Rho — sensitivity to interest rates — is the smallest greek for the products most Indian traders touch, because those are dominated by short-dated index options where the discounting effect over a few days/weeks is tiny. A weekly Nifty option's value barely moves if repo shifts 25 bps, so on a weekly-gamma book rho is noise. But it's *not* zero, and it matters in three places: (1) **long-dated options** — LEAPS-style or multi-month positions have real rho because e^{-rT} discounting bites over a year; (2) **put-call parity and the cost of carry** — the forward embedded in option prices depends on rates, so the *relationship* between calls and puts (and futures basis) is a rate function, which matters for parity/box arbitrage and for pricing synthetics; (3) **the financing of the position itself** — margin funding cost, the borrow on stock for physical-settlement hedges, and the futures basis are all rate-driven, and in a high-rate regime that carry is a real P&L line even if "rho" on the option screen looks small. So I'd tell an interviewer: rho is negligible for my weekly trading greeks, but rates live in my *carry and parity* math, and I'd never say it's zero — that would be sloppy. - *Say it crisply*: Rho is negligible on short-dated index options that dominate Indian trading, but it's real in long-dated options and it lives inside carry, futures basis, and put-call parity — so minor, not zero. - *Follow-up they may ask*: "Where would rho actually bite you?" A long-dated position or a box-spread/parity arb, where the discounting and financing rate directly set fair value.

Q8. Explain vanna and why it matters around an event. - *Interviewer is testing*: second-order greek fluency and real book management. - *Deep answer*: Vanna is the cross-sensitivity $\partial\Delta/\partial\sigma$ (equivalently $\partial\text{Vega}/\partial\text{Spot}$) — how your delta changes when *implied vol* moves, or how your vega changes when *spot* moves. It matters enormously in India because of the strong **negative spot-vol correlation**: when Nifty falls, IV rises. If I hold OTM puts as a hedge, a selloff *both* moves spot toward them *and* raises their IV, which fattens their delta faster than spot alone would — my hedge grows more potent exactly when I need it (good if long puts, painful if short them). Around events, vanna is what makes a delta-hedge unstable: I can be delta-neutral at current vol, but the moment IV jumps on the announcement, my delta is no longer neutral — the vol move *re-deltas* my book even before spot moves. Desks that only hedge for spot get caught by this. Concretely, if I'm short OTM Nifty puts (short vanna in the wing) and the market gaps down with an IV spike, my delta blows out faster than a pure-gamma calculation predicts. Management: around scheduled events I re-mark deltas at a *stressed* vol, not the current one, and I keep vanna in mind when I hold

skew positions — being short the put wing is a short-vanna position that bites hardest in exactly the crash scenario. - *Say it crisply*: Vanna is how vol changes your delta — and with India's negative spot-vol correlation, a selloff spikes IV and re-deltas your book before spot even settles, so around events I re-hedge at stressed vol, not spot vol. - *Follow-up they may ask*: "So a delta-neutral book isn't neutral in a crash?" Right — vanna means the IV spike alone shifts your delta, so 'neutral at today's vol' can be very long/short once vol moves.

Q9. What is charm, and when have you had to care about it? - *Interviewer is testing*: awareness of delta decay over time — an overnight/weekend management detail. - *Deep answer*: Charm is $\partial\Delta/\partial\text{Time}$ — the drift of your delta as time passes, holding spot constant. It's why a hedge that's neutral tonight isn't neutral tomorrow morning even if nothing moves. Charm is largest for near-expiry, near-ATM options: as time runs out, an option that's slightly ITM sees its delta creep toward 1 and a slightly-OTM option's delta drifts toward 0 — the distribution collapses onto the strike. Where I care: **holding a delta-hedged book over a weekend or into expiry**. Say I'm delta-flat Friday evening with a slightly-ITM short call; by Monday, purely from time passing, that call's delta has drifted higher and I'm now net short delta without spot having moved — charm silently un-hedged me. On expiry day charm is fierce: the deltas of everything near the strike race to 0 or 1 through the session, so a book that was neutral at open needs continuous re-hedging just to *stay* neutral as the clock runs. Practically I anticipate charm by projecting my morning delta the night before — "if spot opens unchanged, where will my delta be?" — and pre-planning the hedge rather than being surprised at the open. It's a small greek most retail ignores, but it's exactly the kind of overnight drift that turns a "flat" book into a directional one. - *Say it crisply*: Charm is how your delta drifts just from time passing — near expiry and over weekends a hedged book silently un-hedges itself, so I project tomorrow's delta tonight and pre-plan the re-hedge. - *Follow-up they may ask*: "When is charm worst?" Near-ATM into expiry — deltas race toward 0 or 1 through the day, so staying neutral needs constant re-hedging.

Q10. Explain vomma/volga and what it means for holding wings. - *Interviewer is testing*: convexity-of-vega understanding — advanced vol-book intuition. - *Deep answer*: Vomma (a.k.a. volga) is $\partial\text{Vega}/\partial\sigma$ — the convexity of your position with respect to implied vol, i.e. how your vega *grows* as vol rises. It's the "vol gamma." Vomma is largest for **OTM options (the wings)** and near zero for ATM, where vega is at a peak and locally flat. This is the whole reason wings behave the way they do in a vol spike: an OTM option starts with modest vega, but as IV rockets, its vega *increases* — so it gains value at an accelerating rate. Positive vomma means "long options catch a tailwind in a vol explosion." Practical consequence: if I want to be long a potential vol *blowup* (not just a small vol move), I buy OTM options / the wings, because their positive vomma means my long-vol position gets *longer* vega exactly as vol spikes — convex payoff in a crisis. Conversely, **short OTM options are short vomma** — a market-maker short the put wing finds their short-vega position getting *more* short as IV explodes in a crash, so losses compound non-linearly. That's precisely why selling cheap-looking wings is dangerous: the greek that gets you isn't first-order vega, it's vomma turning a manageable short-vol into a runaway one. Skew and smile *exist* largely because the market prices this vol-of-vol convexity into the wings. - *Say it crisply*: Vomma is vega's convexity — largest in the wings — so long OTM options get *longer* vega as vol explodes (convex crisis payoff), and selling cheap wings is short vomma, where a vol spike makes your short-vol position run away from you. - *Follow-up they may ask*: "So why does skew exist?" Partly because the wings carry vol-of-vol (vomma) risk and demand for crash protection, so the market prices OTM puts at a higher IV than ATM.

Q11. If you could only monitor three greeks on a live book, which and why? - *Interviewer is testing*: prioritization and real risk-management judgment. - *Deep answer*: **Delta, gamma, and vega** — in that order of immediacy, though which dominates depends on the book. **Delta** first because it's my raw directional

exposure — a gap moves it into P&L instantly, and an unhedged delta is how you lose the most money the fastest; it's the number I must always know in rupees. **Gamma** second because it tells me how *unstable* my delta is — how fast a move turns a flat book directional and how much re-hedging pain (or gain) a big move brings; short gamma is my hidden tail, so I watch it especially into expiry. **Vega** third because it's where a vol book actually blows up — a delta/gamma-hedged position can still be destroyed by a vol re-rate, and in India spot and vol move together so vega compounds my directional risk in a crash. Theta I treat as the *scorecard* — it tells me the daily cost/income but I don't manage *to* it; theta is just the sign of my gamma. I'd tell the interviewer: I set hard limits on rupee delta and net vega, watch gamma as my stability/tail gauge, and stress all three *jointly* (spot down + vol up) rather than one at a time — because the real risk isn't any single greek, it's their correlation in a shock. - *Say it crisply*: Delta for raw direction, gamma for how fast that direction runs away from me, vega for where a vol book actually dies — theta's just the scorecard, and I stress all three jointly for the crash. - *Follow-up they may ask*: "Why not theta in the top three?" Theta is deterministic and just the price of your gamma — it tells you the bill, not the risk; the risk lives in the moves, which are delta, gamma, and vega.

Pricing: BSM, Binomial & Put-Call Parity

Pricing questions separate people who *use* models from people who *believe* them. A senior interviewer wants to hear that you know where Black-Scholes breaks, why you still use it, and how parity gives you a model-free check on the market. This chapter drills all three.

Q1. State the assumptions of Black-Scholes and tell me which one breaks first in real markets. -

Interviewer is testing: whether you know the model's foundations *and* its failures. - *Deep answer:* BSM assumes: (1) the underlying follows **geometric Brownian motion** with **constant volatility**; (2) **no jumps** — prices move continuously; (3) **lognormal** returns; (4) frictionless markets — no transaction costs, continuous costless hedging, unlimited borrowing/lending at a single risk-free rate; (5) constant risk-free rate; (6) no dividends (in the base form); (7) European exercise. The one that breaks *first and hardest* is **constant volatility** — the market's own option prices prove it false, because if vol were constant, every strike would trade at the same IV. Instead we see a **volatility smile/skew**: OTM Nifty puts trade at higher IV than ATM, which is the market pricing in fat left tails and jumps that lognormal-constant-vol can't produce. The **no-jumps** assumption fails right alongside it — gaps on RBI policy, budget, global shocks are jumps, and jumps are un-hedgeable, which is precisely why short-gamma books blow up. **Continuous costless hedging** also fails immediately in India, where every re-hedge pays STT and slippage. So BSM's world is a frictionless, gap-free, single-vol fantasy — the smile is the market's correction sheet pinned onto the model. - *Say it crisply:* BSM assumes constant vol, no jumps, lognormal returns and costless continuous hedging — and constant vol breaks first, which is exactly why the market shows a volatility skew. - *Follow-up they may ask:* "How does the market patch constant vol?" It doesn't fix the model — it quotes a different IV per strike/expiry (the surface), effectively using BSM as a translation device, not a truth.

Q2. If BSM is so wrong, why does everyone still use it? - *Interviewer is testing:* mature understanding of models as tools, not truth. - *Deep answer:* Because BSM isn't used as a *truth machine* — it's used as a **common language and a translation device**. Its real value: it's a one-to-one, monotonic map between price and *implied volatility*, so instead of quoting a messy rupee price we quote IV, which is comparable across strikes, expiries and underlyings. That's how a "vol surface" even exists. It also gives us the **greeks** — a consistent, tradeable decomposition of risk (delta, gamma, vega, theta) that lets me hedge and aggregate a book, even if the exact numbers are approximations. And it's *fast and closed-form*, so it's computationally trivial for real-time risk on thousands of contracts. The trick experienced desks use is to *feed the market's own skew back in*: rather than trusting one constant vol, we quote each strike at its own IV and read greeks off that surface — the model's flaws are absorbed by letting IV vary. So BSM survives not because it's right but because it's a universal, invertible, differentiable framework that everyone agrees on. I'd tell the interviewer: I trust BSM's *structure* (greeks, parity relationships) and distrust its *constant-vol assumption*, which I override with the observed surface. - *Say it crisply:* We use BSM not as truth but as a translation layer — it turns prices into comparable implied vols and gives consistent greeks, and we patch its constant-vol flaw by quoting each strike at its own IV. - *Follow-up they may ask:* "So what do you actually trust from BSM?" The relationships and greeks structure, and parity — not the assumption that one vol prices the whole chain.

Q3. What is BSM genuinely good for, despite its flaws? - *Interviewer is testing:* balance — you criticized it, now show you value it. - *Deep answer:* Three concrete things. **One, greeks for hedging and aggregation** — BSM gives me delta to hedge, gamma to gauge stability, vega to size vol risk, theta to know my carry; even approximate, they let me manage a thousand-line book coherently. **Two, the implied-vol lens** — inverting BSM turns every option price into an IV, which is the only way to compare a 24,000 weekly call with a 25,000 monthly put or with a Bank Nifty option; the entire vol-trading business runs on this. **Three, relative-value**

and parity checks — BSM and its parity relationships tell me what's *internally consistent*, so I can spot when a call, put and future don't line up (an arb) or when one strike's IV is out of line with its neighbors (skew mispricing). Where I *don't* lean on it: pricing deep tails or event jumps precisely, or assuming my delta-hedge is costless and continuous. It's the scaffolding of the whole options market — imperfect load-bearing beams that everyone has agreed to build on. A trader who says "BSM is useless" is as naive as one who believes it literally. - *Say it crisply*: BSM is invaluable for the greeks that let me hedge and aggregate a book, for the implied-vol lens that makes options comparable, and for the parity/consistency checks that flag mispricing — just not for pricing tails or jumps exactly. - *Follow-up they may ask*: "Best single use?" The IV translation — without it there's no vol surface, no skew trading, no way to compare options at all.

Q4. When would you reach for a binomial model instead of BSM? - *Interviewer is testing*: knowing the right tool — early exercise and discrete events. - *Deep answer*: Binomial (Cox-Ross-Rubinstein) discretizes the underlying into an up/down lattice and prices by working *backwards* from expiry, checking value at each node. Its edge over closed-form BSM is that it can handle **early exercise** and **discrete events** node-by-node. The main reasons to use it: (1) **American options** — at every node you compare "hold" vs "exercise now" and take the max, which BSM's closed form can't do; this matters for single-stock American-style options and anywhere early exercise has value. (2) **Discrete dividends** — you can drop the stock price by the dividend at the specific ex-date node, which is more honest than BSM's continuous-yield fudge, and it's exactly when a large discrete dividend makes early exercise of an American call rational. (3) **Path-dependent tweaks** and intuition-building — the lattice makes the hedging/replication argument visible. Downside: it's slower and less precise than closed-form for vanilla Europeans, so for a large real-time index book I use BSM/analytics; I reach for binomial (or a tree/PDE/Monte Carlo) specifically when early exercise or a discrete cash event makes the closed form wrong. In the Indian *index* context most of what I trade is European and cash-settled, so binomial is more relevant for single-stock American-style and dividend-sensitive names. - *Say it crisply*: I reach for a binomial tree when early exercise or a discrete dividend matters — American options and dividend-paying names — because a backward lattice can check exercise at every node, which BSM's closed form can't. - *Follow-up they may ask*: "When is early exercise of an American call ever optimal?" Essentially only just before a large dividend (to capture it), since otherwise you'd rather sell the option and keep the time value.

Q5. Are Indian index options American or European, and why does it matter for pricing? - *Interviewer is testing*: product knowledge feeding into model choice. - *Deep answer*: Indian **index options (Nifty, Bank Nifty) are European** — exercisable only at expiry — and **cash-settled**. **Single-stock options are European in style but physically settled** (Indian stock options are European exercise, settled by delivery if ITM at expiry — verify current NSE spec). Why it matters: European style means **no early-exercise premium**, so BSM's closed form is directly applicable to the index chain — I don't need a lattice to check early exercise, which keeps real-time risk fast and clean. It also means put-call parity holds in its *exact* European form ($C - P = S - K \cdot e^{(-rT)}$), giving me a clean arbitrage/consistency check on the index chain. The physical-settlement wrinkle on single stocks doesn't change the *exercise style* but changes the *expiry-day economics* — assignment into shares, delivery margins, and STT on notional — which is a settlement issue, not a pricing-model issue. So the punchline: because our index options are European and cash-settled, BSM and exact parity apply cleanly; the complications in India are on the *settlement and tax* side (physical delivery, STT-on-exercise), not on the exercise-style side that would force a binomial model. - *Say it crisply*: Indian index options are European and cash-settled, so BSM and exact put-call parity apply directly with no early-exercise adjustment — the Indian complications are in physical settlement and STT, not in exercise style. - *Follow-up they may ask*: "So do you ever need a binomial model for Nifty options?" Not for exercise-style reasons —

they're European; you'd only use trees/PDE for exotic or dividend-path reasons, which don't arise on the cash index.

Q6. State put-call parity exactly and explain what it really says. - *Interviewer is testing:* precision and conceptual grasp of the most important no-arb relation. - *Deep answer:* For European options on a non-dividend underlying: $C - P = S - K \cdot e^{(-rT)}$, where C and P are call and put prices at the same strike K and expiry T, S is spot, r the risk-free rate. With dividends (yield q) it's $C - P = S \cdot e^{(-qT)} - K \cdot e^{(-rT)}$; in futures terms, $C - P = (F - K) \cdot e^{(-rT)}$ where F is the forward/futures price. What it *really says*: a **long call + short put at the same strike is a synthetic forward** — it has exactly the payoff of being long the underlying at K, so it must cost the same as the actual forward, discounted. It's a **model-free** relationship — it doesn't assume BSM, lognormality, or any vol; it's pure no-arbitrage from replication, so it holds regardless of what you think vol is. That's why it's the bedrock check: if the observed C - P doesn't equal $S - K \cdot e^{(-rT)}$, there's a risk-free arbitrage (a conversion/reversal). It also pins down that a call and put at the same strike share the *same implied vol* — if they didn't, parity would be violated. So parity is the skeleton the whole chain hangs on, independent of any pricing model. - *Say it crisply:* $C - P = S - K \cdot e^{(-rT)}$: a call minus a put at the same strike is a synthetic forward, and because it's model-free no-arbitrage, any deviation is a pure arbitrage and it forces calls and puts at a strike to share one implied vol. - *Follow-up they may ask:* "Does it need BSM?" No — it's pure replication/no-arbitrage, which is exactly why it's a check *on* models rather than a product of one.

Q7. Build me every synthetic position from the parity relationship. - *Interviewer is testing:* fluency in synthetics — the trader's algebra. - *Deep answer:* Rearranging $C - P = S - K \cdot e^{(-rT)}$ gives the full synthetic toolkit (same strike/expiry throughout): **Synthetic long stock/forward = long call + short put** ($C - P$). **Synthetic short stock = short call + long put.** **Synthetic long call = long stock + long put** (a protective put is a synthetic call). **Synthetic long put = short stock + long call.** **Synthetic short put = long stock + short call** (a covered call is a synthetic short put — which surprises people who think covered calls are 'safe' and short puts are 'risky'; they're the same payoff). Why this matters on a desk: (1) it lets me construct or unwind exposure through whichever leg is cheapest/most liquid — if the future is rich, I build synthetic long stock via options; (2) it's the basis of **conversion/reversal arbitrage** — if the synthetic and the real underlying/future diverge, I lock the difference risk-free; (3) it clarifies risk — realizing that a covered call and a naked short put are identical payoffs stops people mis-framing their risk. In India, since index futures and options are both liquid, I watch the synthetic-vs-future basis for parity arbs, netting out carry and STT. - *Say it crisply:* From parity: call minus put is synthetic long stock, stock plus put is a synthetic call, and a covered call equals a short put — so I can build any exposure through the cheapest legs and arb the synthetic against the real underlying. - *Follow-up they may ask:* "Why does covered-call = short-put surprise people?" Because they price the two very differently in their heads, but parity proves the payoffs are identical — same risk, different framing.

Q8. Walk me through a concrete put-call parity arbitrage with numbers. - *Interviewer is testing:* can you actually spot and execute a parity arb, net of costs. - *Deep answer:* Take Nifty spot $S = 24,000$, strike $K = 24,000$, $T \approx 30$ days (0.082 yr), $r = 7\%$. Fair forward $F = S \cdot e^{(rT)} = 24,000 \times e^{(0.07 \times 0.082)} \approx 24,000 \times 1.00575 \approx 24,138$. Parity says $C - P$ should $\approx (F - K) \cdot e^{(-rT)} = S - K \cdot e^{(-rT)} = 24,000 - 24,000 \cdot e^{(-0.07 \times 0.082)} = 24,000 - 23,862 \approx 138$. So the call should be $\sim ₹138$ richer than the put. Suppose the market shows $C = ₹300$, $P = ₹100 \rightarrow C - P = 200$, which is *more* than the fair 138. The call is overpriced relative to the put $\rightarrow$ **execute a conversion:** sell the call (+300), buy the put (-100), buy the underlying/future (-24,000-equivalent). This synthetic-short (short call + long put = short forward at 24,000) plus long actual future locks in the $200 - 138 = ₹62$ **mispricing per unit**, risk-free, held to expiry. The discipline: I only trade it if ₹62 comfortably exceeds **all** frictions — STT (and the ITM-exercise STT if it settles

ITM), brokerage, exchange fees, GST, the bid-ask on three legs, and the financing/margin cost — which in practice eats most retail-visible parity gaps. Real parity arbs in liquid Nifty are tiny and fleeting, captured by low-cost desks; the value in the interview is proving I know the exact fair basis and how carry and STT set the true threshold. - *Say it crisply*: Fair $C - P$ here is $\sim ₹138$; if the market shows 200 the call's rich, so I sell call, buy put, buy the future — a conversion locking ₹62 risk-free — but only if that beats STT, fees and carry, which usually closes the gap. - *Follow-up they may ask*: "What kills most parity arbs in India?" Transaction costs — STT (especially on ITM exercise), three-legged bid-ask, and financing — so the visible gap has to clear all of that before it's real.

Q9. What is a box spread and how does it relate to parity and interest rates? - *Interviewer is testing*: advanced structure — synthetic lending/borrowing. - *Deep answer*: A box spread combines a **bull call spread** (long call K_1 , short call K_2) with a **bear put spread** (long put K_2 , short put K_1) at the same two strikes — which, by parity, is a **synthetic loan**: its payoff at expiry is *fixed* at $(K_2 - K_1)$ regardless of where the underlying lands. Because the payoff is certain, the box's price today must equal the present value of $(K_2 - K_1)$, i.e. $(K_2 - K_1) \cdot e^{(-rT)}$. So a box is effectively **lending or borrowing money at the rate implied by option prices** — buy the box (pay less than $K_2 - K_1$ today, receive $K_2 - K_1$ at expiry) and you've *lent* money; sell it and you've *borrowed*. Traders use it to (1) extract the market-implied financing rate and compare it to the actual repo/funding rate — a relative-value/rate arb; (2) as synthetic funding. The famous caution: boxes are only "risk-free" for *European, cash-settled* options — with American exercise or physical settlement, early assignment can break the fixed payoff (this is what blew up retail "risk-free box" traders on US brokers). In India, since index options are European and cash-settled, the box is clean on the index; on physically-settled stocks it carries assignment/delivery risk. And, as always, STT and fees set whether the implied rate edge is actually capturable. - *Say it crisply*: A box is a bull call spread plus a bear put spread that locks a fixed $K_2 - K_1$ payoff, so it's synthetic lending at the option-implied rate — clean on European cash-settled index options, but not "risk-free" where physical settlement or early assignment can break the payoff. - *Follow-up they may ask*: "Why did boxes blow people up abroad?" American-style short legs got assigned early, breaking the guaranteed payoff — the 'risk-free' label only holds for European cash-settled options like our index.

Q10. How do you use put-call parity to spot mispricing or back out an implied borrow/funding rate? - *Interviewer is testing*: parity as a practical relative-value radar, not just theory. - *Deep answer*: Parity is my model-free consistency scanner. Rearranging $C - P = S - K \cdot e^{(-rT)}$, I can solve for whichever input the market is implying. **Implied funding/rate**: given observed C , P , S and K , I back out the r that makes parity hold — that's the market's implied financing rate, which I compare to actual repo/MIBOR; a divergence flags either a rate arb or a supply/demand distortion. **Implied forward / basis**: $C - P$ directly gives $(F - K) \cdot e^{(-rT)}$, so it pins the option-implied forward, which I cross-check against the actual futures price — if the option-implied forward and the future disagree beyond costs, that's a synthetic-vs-future arb. **Implied borrow/dividend**: for single stocks, deviations in parity reveal the market-implied dividend or **stock borrow cost** — hard-to-borrow names show up as a persistent parity skew because shorting the stock leg is expensive, so puts get bid relative to calls. That last one is genuinely useful: parity turns the options market into a *sensor* for borrow costs and dividend expectations I can't see directly. Operationally I don't expect free arbs in liquid Nifty — I use parity to sanity-check my marks, detect data errors, and read the implied carry, rather than to print money. - *Say it crisply*: I invert parity to back out the market-implied forward, funding rate, dividend, or stock-borrow cost from C , P and S — so parity is less a money-printer in liquid names and more a sensor for carry, borrow and mispriced marks. - *Follow-up they may ask*: "What does a persistent parity skew on a single stock tell you?" Usually an expensive/hard-to-borrow short — puts richen relative to calls because the stock leg of the arb is costly to short, so parity reads out the borrow cost.

Volatility: IV vs HV, Skew, Term Structure & the Surface

Volatility is the product an options trader actually trades. This chapter drills the stuff a desk head probes to see whether you understand vol as a tradeable asset with a risk premium, a shape, and a term structure — not just a Black-Scholes input.

Q1. What's the difference between implied vol and realized/historical vol, and how do you actually trade the spread between them? - *Interviewer is testing:* whether you see IV as a market price and HV as an outcome, and know the trade that connects them. - *Deep answer:* Historical/realized vol is backward-looking — the annualized standard deviation of actual returns the underlying printed (close-to-close, or Parkinson/Yang-Zhang using highs/lows for efficiency). Implied vol is forward-looking — the vol number the market is charging in the option premium, backed out of the price via the model. The core vol trade is the spread: if I think IV (say Nifty ATM at 14%) overstates what the index will actually realize over the option's life, I sell the straddle and delta-hedge, harvesting the gap; if IV is cheap versus expected realized, I buy and hedge. The P&L of a delta-hedged short option is essentially the difference between the variance I sold (IV^2) and the variance that realized (HV^2), scaled by gamma/dollar-gamma each day. In practice on Nifty weeklies I'm comparing current IV to trailing 10/20-day realized AND to the realized I expect given the event calendar — a quiet week post-expiry realizes far less than a budget/RBI/Fed week. The discipline is not "IV is high" in the abstract, it's "IV is high relative to what THIS underlying will realize over THIS window." - *Say it crisply:* HV is what the stock did; IV is what the market's charging for what it might do. I trade the gap — sell and hedge when implied is rich to expected realized, buy and hedge when it's cheap. - *Follow-up they may ask:* "How do you capture a rich IV without a directional bet?" Sell the ATM straddle and delta-hedge daily so P&L is driven by the IV-minus-realized spread, not by direction.

Q2. Why is implied vol usually higher than subsequent realized vol? - *Interviewer is testing:* whether you know the variance risk premium and its economic reason. - *Deep answer:* Empirically, across most markets and most of the time, IV trades above the vol that subsequently realizes — the variance risk premium (VRP). The reason is structural: option sellers are supplying insurance and demand compensation for tail risk and for the fact that vol spikes exactly when everything else in a portfolio hurts (vol is negatively correlated with the market, so short-vol has bad "beta" in a crash). Buyers — hedgers, funds buying protective puts, retail buying lottery-ticket OTMs — are structurally willing to overpay. So the seller earns a premium on average, the same way an insurer earns above fair actuarial value. That's WHY systematic short-vol/premium-selling works over time — and also why it blows up: you're collecting small premiums for taking a rare, correlated, fat tail (Feb 2018 VIX, March 2020, a gap-down on Bank Nifty). In India the VRP is real on index options but you must respect that a single gap can erase months. My mental model: I'm getting paid the VRP to be short insurance, so I size for the tail, not for the median outcome. - *Say it crisply:* $IV > \text{realized}$ because option sellers are selling insurance against correlated tail risk and demand a premium — the variance risk premium. It's a real edge that pays small and often and occasionally takes a big bite. - *Follow-up they may ask:* "So should you always be short vol?" No — the VRP compresses or inverts before/around known events and in stressed regimes; you want to be short when the premium is fat and defensive when it's thin or inverted.

Q3. Explain the volatility skew/smile. Why are puts bid? - *Interviewer is testing:* whether you understand skew as crash-risk pricing, not a model artifact. - *Deep answer:* If the market priced every strike at one vol, IV would be flat across strikes. It isn't — for equity indices you get a downward skew: OTM puts trade at materially higher IV than ATM, and OTM calls at lower IV. Two reasons. First, the crash-risk reason: equity

indices go down faster than they go up (leverage effect, forced deleveraging, correlation $\rightarrow 1$ in a sell-off), so the real return distribution is left-skewed and fat-tailed on the downside — puts must price that. Second, the supply/demand reason: everyone is structurally long equities and buys downside protection, so puts are bid; nobody needs to insure the upside as urgently, so calls are offered. On Nifty/Bank Nifty you'll routinely see a 25-delta put a few vol points over the 25-delta call. For individual stocks you can even see reverse skew around takeover/upside events. The skew matters practically because it prices your spreads: selling a put spread you're selling expensive vol and buying cheaper vol; a risk reversal (sell call, buy put) is a direct bet on skew. - *Say it crisply*: Indices crash down, not up, and everyone hedges downside — so OTM puts carry a vol premium. That downward skew is the market pricing correlated crash risk. - *Follow-up they may ask*: "What happens to skew in a panic?" It steepens — put IV blows out faster than ATM as demand for protection spikes and dealers get short gamma.

Q4. What does it mean for skew to "steepen," and how do you trade it? - *Interviewer is testing*: second-order thinking on the shape of vol, not just the level. - *Deep answer*: Skew steepening means the IV difference between downside strikes and ATM widens — the whole put wing lifts relative to the body. It happens in fear: as the index falls, demand for puts surges, dealers who are short those puts get shorter gamma and bid vol, and the left tail gets repriced fatter. You can be right on vol level but wrong on skew. Trades: a put ratio backspread (sell 1 near put, buy 2 further puts) is long skew and long tail — it profits if the crash extends and skew steepens. A risk reversal expresses a directional skew view. If I think skew is too steep (puts overpriced after a scare has passed), I'll sell the put wing relative to ATM — e.g., a put spread — collecting the rich downside vol. The nuance: skew mean-reverts but slowly, and it can stay steep through a whole nervous regime, so I treat skew trades as slower, position-sized bets rather than scalps, and I watch the 25-delta put/call vol spread as my gauge. - *Say it crisply*: Steepening = the put wing lifting versus ATM as fear bids protection. I trade it with ratio backspreads or risk reversals, and I fade over-steep skew with put spreads once the panic fades. - *Follow-up they may ask*: "What's your quick metric for skew?" The 25-delta risk reversal — put IV minus call IV at 25 delta; watch how it moves versus its own range.

Q5. Explain the vol term structure — contango and backwardation of volatility. - *Interviewer is testing*: whether you think across expiries, not just one series. - *Deep answer*: Term structure is IV plotted across maturities for a given strike (usually ATM). Normal state is contango/upward-sloping: near-dated vol is low, longer-dated is higher, because the near term looks calm and uncertainty accumulates with time. In stress it inverts to backwardation: front-month/weekly vol spikes ABOVE longer-dated because the market expects the storm now and mean-reversion later. This is the single most useful regime signal. In contango, calendars (sell front, buy back) and being short front-week theta are comfortable. In backwardation the front is screaming — being naked short the front week is where people die, and long-front/short-back or long gamma can pay. On Nifty you'll see the weekly's IV rip above the monthly's into a big event or a sell-off; once it passes, the curve re-steepens into contango. I read the weekly-vs-monthly ATM IV spread every morning as my "what regime am I in" check before I decide to be a net seller or a net buyer of the front. - *Say it crisply*: Contango = near vol cheaper than far, the calm default; backwardation = front vol above back, the stress signal. The weekly-vs-monthly IV spread tells me whether to sell the front or respect it. - *Follow-up they may ask*: "Which structure likes contango?" Calendars and short-front-theta positions; you're selling the cheap-decaying front and owning the richer back.

Q6. What is the vol surface, and why does a desk care about the whole thing? - *Interviewer is testing*: whether you can hold skew AND term structure together as one object. - *Deep answer*: The surface is IV as a function of both strike (skew/moneyness) and time (term structure) — a 3D sheet. A serious desk doesn't quote one vol; it fits and risk-manages the whole surface because every option you hold sits at a point on it

and your Greeks aggregate across it. Why it matters: your book can be flat "vega" in aggregate but be long front-week put-wing vega and short back-month call vega — a surface-shape risk that a single vega number hides. The surface also must be arbitrage-free (no calendar or butterfly arbitrage), so when one point dislocates — a weekly put wing gaps on a scare — a relative-value trader sells the rich point and buys a cheap neighbouring point. As an experienced trader I don't literally recalibrate SABR by hand, but I think in surface terms: "where on the surface am I long/short vega, and what move in the SHAPE (not just level) hurts me?" That's what separates someone who's short vol from someone who knows exactly which corner of the surface will blow up their book. - *Say it crisply*: The surface is IV across strike and expiry at once. I manage it as one object because my real risk is the shape — which corner I'm long or short — not a single vega number. - *Follow-up they may ask*: "Give a surface-shape risk example." Being short front-week ATM straddle but long monthly wings: you're short the point that moves most in a gap, so a big move hurts far more than your net vega implies.

Q7. IV rank vs IV percentile — what's the difference and which do you use? - *Interviewer is testing*: precision on the two most-confused vol-context metrics. - *Deep answer*: Both contextualize today's IV against its own history (typically 1 year). IV Rank = $(\text{current IV} - 52\text{-week low}) / (52\text{-week high} - 52\text{-week low})$, so it only cares about where you sit in the min-max range. IV Percentile = the % of days over the lookback that IV closed BELOW today's level, so it accounts for the whole distribution of days, not just the extremes. They diverge when one spike distorts the range: a single crash pushing the yearly high way up can leave IV Rank permanently low even when IV has actually spent most days elevated — IV Percentile catches that, IV Rank doesn't. I lean on IV Percentile as the more robust "is vol rich or cheap versus its own norm" gauge, and I use IV Rank as a quick supplement. Crucially, neither is a trade by itself — high IV rank tells me premium is rich to SELL, but I still overlay the event calendar and term structure. On Indian indices I effectively build this off India VIX history for the index and off per-stock IV series for single names. - *Say it crisply*: IV Rank is where you sit in the year's high-low range; IV Percentile is the fraction of days IV was lower than now. Percentile is more robust because one spike doesn't distort it. - *Follow-up they may ask*: "High IV rank — do you just sell?" No; I check whether it's high because of a pending event (don't sell into it) or ambient fear (sellable), and I check term structure first.

Q8. What exactly is India VIX and how do you use it as a trader? - *Interviewer is testing*: India-specific vol literacy and practical use. - *Deep answer*: India VIX is NSE's volatility index — the market's expected annualized Nifty volatility over the NEXT 30 calendar days, computed from the order book of near- and next-month Nifty option prices using the variance-swap/CBOE-style methodology (not from any single strike; it aggregates the whole strip). So VIX at ~14 means ~14% annualized expected 30-day move; divide by $\sqrt{365} \approx 19.1$ for a rough daily 1-sigma (~0.73%). Uses: (1) regime gauge — sub-12 is complacent, 20+ is nervous, 30+ is genuine stress; (2) contextualizing premium — high VIX means richer index premium to sell but bigger tails; (3) it's mean-reverting and negatively correlated with Nifty, so spikes tend to fade. Caveats a pro respects: VIX is a 30-day construct, but I mostly trade WEEKLY options whose realized/implied can diverge hard from the 30-day number, especially around events; and VIX itself isn't directly tradeable in India the way US VIX futures/options are, so it's a signal, not an instrument. I use it to size and to decide net-long-vs-short-vol posture, never as a standalone entry. - *Say it crisply*: India VIX is the market's expected 30-day annualized Nifty vol, backed out of the whole option strip. I use it as a regime and sizing gauge — complacent under ~12, stressed over ~20 — not as a tradeable instrument. - *Follow-up they may ask*: "VIX is 15 — what daily move is priced?" Roughly $15/19.1 \approx 0.78\%$ one-sigma per day on Nifty.

Q9. Explain vega and IV crush. When does IV crush hurt or help you most? - *Interviewer is testing*: whether you manage the vol-level Greek and the classic event trap. - *Deep answer*: Vega is P&L per 1 vol-

point change in IV — longest-dated, ATM options carry the most vega; it decays as expiry nears (a weekly the morning of expiry has almost no vega, all gamma/theta). IV crush is the collapse in IV right after a known event resolves the uncertainty — earnings, budget, RBI/Fed, election result. Before the event IV is bid because the market prices a big move; the moment it's known, that uncertainty evaporates and IV drops sharply, often more than the actual move justifies. The trap: a retail trader buys a straddle before results, the stock moves, but IV crushes so hard the long options LOSE money even though direction was "right." As a seller I harvest this deliberately — sell rich event vol and let the crush pay me — but I size for the gap because the crush protects me only if the move stays inside the premium I collected. On a single stock into earnings I might sell a strangle knowing IV will halve overnight; the danger is the fat move that overwhelms the crush. Long-vega positions want to be OWNED before IV rises and closed before the crush. - *Say it crisply*: Vega is your P&L per vol point; IV crush is the post-event vol collapse. Sellers harvest it, buyers get trapped when a "right" directional bet still loses to the crush. - *Follow-up they may ask*: "How do you avoid buying into a crush?" Prefer structures that are short or neutral vega into the event, or buy vol well before it's bid, not the day before.

Q10. Are you a net vol buyer or vol seller, and why? - *Interviewer is testing*: self-awareness, regime-dependence, and risk maturity — there's no single right answer, only a defensible framework. - *Deep answer*: The mature answer is "it depends on the regime, and I know my default bias and its failure mode." Structurally I'm a net vol SELLER because the variance risk premium pays sellers over time — on Indian index weeklies the theta/VRP edge is real. BUT I only lean short when: IV is rich to expected realized (high IV percentile, no big event pending), term structure is in contango, and skew isn't screaming. I flip to buyer or flat when the front is in backwardation, VIX is spiking, or a fat event sits inside the option's life — because that's exactly when short-vol blows up. The key is that a good vol trader is not dogmatically one thing; being permanently short vol is picking up nickels in front of a steamroller, and being permanently long bleeds theta. So: default seller for the VRP, disciplined about WHEN, always sized for the tail, and willing to own gamma/vega when the market's paying me to. What I never do is sell cheap vol or buy expensive vol just to "have a position." - *Say it crisply*: Default seller — the variance risk premium pays me — but only when IV is rich to realized, the curve's in contango, and no event's pending; I flip to buyer or flat in backwardation and stress, and I always size for the tail. - *Follow-up they may ask*: "What kills a career short-vol trader?" Selling because vol is 'high' without checking realized/events, and sizing for the median instead of the tail — one correlated gap wipes out a year of premium.

Q11. How do you tell whether vol is genuinely cheap or rich right now? - *Interviewer is testing*: a repeatable process, not a gut call. - *Deep answer*: I triangulate. (1) IV vs expected realized: current ATM IV against trailing 10/20-day realized AND against the realized I expect given the calendar — rich only if IV clearly exceeds what this window should print. (2) IV percentile/rank: where does today's IV sit in its own 1-year distribution. (3) Term structure: contango or backwardation, and how steep — front vol above back is a warning that "cheap-looking" back vol or "rich-looking" front vol may be regime-driven. (4) Skew: is the wing I'm about to trade rich or cheap versus its history (25-delta RR). (5) Event map: what's inside the option's life — budget, RBI, Fed, expiry, stock results. Only when several of these line up do I call it. Example: Nifty weekly ATM IV at 11% with 20-day realized at 9%, IV percentile ~30, curve in contango, no event — that's a modest sell. Same 11% the day before the RBI policy with the weekly IV above the monthly is NOT cheap to sell, it's the market correctly pricing an event. - *Say it crisply*: I triangulate IV vs expected realized, IV percentile, term structure, skew, and the event calendar — vol's only 'cheap' or 'rich' when several of those agree, not on the headline number. - *Follow-up they may ask*: "One number if you had to pick?" IV versus expected realized over the option's exact life — everything else is context around that spread.

Q12. Walk me through how a delta-hedged short straddle actually makes or loses money. - *Interviewer is testing:* the deepest vol concept — that a hedged option is a bet on realized vs implied, expressed through gamma and theta. - *Deep answer:* Sell an ATM Nifty straddle and delta-hedge it (trade futures to keep net delta ~ 0). Now direction is neutralized; the P&L is the fight between theta and gamma. Each day I collect theta (the premium decaying in my favor) but I'm short gamma, so when the index moves I'm forced to hedge at bad prices — buy futures higher, sell lower — bleeding money proportional to the SQUARED move (dollar-gamma). The daily P&L $\approx$ theta earned minus the cost of hedging the realized move. If realized vol comes in BELOW the IV I sold, theta more than covers the hedging losses and I win — that's collecting the VRP. If the index realizes MORE than the IV I sold, my gamma-hedging losses exceed theta and I lose, even with zero net directional view. So a delta-hedged short option is literally a short position in realized variance struck at the IV I sold: $P\&L \propto (IV^2 - \text{realized}^2)$. Worked feel: sell the straddle at 14% IV; if Nifty grinds and realizes 10%, the daily theta swamps my small hedge costs and I keep most of the premium; if a headline hits and it realizes 22%, my re-hedging losses blow past the premium. This is the mechanical heart of why IV-vs-realized IS the trade. - *Say it crisply:* Delta-hedged, a short straddle is a short realized-variance bet: I earn theta and pay for every move via short gamma, so I win if realized comes in under the IV I sold and lose if it comes in over. - *Follow-up they may ask:* "Why hedge daily and not continuously?" Continuous hedging is the textbook ideal; in practice discrete hedging adds path noise, so I hedge on delta/time bands to balance slippage and costs against tracking the theoretical P&L.

Strategy Selection & Construction

Anyone can name the payoff diagrams. What a desk head wants is the reasoning that maps a VIEW — direction × volatility × time — onto the right structure, with strikes and expiry chosen deliberately. This chapter is about that translation, with worked construction on Nifty/Bank Nifty.

Q1. Walk me through how you pick a structure from a view. What's your framework? - *Interviewer is testing:* whether you have a repeatable view-to-structure map, not a favorite trade you force everywhere. - *Deep answer:* I decompose every view into three axes and let them pick the structure. (1) Direction: bullish, bearish, neutral, or "no strong view." (2) Volatility: do I think IV is rich (sell premium) or cheap (buy premium), and will realized exceed or lag implied. (3) Time/path: sharp move soon, slow grind, or range-bound into an event. Then: bullish + rich IV → sell a put spread (credit); bullish + cheap IV → buy a call spread (debit); neutral + rich IV, range expected → iron condor or short strangle; neutral + cheap IV, big move expected → long straddle/strangle; pin-to-a-level → butterfly; view on TIMING/term structure → calendar/diagonal. The vol axis decides debit vs credit — I don't buy premium when IV percentile is high, and I don't sell premium into a pending event or backwardation. On Nifty specifically the weekly theta and the STT/cost structure push me toward defined-risk credit spreads over naked options for retail-size books. The discipline: the structure must express ALL three axes, and if any axis is "I don't know," I size down or don't trade. - *Say it crisply:* I split the view into direction, vol (rich vs cheap), and time/path — direction picks calls vs puts, the vol axis picks debit vs credit, and the path picks the exact structure. - *Follow-up they may ask:* "Bullish but IV is high — call spread or put spread?" Sell the put spread; high IV means I want to be a net premium seller, collecting the rich vol rather than paying it in a debit call spread.

Q2. Debit vertical vs credit vertical — same directional view, when do you use which? - *Interviewer is testing:* that you choose based on IV and probability, not habit. - *Deep answer:* They express the same direction but opposite vol posture. A bull call spread (debit) buys the lower call, sells the higher — you PAY, you're modestly long vega, max profit if it rallies to the short strike, defined risk = debit. A bull put spread (credit) sells the higher put, buys the lower — you RECEIVE, short vega, max profit if it just stays above the short put, defined risk = width – credit. Decision rule: sell the credit spread when IV is rich (high IV percentile) because you're a net vol seller and you win even on a flat-to-up tape via theta; buy the debit spread when IV is cheap and you expect a directional pop, because you don't want to pay rich vol. Probability nuance: the credit put spread usually has higher POP (you win if it's flat or up), the debit call spread has lower POP but bigger payoff-per-rupee-risk if the move comes. Example, Nifty at 24,000, bullish: rich IV → sell 23,800/23,600 put spread for say ₹60 credit, risk ₹140 (×lot); cheap IV → buy 24,000/24,200 call spread for say ₹80, risk ₹80, better if a sharp rally comes. Same view, chosen by the vol regime and whether I want POP or payoff. - *Say it crisply:* Same direction, opposite vol bet — sell the credit spread when IV's rich and I want high POP via theta; buy the debit spread when IV's cheap and I want a sharp directional payoff. - *Follow-up they may ask:* "Which has higher probability of profit?" Usually the credit spread, because you also win on a flat tape — but its payoff-to-risk is worse.

Q3. Straddle vs strangle — construction, and when each earns its keep. - *Interviewer is testing:* long/short vol expression and the cost-vs-probability tradeoff. - *Deep answer:* A straddle is same-strike call + put (usually ATM); a strangle is OTM call + OTM put. Long either = long vol/gamma, betting realized > implied or a big move; short either = short vol/theta, betting the market stays range-bound. Straddle costs more (both ATM, max premium, max gamma) but has tighter breakevens and more sensitivity; strangle is cheaper, wider breakevens, needs a bigger move to pay but bleeds less theta when short. Long straddle before an event you think is under-priced (cheap IV, big catalyst); but beware IV crush — if IV is already bid,

the crush can kill a long straddle even on a real move. Short strangle is the classic premium-harvest in a calm, contango, high-IV-percentile regime — sell the 16-delta call and put on a Nifty weekly, collect theta, win if it stays inside the wings. Worked: Nifty 24,000, sell 24,400 call + 23,600 put for ₹70+₹80 = ₹150 credit; breakevens ~23,450 and 24,550; profit if it expires in that band. The risk is undefined — a gap through a wing hurts — so I'd often turn it into an iron condor by buying further wings, or size it as a fraction of capital and manage at a delta/loss threshold. - *Say it crisply*: Straddle is same-strike, costly, high-gamma; strangle is OTM, cheaper, wider. Long for a big move with cheap IV; short strangle to harvest theta in a calm, rich-IV range — sized for the tail or wrapped into a condor. - *Follow-up they may ask*: "Short strangle risk?" Undefined on both sides plus short vega — a gap or vol spike hurts twice; I cap it with wings (condor) or manage at a hard delta/loss stop.

Q4. Construct an iron condor on Bank Nifty and tell me exactly how you'd pick the strikes. -

Interviewer is testing: delta-based strike selection and defined-risk premium harvesting. - *Deep answer*: An iron condor is a short strangle with protective wings: sell an OTM put spread AND an OTM call spread — four legs, net credit, defined risk, short vega/long theta, wins if the underlying stays in a range. Strike selection is delta-based, not arbitrary: I sell the short strikes around 15–20 delta (roughly a 1-standard-deviation band for the expiry, so ~80–85% theoretical POP) and buy the wings a fixed width out to cap risk. Worked, Bank Nifty at 52,000, weekly: sell 52,800 call (~16Δ) / buy 53,200 call; sell 51,200 put (~16Δ) / buy 50,800 put. Say I collect ₹90 net credit, width 400, so max risk = 400 – 90 = ₹310 × lot each side (only one side can lose). Breakevens ~51,110 and 52,890. I pick the short-strike delta by how much cushion I want vs how much credit, and I widen wings for more credit but more risk. Management: I define profit target (~50% of max credit) and a mental stop (e.g., short strike touched or loss = 1.5–2× credit), and I watch which side is getting tested to roll or close early. The condor earns its keep in a calm, high-IV-percentile, contango regime with no event inside the week. - *Say it crisply*: Iron condor = short strangle plus wings; I sell the ~16-delta strikes for a 1-sigma band and buy fixed-width wings, collect the credit, target 50% profit and cut if a short strike is breached. - *Follow-up they may ask*: "Why 16 delta?" It's roughly the 1-sigma edge for the expiry, giving ~84% theoretical POP — a standard balance of credit collected against probability of staying in range.

Q5. When is a butterfly the right structure, and how do you build one? - *Interviewer is testing*: pin-risk/low-cost targeted bets and cheap tail expressions. - *Deep answer*: A long butterfly (buy 1 lower, sell 2 middle, buy 1 upper, equidistant) is a cheap, defined-risk bet that the underlying PINS near the middle strike at expiry. Max profit at the body, small defined loss = the debit paid, very low cost, positive theta near expiry if you're near the body. It shines when I have a strong "expires around here" view — e.g., an expiry-day pin near a big open-interest strike on Nifty — or as a cheap way to express a target with tiny risk. Worked: Nifty 24,000, buy 23,800 call / sell 2× 24,000 calls / buy 24,200 call for a small debit, say ₹30; max payoff ₹170 if it pins 24,000, max loss ₹30. Broken-wing variants skew the payoff and can be done for a credit to lean directional with no upside risk on one side. The nuance: butterflies are expiry-day/near-expiry instruments — the profit tent only sharpens as gamma concentrates, so entering a fly too early just means paying to wait. I use it when I want a high payoff-to-risk ratio on a precise level, accepting a low probability of hitting the sweet spot. - *Say it crisply*: A long butterfly is a cheap, defined-risk bet on the underlying pinning a specific strike — buy-1/sell-2/buy-1 — best used near expiry when I have a strong 'it settles right here' view. - *Follow-up they may ask*: "Butterfly vs condor?" The fly targets a point (higher payoff, lower probability); the condor targets a range (lower payoff, higher probability) — I pick by how precise my view is.

Q6. Explain a calendar spread and what view it actually expresses. - *Interviewer is testing*: term-structure trading, not just another neutral strategy. - *Deep answer*: A calendar (horizontal) spread sells a near-dated option and buys a longer-dated option at the SAME strike. It's fundamentally a term-structure/vol trade:

you're short the fast-decaying front theta and long the slower back-month, and you're long vega net (the back has more vega than the front). It profits when the underlying sits near the strike so the front decays faster than the back, AND/OR when back-month IV rises relative to front. So the ideal setup is CONTANGO (front cheap, back richer) with the underlying expected to hover near the strike, and preferably a view that longer-dated vol will firm up. Worked: Nifty at 24,000, sell this week's 24,000 call, buy next week's/monthly 24,000 call for a net debit; if Nifty pins 24,000 the front expires worthless and I keep the back which retains value. The danger is a big move away from the strike (both legs go deep ITM/OTM and the spread compresses) or the back-month IV collapsing. I use calendars specifically when I have a term-structure view — front vol overpriced vs back — not as a generic "neutral" trade, and I avoid them in backwardation. - *Say it crisply*: A calendar sells the fast-decaying front and buys the slower back at one strike — it's a long-vega, term-structure trade that wants the underlying to pin the strike in a contango curve. - *Follow-up they may ask*: "Diagonal vs calendar?" A diagonal uses different strikes too, adding a directional lean on top of the calendar's term-structure/theta bet.

Q7. What's a ratio spread or backspread, and when would you put one on? - *Interviewer is testing*: asymmetric/convex structures and skew awareness. - *Deep answer*: A ratio spread sells more options than it buys (e.g., buy 1 call, sell 2 higher calls) — usually a credit, short extra vega/gamma, with an UNHEDGED tail if the move runs past the short strikes; you use it when you expect a move to but not beyond a level. A backspread flips it — sell 1 nearer, buy 2 further (net long options) — long gamma/vega with a convex tail, financed by the one you sold, often near-zero cost. The put backspread is the classic crash trade: sell 1 near put, buy 2 further OTM puts, so if the index gaps down and skew steepens you have explosive long-tail profit, and if nothing happens you lose little (sometimes it's a credit). I put on a call ratio when I'm mildly bullish but think upside is capped and want to finance it; a put backspread when I want cheap, convex downside protection or to bet on a volatility explosion with limited bleed. Skew matters: backspreads buy the expensive wing, so I want to enter when skew is NOT already extreme; ratios sell the wing, better when skew is rich. The discipline is respecting the naked tail on ratio spreads — that's where they blow up. - *Say it crisply*: Ratio spreads sell more than they buy (credit, tail risk, for a capped move); backspreads buy more than they sell (convex, long-tail, cheap) — I use the put backspread as a low-cost crash bet and ratios for a move-to-a-level. - *Follow-up they may ask*: "Ratio spread's danger?" The extra short option is naked beyond the short strike — an unlimited/large tail if the move overshoots, so I size it small or convert if tested.

Q8. How do you actually select strikes — delta, breakevens, or something else? - *Interviewer is testing*: disciplined, probabilistic strike selection. - *Deep answer*: Delta is my primary lens because it doubles as an approximate probability of expiring ITM — a 16-delta short strike is ~1-sigma out with ~84% chance of staying OTM. For premium selling I anchor short strikes to a target delta (15–20Δ for condors/strangles) so I'm systematically selling a consistent probability band, then adjust for IV (higher IV pushes the same delta further out in points, giving more cushion). For debit/directional trades I pick strikes off the expected move and breakevens — where does the structure start making money and is that inside a realistic move for the expiry. I compute breakevens explicitly (credit spread BE = short strike ± credit; straddle BE = strike ± total premium) and sanity-check them against the expected move ($\approx$ ATM straddle price, or $IV \times \sqrt{(t/365)} \times \text{spot}$). POP vs payoff is the tradeoff I balance at every strike choice: selling closer = more credit and lower POP, further = less credit, higher POP. I never pick strikes on "looks about right" — it's delta for probability, breakevens vs expected move for reality, and the credit/width ratio for whether the risk-reward justifies it. - *Say it crisply*: Delta for probability (short strikes ~16Δ $\approx$ 1-sigma), breakevens checked against the expected move for reality, and the credit-to-width ratio for reward — never eyeballed. - *Follow-up they may ask*:

"Quick expected-move estimate?" The ATM straddle price is the market's expected move for that expiry, or $\text{spot} \times \text{IV} \times \sqrt{(\text{days}/365)}$.

Q9. Defined-risk vs undefined-risk strategies — how do you decide? - *Interviewer is testing: risk-management maturity and capital/margin awareness.* - *Deep answer:* Undefined-risk (naked strangles/straddles, ratio spreads) collects more premium and has higher capital efficiency in a calm tape, but exposes you to gap/tail risk that can dwarf the credit — one Bank Nifty gap can exceed weeks of harvested premium. Defined-risk (verticals, condors, flies) caps the loss to a known number for a smaller credit, and crucially caps your MARGIN. My decision hinges on: (1) account size and whether one tail can materially impair capital — smaller books must be defined-risk; (2) regime — I'll only run undefined risk in benign, contango, no-event conditions and even then sized small; (3) event calendar — never naked into a fat event; (4) margin/SPAN — in India naked index options carry heavy SPAN+exposure margin, so defined-risk condors are far more margin-efficient for the same view. My default as a disciplined trader is defined-risk, and I "earn" the right to run undefined risk only when the regime is clearly benign and the size is a small fraction of capital. The question I always ask: "if the worst realistic gap happens overnight, does this trade hurt or does it end me?" - *Say it crisply:* Default defined-risk for capped loss and margin; I only run undefined risk in a benign regime, small, with no event pending — because one gap can exceed months of premium. - *Follow-up they may ask:* "Margin angle?" Naked index options carry heavy SPAN+exposure margin in India; buying wings to define risk slashes the margin, so condors are far more capital-efficient than naked strangles.

Q10. Give me a full worked construction: you're mildly bearish Nifty into next week with elevated IV. - *Interviewer is testing: end-to-end reasoning producing an actual trade with strikes.* - *Deep answer:* View decomposed: direction = mildly bearish; vol = IV elevated (high IV percentile), so I want to SELL premium not buy it; time = one-week horizon, no fat event I'm scared of. Mildly bearish + rich IV → a bear CALL credit spread (sell the call spread above the market): I profit if Nifty stays flat, drifts down, or even rises modestly to my short strike, and I'm a net vol seller collecting the elevated IV. Construction, Nifty at 24,000: sell 24,200 call (~30Δ) / buy 24,400 call, collect say ₹75 credit, width 200, max risk = $200 - 75 = ₹125 \times \text{lot}$. Breakeven 24,275; max profit ₹75 if Nifty expires below 24,200; max loss ₹125 above 24,400. Why not a debit put spread? IV is rich — I don't want to pay inflated vol; the credit call spread lets me win on flat/down/mildly-up AND harvest the elevated IV via theta and eventual IV normalization. Management: target ~50% of credit to close early, cut if 24,200 is breached and delta runs, and I'd avoid this if the weekly IV were in backwardation ahead of an event. If I were MORE bearish and IV cheap, I'd flip to a debit put spread for bigger payoff. - *Say it crisply:* Mildly bearish plus rich IV means sell a bear call credit spread — e.g. sell 24,200 / buy 24,400 for ~₹75 — winning on flat-to-down while harvesting the elevated vol, rather than paying up for a debit put spread. - *Follow-up they may ask:* "Why not just sell a naked call?" Undefined risk and heavy margin; the bought 24,400 wing caps my loss and margin for a small give-up in credit.

Q11. When is the best trade NO trade? How do you know? - *Interviewer is testing: discipline and edge-awareness — the mark of an experienced trader.* - *Deep answer:* The best trade is no trade whenever I can't clearly articulate an edge on all three axes. Concretely, I stand down when: (1) direction, vol, and path don't align into a coherent structure — e.g., I'm bearish but IV is cheap AND an event could crush it, giving conflicting signals; (2) vol is neither clearly rich nor cheap — selling cheap or buying expensive premium is negative-edge by construction; (3) a fat event sits inside the horizon and I have no view on it — that's gambling on a coin-flip while paying the crush; (4) the setup requires me to force a favorite structure onto a view it doesn't fit; (5) I'm revenge-trading or bored — the worst reason to have a position. Costs matter too: with STT (rising to ~0.15% on option premium from Apr 2026 — verify current), brokerage, and bid-ask, a

thin-edge trade is negative after frictions. Experienced traders lose money not from missing trades but from taking marginal ones; capital preserved is optionality kept. The tell that I should pass: if I can't say in one sentence WHY this specific structure has positive expected value right now, I don't put it on. - *Say it crisply*: No trade whenever I can't state the edge in one sentence — conflicting axes, vol that's neither rich nor cheap, an event I have no view on, or forcing a favorite structure. Preserved capital is kept optionality. - *Follow-up they may ask*: "How does cost affect this?" Rising STT (~0.15% on premium from Apr 2026, verify), brokerage and spread turn thin-edge trades negative after frictions — the edge must clear costs before it's a trade.

Q12. How does the India cost/settlement structure change your strategy choice? - *Interviewer is testing*: India-specific practicality that separates a real desk trader from a textbook one. - *Deep answer*: Several India frictions actively shape structure. (1) STT and the ITM-exercise trap: STT on exercised long ITM options is charged on the full SETTLEMENT/intrinsic value, not premium — historically much higher, so letting a long ITM option auto-exercise can cost far more than squaring off in the market; I square off ITM longs before expiry rather than exercise. STT on option SELLS is on premium and rises to ~0.15% from Apr 2026 (verify current), which taxes high-churn selling. (2) Physical settlement of STOCK options: in-the-money single-stock options settle by physical delivery, so an ITM position at expiry means taking/giving actual shares and a big delivery obligation/margin — I close or roll stock-option positions before expiry unless I genuinely want delivery, and this is why I mostly express views in cash-settled INDEX options. (3) SPAN + exposure margin makes naked/undefined structures expensive, pushing me to defined-risk spreads. (4) Weekly-expiry dynamics and recent SEBI changes to expiry days, lot sizes and contract specs (revised through 2024–26 — verify current lot sizes and the single-weekly-expiry-per-exchange rules) change gamma/theta timing and position sizing. Net effect: I favor cash-settled index options, defined-risk spreads, and squaring off before expiry to dodge the exercise-STT and physical-delivery traps. - *Say it crisply*: India frictions push me to cash-settled index options and defined-risk spreads, and to square off ITM positions before expiry — to dodge the ITM-exercise STT trap, physical stock-option delivery, and heavy SPAN margin. - *Follow-up they may ask*: "The ITM-exercise STT trap in one line?" STT on exercised long ITM options is levied on full intrinsic value, so auto-exercise can cost far more than simply selling the option in the market before expiry — always square off.

Income, Hedging, Synthetics & Relative-Value

This chapter covers the working trades of a real book: harvesting premium for income, hedging a portfolio properly, the synthetic relationships that keep pricing honest, and the relative-value structures (calendars, dispersion) a senior trader reaches for. The theme throughout: WHEN does each actually earn its keep, and where does it bite.

Q1. Walk me through premium-selling for income — theta harvesting — and its real risk. - *Interviewer is testing:* whether you respect that income selling is short a fat tail, not free carry. - *Deep answer:* Income selling means systematically selling options (strangles, condors, put spreads) to collect theta and the variance risk premium in a range-bound, high-IV regime. The mechanics: I'm short vega and short gamma, long theta — every calm day the premium decays into my pocket. On Nifty/Bank Nifty weeklies the theta is steep in the last few days, so a lot of income traders live in the front week selling ~16-delta strangles or condors. The edge is real (IV > realized on average). The REAL risk is the shape of the P&L: you win small and often, then a gap or vol spike hands you a loss that dwarfs many weeks of collected premium — the classic "picking up nickels in front of a steamroller." Being short gamma means losses ACCELERATE as the market moves against you, exactly when you can least afford it. So mature income selling is all about the tail: defined-risk (condors, not naked strangles), position sizing as a small fraction of capital, hard loss thresholds (cut at 1.5–2× credit), avoiding fat events, and NOT scaling up after a good run (that's how the eventual gap ends careers). The income is the byproduct of disciplined tail management, not the point. - *Say it crisply:* Theta harvesting sells rich IV in a calm range to collect decay — a real edge, but you're short a fat tail, so it's won or lost on sizing, defined risk, and cutting before a gap, not on the premium collected. - *Follow-up they may ask:* "How do you size income trades?" As a small fraction of capital with defined risk, so the worst realistic gap is a survivable loss — never sized on the median outcome.

Q2. How do you hedge an equity portfolio with index options — protective puts vs collars? -

Interviewer is testing: practical portfolio hedging and cost-awareness. - *Deep answer:* Simplest is a protective put: buy OTM Nifty puts against a long portfolio so downside past the strike is capped — clean insurance, but it costs premium that bleeds (theta) and drags returns in an up/flat market, and IV is usually rich so you overpay. To cut the cost I sell an OTM call against it — a COLLAR: the call premium finances the put, so protection becomes cheap or zero-cost, but I cap upside at the call strike. Worked: portfolio ~₹50L tracking Nifty at 24,000; buy the 23,000 put (~5% OTM) for downside, sell the 25,000 call to fund it — I'm protected below 23,000, give up gains above 25,000, near-zero net cost. Sizing the hedge is via BETA and notional: number of lots $\approx (\text{portfolio value} \times \text{beta}) / (\text{Nifty} \times \text{lot size})$, so the index puts offset the portfolio's index exposure. When each earns its keep: buy outright puts when I specifically fear a crash and want full upside; use a collar when I want cheap protection and am willing to cap upside (e.g., locking in gains before an event). The discipline is hedging the RIGHT notional (beta-adjusted) and accepting that perfect hedges cost money — a hedge that never costs anything isn't hedging much. - *Say it crisply:* Protective puts = clean insurance that bleeds premium; collars sell an upside call to fund the put for near-zero cost but cap gains. I size lots by beta-adjusted notional and pick based on whether I'll pay for full upside or cap it to cheapen the hedge. - *Follow-up they may ask:* "Zero-cost collar — catch?" You've sold your upside above the call strike; the protection is 'free' only because you financed it by giving away gains.

Q3. What's a put-spread collar and why use it over a plain collar? - *Interviewer is testing:* nuanced, cost-efficient hedging beyond the textbook. - *Deep answer:* A plain protective put is expensive; a plain collar caps upside hard. A put-spread collar refines both: instead of buying a single put, you buy a put SPREAD (buy the near put, sell a lower put) for cheaper downside protection over a defined band, and finance it by selling an

upside call. The logic: full crash protection via a lone deep put is costly and, in a moderate pullback, you often don't need protection all the way to zero — a put spread covering, say, a 5–12% drop is far cheaper, and the premium saved means you sell a FURTHER-OUT call, giving up less upside. Worked: Nifty 24,000 — buy 23,000 put, sell 21,000 put (protection over the 4–12% down band), sell 25,500 call to finance. Cheaper than a full collar and preserves more upside. The tradeoff/catch: below the lower put strike (21,000) you're UNPROTECTED again — a true crash punches through your put spread and you're naked below it. So a put-spread collar is the right tool when I fear a MODERATE correction and want cost-efficiency, but a plain protective put or wider spread is better if I genuinely fear a tail crash. It's the classic cost-vs-coverage refinement a real hedger makes. - *Say it crisply*: A put-spread collar buys a put spread for cheaper banded downside and funds it with an upside call — better cost and more retained upside than a plain collar, but you're unprotected below the lower put in a true crash. - *Follow-up they may ask*: "So when NOT to use it?" When you fear a genuine tail crash — the lower short put re-exposes you, so a full protective put or a wider spread is safer there.

Q4. Explain put-call parity and how synthetics fall out of it. - *Interviewer is testing*: the arbitrage backbone that makes synthetics and conversions possible. - *Deep answer*: Put-call parity says: $\text{Call} - \text{Put} = \text{Forward} - \text{Strike}$ (present-valued), i.e., a long call plus a short put at the same strike/expiry equals a synthetic long forward/underlying. Rearranging gives every synthetic: synthetic long stock = long call + short put; synthetic long call = long stock + long put; synthetic long put = short stock + long call; and so on. This isn't academic — it's the law that keeps calls, puts, and the underlying/future consistently priced, because any deviation is arbitrageable. Practically, synthetics let me replicate a position when the direct instrument is illiquid, expensive, or margin-inefficient — e.g., create a synthetic long via options if the future is dislocated, or synthetically flip a position without unwinding legs. It's also how I sanity-check pricing: if the call, put and future don't line up per parity (adjusting for dividends/interest/carry), there's either an arb or I'm mis-reading something. On Indian index options parity holds tightly against the future; small deviations reflect carry, and any real gap gets arbed by desks in seconds. - *Say it crisply*: Put-call parity — long call plus short put equals synthetic long underlying — is the law that keeps calls, puts and the future consistent, and every synthetic and conversion is just a rearrangement of it. - *Follow-up they may ask*: "Build a synthetic long put." Short the underlying/future and buy a call at that strike — same payoff as owning the put.

Q5. What are conversions and reversals, and when do they matter? - *Interviewer is testing*: arbitrage literacy and how desks lock risk-free edges. - *Deep answer*: A conversion locks a risk-free position when options are mispriced RICH: buy the underlying, buy a put, sell a call at the same strike/expiry — the long put + short call is a synthetic SHORT that offsets the long underlying, so you're market-neutral and pocket any pricing discrepancy versus parity. A reversal is the mirror for when options are CHEAP: short the underlying, sell a put, buy a call — synthetic long offsetting the short. Both are pure put-call-parity arbitrages: they extract the gap when $\text{Call} - \text{Put}$ deviates from $\text{Forward} - \text{Strike}$ beyond carry/costs. In liquid markets these edges are tiny and fleeting — market-maker/desk territory, gone in seconds — so as a directional trader I rarely put them on for profit. Where they matter to me: (1) they're the conceptual proof that synthetics are equivalent, which lets me leg into or out of positions via whichever instrument is cheapest/most liquid; (2) recognizing a conversion/reversal helps me understand pin risk and early-exercise/settlement quirks at expiry; (3) on Indian markets, dividend/carry and the ITM-exercise-STT trap can create apparent parity gaps that AREN'T free — a naive "arb" can get eaten by STT on exercise, so I check settlement mechanics before assuming an edge is real. - *Say it crisply*: Conversion (long underlying + long put + short call) and reversal (the mirror) are pure parity arbitrages that lock the gap when options are mispriced — mostly market-maker edges, but knowing them lets me leg positions via the cheapest instrument and spot fake 'arbs' that STT

would eat. - *Follow-up they may ask*: "Why might a parity 'arb' in India not be free?" STT on ITM exercise and carry/dividend effects can consume the apparent gap — the mispricing must clear real settlement costs to be genuine.

Q6. How do you beta-hedge a multi-stock book with index options? - *Interviewer is testing*: portfolio-level hedging math and its limits. - *Deep answer*: A portfolio of individual stocks has a net market exposure = $\Sigma(\text{position value} \times \text{stock beta})$. To hedge that systematic exposure with index options (or futures), I convert to index notional: hedge notional = portfolio value $\times$ portfolio beta, then lots = hedge notional / (index level $\times$ lot size). I then buy Nifty puts (or a put spread/collar) sized to that notional so a market-wide drop is offset. Worked: ₹1cr book, portfolio beta 1.2 $\rightarrow$ effective market exposure ₹1.2cr; at Nifty 24,000 with lot size, that's a specific number of put lots to cover the down move. Why index options and not stock options: cheaper, more liquid, cash-settled (no physical-delivery trap), and I usually want to hedge MARKET risk, not each name. The critical limitation: index hedging only neutralizes SYSTEMATIC (beta) risk — it does nothing for idiosyncratic/single-stock risk (a fraud, a bad result in one name) or for basis risk if my portfolio drifts from the index. Beta is also unstable and rises in a crash (correlations $\rightarrow$ 1), so the hedge can under- or over-cover exactly when it matters. So I treat the beta hedge as a systematic-risk overlay, re-estimate beta periodically, and keep separate single-name hedges for concentrated positions. - *Say it crisply*: Size index puts to the portfolio's beta-adjusted notional — value $\times$ beta / (index $\times$ lot) — to offset market risk; it neutralizes systematic beta only, leaving single-name and basis risk, and beta itself rises in a crash. - *Follow-up they may ask*: "What does it NOT hedge?" Idiosyncratic single-stock risk and basis risk — and beta instability means the coverage drifts, worst just when correlations spike.

Q7. A calendar spread as a term-structure trade — when does it earn its keep? - *Interviewer is testing*: using calendars as a vol/term-structure view, not a generic neutral trade. - *Deep answer*: A calendar (sell front, buy back, same strike) is really a bet on TWO things: that the underlying stays near the strike (so the front decays faster than the back), and on the vol term structure (you're net long vega, so you want back-month IV to hold or rise relative to front). It earns its keep specifically when: (1) the curve is in CONTANGO — front vol cheap, back richer — so you're selling relatively expensive fast-decaying front theta; (2) the underlying is expected to pin near the strike; and (3) ideally back-month IV is set to firm up. Worked: Nifty 24,000, sell the current-week 24,000 straddle/call, buy the monthly 24,000, net debit — if Nifty hovers, the weekly bleeds to zero and I keep the richer monthly. Where it bites: a big directional move away from the strike (spread value collapses as both legs move together) and, crucially, BACKWARDATION — if front vol is already above back (a stress/event regime), you're selling the cheap leg and the trade is upside-down, plus an event can crush back-month IV. So the calendar is my go-to when I have an explicit "front vol overpriced vs back, market rangebound" view, and something I avoid in backwardation or ahead of an event that lives in the front week. - *Say it crisply*: A calendar is a long-vega, term-structure trade that wants contango and the underlying pinning the strike — it earns its keep selling rich front vol vs cheaper back, and it inverts on you in backwardation or on a big directional move. - *Follow-up they may ask*: "Front week has an event — calendar good or bad?" Bad — event vol inflates the front you're short and can crush the back you're long; calendars want a calm front and contango.

Q8. Explain dispersion trading at a high level. What's the actual bet? - *Interviewer is testing*: whether you understand correlation as a tradeable factor — senior-desk concept. - *Deep answer*: Dispersion trades the relationship between INDEX vol and the vol of its CONSTITUENTS. Index variance $\approx$ average single-stock variance scaled by average correlation — so index vol is low relative to the average stock vol when correlations are low, and high when stocks move together. The classic dispersion trade: SELL index vol (short index straddles/variance) and BUY single-stock vol (long straddles on constituents) — you're short

correlation. It profits when stocks move a lot INDIVIDUALLY but the index stays calmer than implied (low realized correlation) — the single-name longs pay while the index short decays. The opposite (long index vol, short single-stock vol) is long correlation, a bet that a macro shock drives everything together. The economic driver is the correlation risk premium: index puts are structurally bid (hedgers), so index IV embeds a correlation premium that dispersion harvests. In India this is hard to run cleanly — single-stock option liquidity is thin outside the top names, physical settlement complicates the constituent legs, and margin is heavy — so it's more a large-desk/quant strategy than a retail one, but understanding it shows you grasp that index vol is a correlation bet. - *Say it crisply*: Dispersion sells index vol and buys constituent vol — a short-correlation bet that pays when stocks move individually but the index stays calm, harvesting the correlation risk premium embedded in bid index puts. - *Follow-up they may ask*: "Why is it hard in India?" Thin single-stock option liquidity, physical settlement of stock options, and heavy margin make the constituent legs impractical outside the largest names — it's a big-desk trade here.

Q9. When does a ratio spread earn its keep in an income/hedging context? - *Interviewer is testing*: using ratios purposefully, with tail-awareness, in a real book. - *Deep answer*: In an income context a call (or put) ratio spread — buy 1, sell 2 further out — lets me lean directional AND collect extra premium: e.g., mildly bullish, buy 1 ATM call, sell 2 OTM calls for a net credit, max profit at the short strike, and if it stays below there I keep the credit. It "earns its keep" when I expect a move TO a level but not through it, and want the short-vol carry. In a HEDGING context, the put ratio backspread (sell 1 near put, buy 2 further puts) is the star — often zero/low cost, it's cheap convex crash protection that explodes if the index gaps down and skew steepens, while bleeding little if nothing happens. So I use backspreads to hedge tail risk cheaply and ratio (short-heavy) spreads to add income to a directional-with-a-ceiling view. The non-negotiable discipline: the short-heavy ratio has a NAKED tail beyond the short strikes — if the move overshoots, losses run, so I size small, define an adjustment/exit if the short strike is tested, and never treat the collected credit as free. The backspread's risk is the opposite — it bleeds the small net debit/carry if the market goes quiet. - *Say it crisply*: Short-heavy ratio spreads add income to a move-to-a-level view but carry a naked tail past the short strikes; put backspreads are cheap convex crash hedges — I use each for its purpose and size the ratio's tail carefully. - *Follow-up they may ask*: "Ratio spread tested — what do you do?" Roll or close before the naked short strike is breached, or buy a wing to cap it; never let the uncovered tail run in size.

Q10. Bottom line — how do you decide which of these earns its keep in a given month? - *Interviewer is testing*: the synthesizing judgment that ties income, hedging and RV to regime. - *Deep answer*: I map each tool to the regime and the book's needs. Income/premium-selling (condors, put spreads, strangles) earns its keep in a CALM, high-IV-percentile, CONTANGO month with no fat events — that's when the VRP pays and the tail is quiet — sized small and defined-risk. Hedging (protective puts, collars, put-spread collars, beta-hedge) earns its keep when I'm carrying long exposure into uncertainty or elevated crash risk, or after a strong run when I want to lock gains — the cost is justified by the tail I'm insuring. Calendars earn their keep when the term structure specifically favors them (contango, rangebound, back-vol firming).

Backspreads/ratios earn their keep as cheap convex tail hedges or move-to-a-level income respectively. Synthetics/conversions matter for execution efficiency and pricing checks more than standalone profit. Dispersion is a large-desk correlation bet, not a monthly staple here. The unifying logic: I read regime first (VIX level, term structure, event calendar, IV percentile), decide whether I'm net short vol (harvest income), net long/convex (hedge, own gamma), or flat, and then reach for the structure that expresses that at the best cost — and if nothing fits, the best trade is no trade. - *Say it crisply*: Regime decides: calm/contango/high-IV with no events → harvest income defined-risk; elevated crash risk or locking gains → hedge with puts/collars; explicit term-structure view → calendars; cheap tail → backspreads. Read regime first, pick the cheapest

structure that expresses it, and pass when nothing fits. - *Follow-up they may ask: "One signal to set posture?"*
The term structure plus VIX — contango and low-to-moderate VIX says harvest income; backwardation or a VIX spike says hedge, own convexity, or stand aside.

Risk Management & Position Sizing (Options Book)

This chapter is where a desk head decides whether you can be trusted with capital. They are less interested in whether you know the Greeks and more in whether you think in max-loss, aggregate exposure, and survival. Numbers below are date-stamped where a rule can move; verify current NSE/SEBI/broker specs before you quote them live (as of July 2026).

Q1. How do you size an options position — walk me through the actual number. - *Interviewer is testing: whether you size from loss, not from "conviction" or premium collected.* - *Deep answer:* I size off max-loss-per-trade as a fixed fraction of book equity — typically 0.5–1% risk per idea, 2% hard ceiling. Say the book is ₹50 lakh and I risk 1% = ₹50,000. If I'm selling a Bank Nifty 1000-wide iron condor with lots of 35 (verify current — BN lot has moved; assume 35 for the example), and my defined max loss on the untested-through scenario is $(1000 - \text{credit}) \times 35$, I back into how many lots fit under ₹50,000, then haircut for the fact that real exit happens before max loss but gap risk can exceed it. For undefined-risk shorts (naked strangle), I can't use structural max loss, so I size off a modelled 3-sigma move: estimate the loss if the index gaps 3–4% overnight, and make THAT number $\leq$ my risk budget. The premium I collect never sizes the trade — a ₹120 credit on a strangle that loses ₹9,000/lot in a gap is not a "₹120 trade," it's a ₹9,000 trade. I also cap by margin: even if risk allows more, I won't deploy beyond ~50–60% of margin so a SPAN spike doesn't force liquidation. - *Say it crisply:* I size from max loss or a modelled 3-sigma loss — 0.5–1% of equity per trade, never from the premium collected, and always leaving margin headroom for a SPAN spike. - *Follow-up they may ask:* "Why not size off premium?" Because premium is the reward; risk is the loss distribution, and on short options the loss dwarfs the credit.

Q2. Defined-risk vs undefined-risk — how does your max-loss thinking differ? - *Interviewer is testing: respect for tail risk on naked shorts.* - *Deep answer:* On defined risk (spreads, condors, flies) the max loss is structural and known at entry: width minus credit, times lot size, times lots. I can size that to the rupee and I know a gap can't hurt me beyond it — margin is also lower (SPAN recognises the long leg). On undefined risk (naked calls/puts/strangles) there is no structural cap; a naked short call is theoretically unlimited loss. So my "max loss" is a scenario number, not a fact — I model a 3–4 sigma gap and treat that as my working max. I demand far more premium per unit of tail for undefined risk, keep the position smaller, and I'm quicker to convert to defined risk (buy a wing) if IV or the underlying starts moving. In India the physical-settlement regime on single stocks makes naked short stock options especially dangerous into expiry, so I strongly prefer defined risk on stocks and reserve naked shorts for index (cash-settled). - *Say it crisply:* Defined risk has a known structural max I can size exactly; undefined risk only has a modelled 3-sigma max, so I size it smaller, price the tail higher, and cap it with a wing when it moves. - *Follow-up they may ask:* "When do you buy the wing?" When IV expands or the short delta doubles from entry — I'd rather pay for a cap than pray.

Q3. Talk me through the aggregate Greeks of a book. What do you keep in bounds and why? -

Interviewer is testing: portfolio-level thinking, not per-trade thinking. - *Deep answer:* I run net delta, gamma, vega, theta at the book level, normalised so they're comparable. Net delta I keep near a target (often near-flat, or a small deliberate directional tilt expressed in index-point terms — e.g. book delta = +₹8,000 per 100 Nifty points). Gamma is the one that bites: near expiry, short gamma means my delta flips fast on a move, so I cap gamma such that a 1% index move doesn't swing my delta beyond what I can hedge in one clip. Vega I bound by "how much does the book lose if India VIX jumps 5 points" — a short-vega book that's fine today can bleed on a vol spike. Theta is my income but it's the mirror of short gamma/vega, so I never chase theta by piling on short gamma into expiry. The discipline: no single Greek should be able to produce a day's loss bigger than my daily loss limit under a plausible move. I re-aggregate intraday because new fills and spot

moves change everything. - *Say it crisply*: I keep net delta near target, cap gamma so my delta can't run away on a 1% move, bound vega by a VIX-shock rupee number, and treat theta as a byproduct — never a reason to over-short gamma. - *Follow-up they may ask*: "Which Greek kills books?" Short gamma near expiry — it converts a normal move into a delta explosion faster than you can hedge.

Q4. What is margin-expansion risk and how does it force your hand? - *Interviewer is testing*:

understanding that margin is dynamic, not the entry number. - *Deep answer*: SPAN margin is recomputed on volatility and the exchange can raise the volatility scan range or impose additional/ad-hoc margins when markets get stressed — exactly when your shorts are losing. So the ₹1.2 lakh margin on a strangle at entry can balloon to ₹2 lakh mid-crisis, on the same position, purely from a vol/scan-range hike. If you were near fully deployed, you now face a margin shortfall and the broker can square you off at the worst possible price — a forced liquidation at the bottom. That's why I never run above ~50–60% margin utilisation on short vol: the buffer is specifically for margin expansion, not for new trades. I also watch that peak-margin/intraday-margin reporting (SEBI's four-snapshot regime) means I must hold margin through the day, not just at entry. The lesson experienced traders learn the hard way: you can be right on direction and still get liquidated because margin expanded and you had no cash buffer. - *Say it crisply*: SPAN margin expands on volatility right when shorts are hurting, so I run at 50–60% utilisation — the buffer is there so a margin hike can't force-liquidate me at the lows. - *Follow-up they may ask*: "What's the first sign?" Rising India VIX and the exchange raising scan-range/ELM — margin creeps up before the big move.

Q5. How much can this book lose in a 3-sigma overnight gap? Show me you can compute it. -

Interviewer is testing: whether you can actually stress your book, not hand-wave. - *Deep answer*: I take my net short options and shock spot by 3 sigma. If Nifty is 24,000 and 1-day sigma from IV is ~0.9%, a 3-sigma gap $\approx 2.7\% \approx 650$ points. Say I'm short 20 lots of a 24,000 straddle-ish structure with net short gamma; I revalue every leg at 23,350 AND 24,650 (gaps cut both ways), including the IV jump that accompanies a crash (down-gaps come with a vol spike, so I also bump IV +5–8 vols on the downside). The larger of the two revaluations is my 3-sigma loss. If that number exceeds my daily loss limit or my cash buffer, the book is too big — I cut lots or add wings until the shocked loss fits. I do this on the whole book jointly, not trade by trade, because correlated shorts all lose together. The key nuance: on a down-gap, spot AND vega move against a short-put/short-vol book simultaneously — you must shock both, or you'll badly underestimate the loss. - *Say it crisply*: I revalue every short leg at spot ± 3 sigma with a vol bump on the downside, take the worse side, and if that shocked loss beats my loss limit or cash buffer, the book gets cut until it fits. - *Follow-up they may ask*: "Why bump vol on the downside only?" Because equity crashes are vol-up events — a symmetric shock understates crash losses.

Q6. Stop-loss on options — do you stop on premium, on the underlying, or on Greeks? - *Interviewer is testing*:

stop discipline and its pitfalls on convex instruments. - *Deep answer*: I mainly stop on the underlying level or a multiple of credit, not on a fixed premium tick, because option premium is noisy and gappy. For a short premium trade I use "stop at 2× the credit received" (lose twice what I collected) as a default mechanical stop, combined with a spot level that invalidates the thesis. The catch: a hard premium stop can be gapped through — near expiry a short option can 10× on a move, so the stop is a decision level, not a guaranteed fill. For that reason I prefer defined-risk structures where the stop is built in (the wing). On longs I stop on premium decay/time as much as level. And I never widen a stop to avoid taking the loss — that's the single most common way traders blow up short-vol books. - *Say it crisply*: I stop on the spot level that kills the thesis plus a 2× credit rule, but I treat it as a decision point not a guaranteed fill — which is why I lean to defined risk so the stop is structural. - *Follow-up they may ask*: "What if it gaps past your stop?" Then defined risk already capped me; on undefined risk I take the fill immediately and re-hedge, never hope.

Q7. How do you handle correlation across positions? - *Interviewer is testing:* whether you see hidden concentration. - *Deep answer:* The trap is thinking you're diversified because you have five tickers, when they're all long-beta short-vol expressions that lose together in a crash. I map every position to its real risk factors: index direction, vol level, and sector/single-name idiosyncratics. Short Nifty puts, short Bank Nifty puts, and short Reliance puts are effectively one big short-crash bet — I aggregate their delta and vega as if correlated ~ 1 in a stress scenario, because in a real gap correlations go to 1. So my portfolio 3-sigma shock (Q5) treats them jointly. I deliberately keep some genuinely offsetting exposure or dry powder, and I size the aggregate short-vol bet, not each ticker. Bank Nifty is more volatile than Nifty, so a "balanced" delta-neutral pair across the two isn't really neutral in a shock — I beta-adjust. - *Say it crisply:* In a real gap all my long-beta short-vol trades become one trade, so I aggregate their delta and vega as correlated ~ 1 and size the whole cluster, beta-adjusting Bank Nifty vs Nifty. - *Follow-up they may ask:* "So diversification is fake?" In the tail, yes — correlations converge to 1, so I only trust diversification I've stress-tested jointly.

Q8. What's your daily and per-trade loss limit, and what happens when you hit it? - *Interviewer is testing:* discipline and pre-commitment. - *Deep answer:* Pre-committed numbers: $\sim 1\%$ of equity per trade, $\sim 3\%$ daily book stop, and a monthly drawdown circuit-breaker (say 6–8%) that cuts my size in half. When the daily limit hits, I flatten to a pre-defined "safe" residual and stop opening risk for the day — no revenge trading, which is where the real damage happens. The point of a hard number is that it removes discretion at exactly the moment my judgement is worst (after a loss). I log it. Hitting the monthly breaker triggers a review, not just smaller size — I want to know if it was variance or a broken edge. Experienced traders treat these limits as inviolable; the ones who blow up are always the ones who "just this once" moved the line. - *Say it crisply:* 1% per trade, 3% daily stop, a monthly drawdown breaker that halves size — hard numbers set in advance so I can't negotiate with myself after a loss. - *Follow-up they may ask:* "Ever overridden it?" No — the entire value of the limit is that it's non-negotiable.

Q9. How does physical settlement of stock options change your risk sizing? - *Interviewer is testing:* India-specific tail awareness. - *Deep answer:* All single-stock F&O in India is physically settled (since 2019, still current 2026). Any stock option ITM at expiry that you don't square off results in a delivery obligation — you must give/take actual shares, which needs full contract value in cash/stock, not just option margin. So a "small" short stock option can turn into a multi-lakh delivery obligation overnight if it drifts ITM into expiry. That's a step-change in required capital and a huge tail. I therefore size stock-option shorts assuming I might be assigned, keep clear of holding ITM stock options into expiry, and use the do-not-exercise facility / square off ITM positions before close. For index (cash-settled) this doesn't apply. Practically I treat expiry week on stock options as a different risk regime — smaller, defined, and closed out early. - *Say it crisply:* Stock options are physically settled, so an ITM short at expiry becomes a full-value delivery obligation — I size assuming assignment and square off ITM stock options before expiry rather than hold them. - *Follow-up they may ask:* "And index?" Cash-settled, no delivery — the only expiry tail there is gamma/pin risk, not delivery.

Q10. Give me a worked position-sizing example on a Bank Nifty short strangle. - *Interviewer is testing:* can you actually do the arithmetic under pressure. - *Deep answer:* Book ₹50 lakh, risk budget $1\% = ₹50,000$. Bank Nifty at 52,000, weekly expiry, I sell the 51,000 put and 53,000 call, collecting $\sim ₹150$ total per lot (₹75 each side), lot size 35 (verify current — SEBI/NSE have revised lot sizes; confirm live). Credit per lot = $150 \times 35 = ₹5,250$. It's undefined risk, so I size off a 3-sigma gap, not the credit. 1-day sigma $\sim 1.1\% \approx 570$ points; 3-sigma $\approx 1,700$ points. Shock to 50,300: the 51,000 put goes ~ 700 points ITM, revalue with a vol bump — call it a $\sim ₹850$ /lot loss on the put side net of the ₹75 credit and the now-worthless call $\approx ₹27,000$ /lot loss in that gap (illustrative). To keep the 3-sigma loss $\leq ₹50,000$, I can carry $\sim 1\text{--}2$ lots, not 10. Margin check: $\sim ₹1.3\text{--}1.5$ lakh/lot SPAN+exposure, so 2 lots $\approx ₹3$ lakh, well under 60% of a ₹50L book — margin isn't the binding

constraint here, the tail is. So: 1–2 lots, sized by the gap, not the ₹10,500 of premium two lots would collect. - *Say it crisply*: On ₹50L with 1% risk, a Bank Nifty strangle sizes to 1–2 lots because the 3-sigma gap loss — not the ₹150 credit — is what fills the ₹50,000 budget. - *Follow-up they may ask*: "Margin allowed 5 lots — why only 2?" Because margin isn't the risk; the 3-sigma loss is, and that caps me at 2.

Q11. How do you keep the book's net vega and theta honest as expiry approaches? - *Interviewer is testing*: dynamic risk, gamma/theta tradeoff. - *Deep answer*: Near weekly expiry, theta accelerates but so does gamma — the two are inseparable on short options. My theta looks great on Wednesday afternoon, but the same position that pays ₹X/day of theta will lose multiples of that on a 1% move because gamma is huge. So I cap short-gamma exposure into the last day even though it means giving up theta. On vega: front-week options have low vega but high gamma; further-dated have high vega, low gamma. If I want income without the expiry-day gamma bomb, I sometimes move the short leg out a week (less gamma per rupee of theta) or run a calendar. I re-mark net vega/theta at least at open, midday, and pre-close on expiry day, and I have a rule: on expiry day itself I don't add new short gamma — I only reduce. - *Say it crisply*: Theta and short gamma are the same coin, so into expiry I cap gamma even at the cost of theta, and on expiry day I only reduce short gamma, never add. - *Follow-up they may ask*: "Calendar vs same-week short?" Calendar gives me theta with far less expiry-day gamma — safer income, at the cost of some vega exposure.

Q12. What single risk failure have you seen blow up an options book, and how do you guard against it? - *Interviewer is testing*: scar tissue and a concrete safeguard. - *Deep answer*: The classic: a short-vol book that's "always" profitable, run at high margin utilisation, meets a gap-plus-vol-spike (think a policy shock or a global risk-off open). Three things hit at once — spot moves against the shorts, IV explodes lifting every short option, and SPAN margin expands forcing liquidation. The trader is right that it'll mean-revert, but gets margin-called out at the worst tick and never sees the recovery. Guard: (1) never above ~55% margin utilisation so expansion can't force me out; (2) portfolio 3-sigma shock with a downside vol bump sized under my loss limit; (3) defined risk / wings so there's a structural floor; (4) a hard daily stop that I take without negotiation. The meta-lesson: you don't survive by being right on direction, you survive by never letting one gap plus a margin spike put you in forced-liquidation territory. - *Say it crisply*: Short-vol books die when a gap, a vol spike, and a margin expansion hit together and force liquidation before the mean-reversion — I guard with low margin utilisation, wings, a stress-sized book, and a hard daily stop. - *Follow-up they may ask*: "So short vol is un-tradeable?" No — it's fine if it's defined, stress-sized, and run with a cash buffer; it only blows up when it's naked, oversized, and fully margined.

Adjustments, Rolling & Managing a Trade Through Pain

This chapter separates traders who have actually managed size through a drawdown from those who only know the payoff diagrams. The interviewer wants to hear a decision framework — adjust vs close vs do nothing — plus the honesty to say when adding to a loser is a trap. Rules and specs date-stamped as of July 2026; verify current NSE/SEBI lot sizes and expiry structure before quoting.

Q1. When do you adjust a position versus just close it versus do nothing? - *Interviewer is testing:* a clean decision hierarchy, not reflexive tinkering. - *Deep answer:* My default is do nothing — most adjustments are just paying costs to soothe anxiety. I only act when the thesis or the risk profile has actually changed. Close when the reason I put the trade on is gone (thesis invalidated, or I've captured most of the edge). Adjust when the thesis is intact but the risk has grown beyond my bounds — e.g. one side got tested and my delta/gamma is now outside limits, but I still believe in mean-reversion. Do nothing when it's just noise inside my expected range. The discipline: an adjustment must improve my risk-adjusted position on its own merits, i.e. I'd put the adjusted structure on fresh today. If I wouldn't, I'm just averaging into a loser to avoid booking a loss. I also weigh transaction costs and STT — over-adjusting weeklies bleeds you via costs and the ITM-exercise STT trap. - *Say it crisply:* Do nothing by default; close when the thesis is dead; adjust only when the thesis holds but risk breached my limits — and only if I'd put the adjusted structure on fresh today. - *Follow-up they may ask:* "How do you avoid over-adjusting?" I require each adjustment to stand alone as a trade I'd open today; if not, I close instead.

Q2. Explain rolling the untested side. Why and when? - *Interviewer is testing:* the standard strangle/condor defence and its limits. - *Deep answer:* On a short strangle, if the market moves toward my short call, the put side (untested) has decayed and is now far OTM collecting almost nothing. Rolling the untested side means buying back that cheap put and selling a new one closer to spot — collecting more credit to offset the loss on the tested call side and re-centering the position. It reduces net delta a touch and improves breakeven on the tested side. The limit, and where amateurs get hurt: rolling the untested side closer increases risk on the side that's currently winning — if the market whips back, you've now created a new tested side. So I only roll the untested side when I still expect range-bound behaviour, I don't roll it so close that I've just built a fresh problem, and I never let the total position grow beyond my original max-loss bounds. It's a credit-and-recenter tool, not a rescue. - *Say it crisply:* Rolling the untested side buys back the decayed leg and re-sells it closer to collect credit and recenter — good in a range, but don't roll it so tight you manufacture a new tested side on a whipsaw. - *Follow-up they may ask:* "What if both sides get tested after?" Then I've over-rolled — that's why I cap how close I bring the untested leg.

Q3. Rolling out (in time) and rolling down/up — mechanics and the trap. - *Interviewer is testing:* whether you understand rolling can hide losses. - *Deep answer:* Rolling out means closing the current-expiry short and opening the same or adjusted strike in a later expiry, usually for a net credit because further-dated options carry more premium. Rolling down (puts) or up (calls) moves the strike away from spot to reduce assignment/ITM risk. Combined, "roll out and down" is the classic defence on a tested short put: go to next month, lower strike, collect credit, buy time for mean-reversion. The trap: you can almost always roll for a credit, which makes it feel free — but you're extending duration and often adding size/risk to avoid realising a loss. That's how a small losing trade becomes a huge multi-month position you're trapped in. My rule: I'll roll out/down once, for a genuine credit, if the thesis holds and the new position is within my limits — but I never roll purely to avoid booking a loss, and I never increase size to make the roll "work." - *Say it crisply:* Roll

out/down for a credit to buy time when the thesis holds, but never roll just to dodge a realised loss — that's how a small loser becomes a position you're trapped in. - *Follow-up they may ask*: "How many times will you roll?" Ideally once; a second roll usually means the thesis is wrong and I should close.

Q4. Converting a losing short into a spread — when and why? - *Interviewer is testing*: using defined risk as a defensive tool. - *Deep answer*: If a naked short (say a short call) is being tested and my tail risk is now uncomfortable, I can buy a further-OTM call to convert it into a vertical spread — capping the loss. Yes, I pay premium and give up some potential recovery, but I've turned undefined risk into defined risk exactly when the tail matters most. I do this when IV has expanded (the wing is relatively cheaper to buy in vol terms early) and when my modelled 3-sigma loss on the naked leg has breached my limit. The alternative — converting a short into a spread by rolling the short strike and adding a long — should keep me inside original max-loss. This is often smarter than closing outright because it keeps me in the trade with a known worst case. On single stocks near expiry, converting to defined risk also protects against the physical-settlement/assignment tail. - *Say it crisply*: When a naked short's tail breaches my limit, I buy a wing to convert it to a defined-risk spread — I pay for the cap, but I've bought certainty on my worst case right when it matters. - *Follow-up they may ask*: "Why not just close?" Sometimes I do — but converting keeps me in a thesis I still believe while capping the tail, at lower cost than exiting into a spike.

Q5. "Adding to defend" — when is it legitimate and when is it a trap? - *Interviewer is testing*: the single most dangerous habit in option selling. - *Deep answer*: Adding to a tested position (selling more premium as it moves against you, or "doubling the strangle") is legitimate ONLY if: the thesis is genuinely intact, the added risk keeps the total position inside your original max-loss/3-sigma bounds, and you'd open that new structure fresh today. It's a trap — and the classic blow-up — when you add purely to lower your average and "get back to breakeven faster," because you're increasing size into a move that's proving you wrong, right as gamma and vega work against you. The margin also expands as you add and as vol rises, so you're leveraging up into stress precisely when a margin call can force you out. My discipline: adding must reduce, not increase, my portfolio risk relative to my limits; if adding pushes my 3-sigma loss past my budget, it's forbidden regardless of how attractive the premium looks. Nine times out of ten the correct "defence" is to reduce, not add. - *Say it crisply*: Adding to defend is legitimate only if it keeps total risk inside my original bounds and I'd open it fresh today — otherwise it's just leveraging into a move that's proving me wrong, and the answer is to reduce. - *Follow-up they may ask*: "So martingale option selling?" Never — increasing size into a losing thesis with expanding margin is exactly how books blow up.

Q6. How do you manage a tested short strike as it goes near/at-the-money? - *Interviewer is testing*: concrete management of the danger zone. - *Deep answer*: Once my short strike is ATM, gamma is at its worst and delta is ~ 0.5 and rising — small moves now cost a lot and my delta is unstable. My options: (1) delta-hedge with the underlying/futures to neutralise the runaway delta; (2) roll the strike further out of the money (up/out for a call), accepting a debit or small credit, to step out of the gamma zone; (3) cap it with a wing (buy the further strike) to define the risk; (4) just close and take the loss. Which one depends on time to expiry and my thesis. Near expiry with high gamma, I lean to closing or capping — you cannot safely delta-hedge a huge-gamma expiry-day short because the hedge itself whips. With time left, rolling out/away buys room. The mistake is freezing — an ATM short strike on expiry day is the most dangerous single thing in the book and needs a decision, not hope. - *Say it crisply*: At an ATM short strike gamma is maximal, so I delta-hedge or roll out with time left, but near expiry I cap or close — you can't safely hedge expiry-day gamma, and freezing is the real mistake. - *Follow-up they may ask*: "Delta-hedge or close on expiry day?" Close or cap — expiry-day gamma makes hedging a losing game of chasing your own delta.

Q7. Do you take profits at 50%? Defend the rule. - *Interviewer is testing:* understanding of the risk/reward of holding winners to expiry. - *Deep answer:* Yes, a common mechanical rule on short premium is to buy back at ~50% of max profit. The logic: the remaining premium is small but the risk (gamma, tail, a reversal) is not — you're risking the rest of the position to earn the last, low-return rupees. Closing at 50% frees margin, removes tail exposure, and lets me redeploy into a fresh, better-priced trade with more time value to decay. Over many trades, taking 50% and re-deploying beats squeezing the last 50% because it improves win consistency and cuts the chance a winner turns into a loser near expiry. I flex the threshold with time and vol — I'll take profits faster if IV has collapsed (little left to gain) or if we're near expiry (gamma risk rising). It's not dogma; it's a favourable risk-adjusted exit. - *Say it crisply:* Yes — at 50% of max profit the remaining premium is small but the tail and gamma risk aren't, so I book it, free the margin, and redeploy into fresh time value. - *Follow-up they may ask:* "Why not hold to expiry for full premium?" Because the last 50% earns little while carrying most of the reversal and gamma risk — poor risk-adjusted return.

Q8. Mechanical vs discretionary management — where do you land? - *Interviewer is testing:* self-awareness and process. - *Deep answer:* I'm mostly mechanical with a discretionary overlay. Mechanical rules — 50% profit-take, 2× credit stop, defined max-loss, "no new short gamma on expiry day" — exist because my judgement is worst under stress, and pre-committed rules stop me negotiating with myself after a loss. But pure mechanics are blind to regime: an earnings event, an RBI policy day, a global risk-off, or a vol spike changes the distribution, and there I overlay discretion — smaller size, wider strikes, or standing aside. The key is that discretion only ever makes me more conservative than the rules, never more aggressive. If I'm tempted to override a stop to stay in, that's exactly when the mechanical rule must win. So: rules set the floor of discipline; discretion only tightens risk, never loosens it. - *Say it crisply:* Mechanical rules for exits and limits because my judgement is worst under stress; discretion only ever to get more conservative around events — never to loosen a rule. - *Follow-up they may ask:* "When has discretion helped?" Sizing down or standing aside ahead of a policy day or a VIX spike — mechanics don't see the event, I do.

Q9. Walk me through a real trade that went against you — exactly what you did. - *Interviewer is testing:* honesty, process under fire, and a clean postmortem. - *Deep answer:* Nifty short strangle, weekly, sold 24,000 put / 24,600 call for ~₹140 total, expecting a quiet range. Midweek a global risk-off gapped Nifty down ~1.6% to ~23,650 at open; India VIX jumped ~4 points. My put side went ATM/ITM, delta ran, and both spot and vega hit the short put. First move at the open: I did NOT add — I checked my 3-sigma budget and saw the position was near my daily limit. I bought a 23,400 put to convert the naked put into a spread, capping the tail (paid up in the vol spike, but capping mattered more). I rolled the now-worthless 24,600 call down to 24,100 for a small credit to offset. Then, since the thesis (range) was invalidated, I closed the whole structure into the mid-morning stabilisation rather than hoping for a bounce, taking a loss of ~1.4% of the book — inside my limit. Postmortem: entry was fine, but I'd sized for a normal week and the strangle was a hair too big for an event-risk calendar; I should have been one lot smaller given the setup. Lesson logged: size down when the vol-of-vol is cheap and complacent. - *Say it crisply:* On a gap-down I capped the tested put into a spread, rolled the untested call down for credit, then closed the invalidated thesis inside my loss limit — and logged that I'd sized a touch big for an event week. - *Follow-up they may ask:* "Why cap before closing?" To stop the tail bleeding instantly while I made the calm decision to exit — capping buys you the composure to close well.

Q10. What's your rule for when to just close and stop managing? - *Interviewer is testing:* knowing when management is denial. - *Deep answer:* I close outright — no more adjusting — when any of these hit: the thesis is invalidated (the reason for the trade is gone), the position has breached my max-loss or daily limit, I've already rolled/adjusted once and it's still going against me, or costs/STT from repeated adjustments are

eating the edge. The signal that management has become denial is when each "adjustment" is really just averaging in or extending time to avoid booking a loss — at that point I'm managing my emotions, not the trade. Booking the loss cleanly frees margin and mental capital to put on a fresh, well-priced trade. Experienced traders know the expensive losses are the ones you refuse to close; the cheap ones are taken early and forgotten. So my bias under real stress is: cap the tail instantly, then close, then move on. - *Say it crisply*: I close and stop managing once the thesis is dead, a limit is breached, or I've already adjusted once and it's still losing — because past that point I'm managing my emotions, not the trade. - *Follow-up they may ask*: "How do you know it's denial?" When the adjustment is really averaging-in or buying time to avoid the loss — that's the tell to close.

Expiry, Assignment, Settlement & the STT Trap

Expiry mechanics are where careless traders lose money that has nothing to do with their market view — pin risk, delivery obligations, and the infamous STT-on-exercise trap. An experienced NSE F&O trader treats expiry as its own risk regime. Rules and figures are date-stamped as of July 2026; the STT hike and SEBI expiry-day/lot-size changes are live-moving items — verify current NSE/SEBI circulars before quoting.

Q1. What actually happens to OTM, ATM and ITM options at expiry — index vs stock? - *Interviewer is testing:* clean settlement mechanics. - *Deep answer:* At expiry, OTM options expire worthless — you keep the premium if short, lose it if long. ITM options settle at intrinsic value. The critical split is index vs stock. Index options (Nifty, Bank Nifty, FinNifty, Sensex) are European and cash-settled: ITM value is credited/debited in cash against the final settlement price (weighted average of the last half-hour of the underlying on expiry day), no delivery. Single-stock options are European but physically settled (since Oct 2019, still current 2026): an ITM stock option that isn't squared off results in a delivery obligation — the call buyer takes delivery of shares, the put buyer delivers shares, at the strike, requiring full contract value. ATM at expiry is the dangerous middle — tiny moves flip it ITM/OTM (pin risk). So the same "ITM" outcome is a harmless cash credit on index but a full-value stock delivery on single names. - *Say it crisply:* OTM expires worthless, ITM settles at intrinsic — but index options settle in cash while stock options physically deliver shares, so an ITM stock option left open becomes a full-value delivery obligation. - *Follow-up they may ask:* "What's the index settlement price?" The weighted average price of the underlying index over the last 30 minutes of expiry day.

Q2. Explain expiry-day gamma and pin risk. How do you handle it? - *Interviewer is testing:* the practical danger of short options at expiry. - *Deep answer:* On expiry day, ATM options have enormous gamma — time to expiry is near zero, so delta flips between ~0 and ~1 on tiny spot moves. If you're short an ATM strike, your delta is wildly unstable: the market oscillating a few points around the strike can whip your P&L and make hedging a losing chase. Pin risk is the tendency of spot to gravitate near a heavily-traded strike (often near max pain) into the close, leaving you uncertain whether your strike finishes ITM or OTM — a genuine problem for short stock options because it decides whether you get assigned/delivered. My handling: I don't hold ATM short gamma into the last hours — I close or cap. On stock options I square off anything near-the-money well before close to avoid the delivery lottery. On index I'm more relaxed (cash-settled, no delivery) but still respect that expiry-day gamma can turn a calm book violent, so I keep expiry-day short-gamma small. - *Say it crisply:* Expiry-day ATM gamma makes delta flip on tiny moves and pin risk leaves you unsure if you finish ITM — so I close or cap ATM shorts before the close, especially on physically-settled stocks. - *Follow-up they may ask:* "Why not just delta-hedge it?" Because expiry-day gamma makes the hedge whip against you — you chase your own delta and bleed; closing is cleaner.

Q3. What is max pain, and do you actually trade off it? - *Interviewer is testing:* whether you treat max pain as signal or folklore. - *Deep answer:* Max pain is the strike at which the total value of outstanding options (the aggregate payout to option buyers) is minimised — i.e. where the largest rupee amount of options expires worthless, theoretically the "most painful" price for the aggregate of option holders. The idea is that spot tends to gravitate there by expiry because option writers (who are net long the market's short gamma) hedge in ways that pull price toward it. In practice I treat it as a weak, contextual reference, not a signal to trade off blindly — it's descriptive of where open interest sits, and it shifts as OI changes intraday. It can help me understand where pin risk clusters and which strikes are "heavy," but positioning around max pain alone is folklore-grade edge. I use it to inform strike selection and expiry-day pin awareness, never as a standalone thesis. - *Say it crisply:* Max pain is the strike where the most option value expires worthless and price often drifts toward it, but I use it only as a pin-risk and OI reference — never as a standalone trade signal. - *Follow-*

up they may ask: "Does price always pin to max pain?" No — it's a tendency, not a law; big directional flows override it easily.

Q4. Walk me through the STT-on-exercise trap on ITM options. This is important. - *Interviewer is testing:* the single most famous India expiry mistake. - *Deep answer:* STT on options has two very different rates. On a normal sale (squaring off) of options, STT is charged on the premium at the sell-side rate. But if you let an option be exercised (i.e. hold a long ITM option to expiry and it's exercised/settled), STT is levied at a much higher rate on the FULL intrinsic settlement value — historically 0.125% of the intrinsic value on exercise, versus a tiny premium-based STT if you square off. Because settlement value (strike-level notional intrinsic) is huge relative to the premium, the exercise STT can be many multiples of the option's remaining value — it can wipe out or exceed your entire profit. This is the "STT trap." The fix every experienced trader knows: square off deep-ITM long options in the market before expiry rather than letting them go to exercise, so STT is charged on premium (small) not on intrinsic (large). Note: from April 2026 the STT on options SALE rose to ~0.1% of premium (verify current NSE/CBDT circular) — that raises round-trip costs generally, but the exercise-vs-square-off gap remains the trap to avoid. - *Say it crisply:* Letting a long ITM option exercise charges STT on the full intrinsic value (~0.125%), which can dwarf the premium — so you square off ITM options in the market, where STT is only on the small premium. - *Follow-up they may ask:* "Does it hit the writer too?" The punitive exercise STT is on the exercising long side; but the whole ecosystem squares off ITM to avoid it — so as a writer you're usually assigned less than notional would suggest.

Q5. Give me a worked STT-trap example with numbers. - *Interviewer is testing:* can you quantify the trap. - *Deep answer:* Suppose I'm long a Nifty 24,000 call, Nifty settles at 24,300, so intrinsic = 300 points. Lot size 75 (verify current NSE lot), so intrinsic settlement value = $300 \times 75 = ₹22,500$ per lot; notional strike value at exercise is based on settlement price $24,300 \times 75 = ₹18,22,500$. If I let it exercise, exercise STT $\approx 0.125\%$ of the intrinsic/settlement notional. Using the intrinsic-value basis of ₹22,500 that's modest, but historically the punitive STT applied on the far larger settlement notional — on ₹18.2 lakh that's ~₹2,278 per lot, versus squaring off where STT is ~0.1% (from Apr 2026) of the premium, say premium $₹305 \times 75 = ₹22,875 \rightarrow$ STT $\approx ₹23$. So exercise could cost ~₹2,278 vs ~₹23 by squaring off — roughly a 100× difference, potentially eating most of a thin ITM profit. Exact base and rate have changed over time and with the Apr-2026 revision — verify the current CBDT/NSE numbers — but the lesson is invariant: square off ITM rather than exercise. - *Say it crisply:* On an ITM Nifty call, letting it exercise can cost thousands of rupees in STT on the settlement notional versus ~₹20 if I square off on premium — so I always sell ITM options in the market before expiry. - *Follow-up they may ask:* "Which base — intrinsic or full notional?" Historically the punitive rate hit the settlement/notional value, which is why it's so large — verify the exact current base, but the trap is real either way.

Q6. Explain physical settlement of stock options — the delivery obligation and do-not-exercise. - *Interviewer is testing:* India stock-option expiry mechanics. - *Deep answer:* All single-stock F&O in India is physically settled. Any stock option ITM at expiry that isn't squared off results in a delivery obligation at the strike: a long ITM call takes delivery (pays full contract value for the shares), a long ITM put delivers shares, a short ITM call delivers shares, a short ITM put takes delivery and pays. This needs full contract value, not option margin — a step-change in capital. To manage the case where you're long a slightly-ITM option you don't want to exercise (because delivery + STT isn't worth it), exchanges provide a "Do Not Exercise" (DNE) facility for close-to-the-money long options — though brokers' DNE handling has narrowed over time, so you can't fully rely on it and the safe practice is to square off. Brokers also aggressively margin stock F&O in expiry week (physical delivery margins ramp up over the last days) and may auto-square-off positions you can't fund. Bottom line: never drift into stock-option expiry ITM unless you intend and can fund delivery. -

Say it crisply: Stock options physically settle, so an ITM option left open becomes a full-value delivery obligation needing full contract value — I square off before expiry and never rely solely on Do-Not-Exercise. - *Follow-up they may ask:* "When does the delivery margin ramp?" Over the last few days before expiry brokers progressively block full delivery-value margin on ITM/near-ITM stock positions.

Q7. Cash vs physical settlement — why index one way and stocks the other, and how it changes your trading? - *Interviewer is testing:* connecting settlement design to strategy. - *Deep answer:* Index options are cash-settled because you can't deliver an index — settlement is a cash difference against the final index price. Single stocks are physically settled by SEBI design (from 2019) to curb pure speculative expiry manipulation and align derivatives with deliverable shares. The practical consequence for me: I run naked/undefined short-vol structures far more freely on index (Nifty/Bank Nifty) because the worst expiry case is a cash debit, no delivery surprise. On single stocks I heavily prefer defined-risk spreads, I close before expiry, and I treat expiry week as a distinct regime because an ITM drift means real shares and real full-value capital. It also affects arbitrage and cash-futures basis behaviour on stocks near expiry. So settlement design directly dictates where I'm willing to carry tail risk into expiry — index yes (within gamma limits), single stocks no. - *Say it crisply:* Index is cash-settled (no delivery), stocks physically settle real shares — so I carry short-vol into index expiry within gamma limits, but on stocks I use defined risk and close before expiry to avoid delivery. - *Follow-up they may ask:* "Why did SEBI mandate physical for stocks?" To reduce speculative expiry manipulation and tie single-stock derivatives to actual deliverable shares.

Q8. When does assignment happen and can you be assigned early? - *Interviewer is testing:* European vs American mechanics in India. - *Deep answer:* All exchange-traded options in India — index and stock — are European style, so there is no early exercise and no early assignment; assignment/settlement only happens at expiry. This is different from US equity options (American style), where a short option can be assigned any day, especially around dividends. In India, as a writer I only face settlement at expiry: index shorts settle in cash against the final settlement price; stock shorts, if ITM, get assigned into a delivery obligation. So my "assignment risk" is entirely an expiry-day event, which is why expiry-day management — squaring off ITM stock shorts, watching pin risk — is where all the action is. There's no mid-cycle assignment surprise to defend against, which simplifies management versus American markets but concentrates all the risk into expiry day. - *Say it crisply:* Indian options are European, so no early assignment — settlement only at expiry, which concentrates all assignment/delivery risk into expiry day, especially for physically-settled stock shorts. - *Follow-up they may ask:* "So dividend-driven early exercise?" Not in India — it's a US American-option issue; here it's irrelevant because everything is European.

Q9. Given the current expiry-day and lot-size changes, how has your expiry approach adapted in 2026? - *Interviewer is testing:* awareness of recent SEBI/NSE structural changes. - *Deep answer:* SEBI/NSE have been actively reshaping the F&O expiry landscape — rationalising the number of weekly expiries (moving toward one benchmark weekly expiry per exchange), standardising expiry days (Nifty/Sensex weekly expiries shifted around Tuesday/Thursday depending on exchange and circular), raising contract/notional sizes and revising lot sizes upward, and hiking margins and STT (options sale STT up from Apr 2026). Exact current expiry days, lot sizes and which weeklies survive are live-moving — verify the latest NSE/BSE/SEBI circular before trading. My adaptation: fewer weekly expiries means each expiry carries more concentrated OI and gamma, so pin risk and expiry-day moves are chunkier — I size expiry-day gamma down accordingly. Larger lot/notional sizes mean each lot is a bigger rupee risk, so my position sizing in lots dropped. Higher STT means I square off even more disciplined (the exercise trap plus higher round-trip cost punishes sloppy expiry handling). Net: I trade expiry more conservatively and verify the specs each cycle rather than assuming last year's rules. - *Say it crisply:* With fewer weeklies, bigger lots and higher STT in 2026, expiries carry more

concentrated gamma per lot — so I size expiry-day risk down, square off ITM even more strictly, and re-verify the specs every cycle. - *Follow-up they may ask*: "Which exact expiry days now?" They've been revised more than once — I verify the current NSE/BSE circular each cycle rather than quote a stale day.

Q10. Summarise the expiry-day checklist you actually run. - *Interviewer is testing*: an operational, no-surprises routine. - *Deep answer*: My expiry-day routine: (1) Identify every position that could finish ITM and flag physically-settled stock options separately — those get squared off well before close, no exceptions, to avoid delivery and the exercise STT trap. (2) Reduce ATM short gamma early — I don't want unstable delta into the last hour. (3) Watch pin risk / heavy strikes (max pain and large OI) to anticipate where spot may gravitate and which of my strikes sit on the knife-edge. (4) On index, decide by mid-afternoon whether to let clearly-OTM shorts expire worthless (fine) or close near-ATM ones (safer). (5) Never let a long ITM option go to exercise — square it off so STT is on premium not intrinsic. (6) Keep margin buffer — expiry days can spike vol and margin. (7) Re-verify current settlement price mechanics, STT rate and lot sizes each cycle since these are moving in 2026. The whole point is that on expiry day I take no delivery or STT surprises — everything ITM is a deliberate, funded decision, not an accident. - *Say it crisply*: On expiry day I square off all ITM stock options and long ITM index options before close, cut ATM short gamma early, watch pin risk, and keep a margin buffer — so nothing settles by accident. - *Follow-up they may ask*: "What's the one non-negotiable?" Never let an ITM option drift into settlement unfunded — square off ITM to dodge both delivery and the STT trap.

India F&O Specifics (Bank Nifty, Weeklies, Rules 2026)

The micro-structure questions. A desk head wants to know you *live* on the NSE tape — that you know why Bank Nifty behaves differently from Nifty, how weeklies decay, what SPAN does to your margin, and that you're current on the 2026 SEBI/STT regime. Numbers here are as of July 2026 — **verify current** before quoting in an interview, these change.

Q1. Contrast the trading character of Nifty, Bank Nifty and Fin Nifty. How does that change what you trade in each? - *Interviewer is testing:* whether you understand index composition drives volatility, and you adapt strategy to the instrument. - *Deep answer:* Nifty 50 is broad, ~50 stocks across sectors, so it's the least jumpy of the three — realized vol typically runs a few points under Bank Nifty. Bank Nifty is ~12 heavily-weighted financials (HDFC Bank, ICICI, SBI, Kotak, Axis dominate), so it's concentrated, rate- and credit-sensitive, and moves 1.5–2x the range of Nifty on a given day. Fin Nifty overlaps heavily with Bank Nifty (banks + NBFCs + insurers) so its beta sits between the two but its options book is thinner. Post the 2024–25 SEBI rationalisation, each exchange runs a single weekly expiry: on NSE the surviving weekly is Nifty (Tuesday as of 2026 — verify, it has moved between Thursday/Wednesday/Tuesday); Bank Nifty and Fin Nifty lost their separate weeklies and trade **monthly** now. That's the single biggest structural fact for 2026: the weekly-expiry gamma game is now overwhelmingly a Nifty story. Practically: I scalp gamma and run expiry-day structures on Nifty because that's where the weekly decay and liquidity are; I express directional financials/rate views on Bank Nifty monthlies where I accept wider spreads and hold longer. I keep Fin Nifty for correlation/relative-value only, sizing down for the thinner book. - *Say it crisply:* "Nifty is broad and calm, Bank Nifty is concentrated financials and moves ~2x, Fin Nifty sits between but is thinner — and post-2024 only one weekly per exchange survives, so weekly gamma trading is now a Nifty game while Bank/Fin Nifty are monthly." - *Follow-up they may ask:* "Which is more sensitive to RBI policy?" → Bank Nifty, by a wide margin — it's ~90% rate-sensitive financials, so I widen my event vol assumptions there.

Q2. Weekly vs monthly options — how does the decay and gamma profile differ, and how does it shape when you're a buyer vs a seller? - *Interviewer is testing:* intuition for theta/gamma acceleration into expiry. - *Deep answer:* Theta isn't linear — it accelerates as the square root of time collapses, so a weekly's last two sessions bleed extrinsic value far faster than a monthly's. On a Nifty weekly ATM, an option can lose 40–60% of its remaining premium in the final day. The flip side is gamma: near-expiry ATMs have huge gamma, so a small spot move flips delta violently. That's the seller's dilemma — you collect fat theta but you're short enormous gamma, so one gap eats a week of premium. My rule of thumb: I *sell* weeklies when IV is rich relative to what I expect realized to be and there's no event, and I keep the short-gamma book small and delta-hedged into the last day. I *buy* options (or buy the monthly) when I want a directional or long-vol view without the weekly's brutal theta — monthlies give me time for the thesis to play out and much gentler daily bleed. A common junior mistake is buying weekly ATMs for a "3-day view" and getting carried out by theta even when direction is right. - *Say it crisply:* "Weeklies decay far faster and carry violent gamma near expiry, so I sell them only when vol's rich and no event's due and stay hedged, and I buy monthlies when I actually want time for a directional or vol thesis." - *Follow-up they may ask:* "When is weekly theta highest?" → The final session, especially the last few hours as gamma and theta both spike on the ATM.

Q3. Walk me through SPAN + exposure margin. How is margin actually computed and why does it matter to how you size? - *Interviewer is testing:* that you understand upfront margining, not just "some

blocked money." - *Deep answer*: NSE uses SPAN (Standard Portfolio Analysis of Risk). SPAN scans your *whole portfolio* through a grid of scenarios — spot moved up/down by the scan range (a multiple of daily vol) crossed with vol up/down — and charges you the worst-case single-day loss. On top sits the **exposure margin** (an additional buffer, roughly 3% of notional on index positions, more on stocks) and, for short options, a **short-option minimum**. Because SPAN is portfolio-based, a hedged spread margins far lower than the two legs separately — a Nifty bull call spread might need a fraction of a naked short put's margin, because SPAN sees the offsetting scenario losses. Since 2021 margins are collected **upfront** and peak-margin penalties apply intraday, so I can't leg into a short-vol position and post margin later — the broker blocks it at order time. This matters for sizing two ways: first, my capital efficiency comes from being hedged (defined-risk structures free up margin to redeploy); second, on a big vol spike SPAN parameters get *hiked* mid-session, so margin can balloon on an existing short book and force liquidation exactly when it's worst. I keep a margin cushion (I run at ~60–70% utilisation, never 100) precisely for that scenario. - *Say it crisply*: "SPAN charges the worst-case one-day portfolio loss across a spot-and-vol scenario grid, exposure margin adds a buffer, it's collected upfront and it's portfolio-netted — so hedged structures are far cheaper, and I keep a cushion because SPAN gets hiked in a vol spike." - *Follow-up they may ask*: "Why does a naked short option need so much margin?" → No offsetting leg, so SPAN's worst-case scenario is unmitigated plus the short-option minimum kicks in.

Q4. Explain the 2026 STT change on options and the classic ITM-exercise STT trap. - *Interviewer is testing*: current tax awareness and a subtle P&L leak that catches amateurs. - *Deep answer*: STT on options sales was hiked to roughly **0.1% of premium** in Oct 2024, and further increases toward the ~0.15%-of-premium level have been signalled/implemented into 2026 — **date-stamp and verify current**, because the exact rate and effective date matter. The bigger trap is exercise: STT on an option that expires **in-the-money and is exercised** is charged on the **intrinsic value of the settlement (notional), not the tiny premium** — historically ~0.125%. So an option you bought for ₹5 that ends ₹200 ITM gets STT on the *full settlement value*, which can be a large multiple of the premium and can even exceed a thin profit. The seasoned move: **square off ITM long options before expiry rather than letting them auto-exercise**, unless you specifically want physical delivery (relevant for stock options). On index options it's cash-settled but the STT-on-settlement logic still bites, so I close ITM longs in the last hour. Junior traders "hold to expiry to save one leg's brokerage" and get hit with an STT bill many times larger. - *Say it crisply*: "Sell-side STT is being hiked toward ~0.15% of premium in 2026 — verify the exact rate — and the classic trap is that STT on an exercised ITM option is charged on intrinsic/settlement value, not premium, so I square off ITM longs before expiry instead of letting them exercise." - *Follow-up they may ask*: "Does this apply to shorts too?" → The exercise STT is on the long/exercising side; but always model it, because it can turn a winning long into a loss.

Q5. What changed with the 2024–25 SEBI expiry-day and contract-size rules, and how did it change your trading? - *Interviewer is testing*: that you're current, not quoting a 2022 playbook. - *Deep answer*: Key changes to know (as of 2026, **verify current**): (1) **One weekly expiry per exchange** — SEBI cut the every-day-is-an-expiry circus, so NSE keeps a single weekly benchmark (Nifty) and BSE keeps Sensex; Bank Nifty/Fin Nifty weeklies were discontinued. (2) **Larger minimum contract value** — the notional per lot was raised (target band roughly ₹15–20 lakh, up from ~₹5–10 lakh), which raised **lot sizes** and per-lot margin, pushing out very small retail. (3) **Extra ELM/margin on expiry day** for short options to curb tail-day blowups, and removal of calendar-spread margin benefit on the expiry-day leg. (4) **Upfront premium collection** from option buyers. Net effect on me: fewer expiry days means gamma events are concentrated (I plan around one big Nifty expiry a week instead of five), position sizing is chunkier because a single lot is now bigger notional, and expiry-day short-vol carries more margin so the risk/reward of naked expiry selling

worsened — I lean more on defined-risk spreads. - *Say it crisply*: "SEBI moved to one weekly expiry per exchange, raised contract notional and lot sizes, added expiry-day margin on shorts and upfront premium collection — so I trade fewer, chunkier, more-hedged expiry structures instead of daily naked selling." - *Follow-up they may ask*: "Why did SEBI raise contract size?" → To reduce speculative retail participation after data showed the vast majority of F&O retail traders lose money.

Q6. How do you think about liquidity and slippage in far-OTM and deep-ITM strikes? - *Interviewer is testing*: execution realism, not just theory. - *Deep answer*: Liquidity in NSE index options is a smile of its own — concentrated in the ATM and near-OTM strikes of the front weekly/monthly, and it thins fast as you go far OTM or deep ITM, and further out in expiry. On Nifty near-ATM weekly you get penny-wide spreads and huge depth; go 8–10% OTM and the spread widens to ₹1–3 on a ₹5 option, i.e. 20–40% of premium, and market depth is a few lots. Deep-ITM options are worse — wide spreads, and they trade near intrinsic so market-makers won't tighten. Practical consequences: (1) I *never* market-order a far strike; I work limits at mid or use spreads so the illiquid leg is offset. (2) For tail hedges I accept I'm paying up and size the cost in. (3) Deep-ITM I avoid buying outright — I'd rather replicate the exposure with a future plus a cheap OTM option (put-call parity) to dodge the spread. (4) On exit, illiquid longs into expiry can be un-closable at a fair price, which is another reason to manage ITM positions early. Slippage is a real, recurring cost line in my P&L, not a rounding error — on far strikes it can dwarf brokerage and STT. - *Say it crisply*: "Liquidity lives in the front-expiry near-ATM strikes; far-OTM and deep-ITM have wide spreads and thin depth, so I work limits, use spreads to offset the illiquid leg, replicate deep-ITM via future-plus-option, and budget slippage as a real cost." - *Follow-up they may ask*: "How wide before you walk away?" → If the spread is more than ~10–15% of the option's price and I can't better it with a limit, the edge is usually gone.

Q7. A lot size changed on Bank Nifty — walk me through the notional and margin impact of trading one lot. - *Interviewer is testing*: comfort with the actual numbers a trader lives with. - *Deep answer*: Take Bank Nifty at ~52,000 with a lot size of, say, 30 (**verify — lot sizes are revised periodically by NSE**). One lot's notional = $52,000 \times 30 = ₹15.6$ lakh. That's why a naked short straddle sold at, say, ₹1,200 total premium (₹36,000 per lot collected) can still require ₹1.3–1.6 lakh of SPAN+exposure margin per lot — the margin tracks the *notional risk*, not the premium. So the return-on-margin on that straddle is roughly ₹36,000 max collected against ~₹1.5 lakh blocked, before you've hedged. When SEBI raised minimum contract value, lot sizes rose so a single lot is now a chunkier bet — you can't finely size a small account, and one adverse Bank Nifty gap of 800 points is $800 \times 30 = ₹24,000$ move per lot on a delta-one leg. I always translate any position back to "rupees per point per lot" and "worst-case one-day move in rupees" before I put it on — that's how you avoid the trap of thinking in premium and forgetting the notional behind it. - *Say it crisply*: "One Bank Nifty lot is ~₹15–16 lakh notional, so margin runs to lakhs even when premium collected is tens of thousands — I always convert to rupees-per-point-per-lot and worst-case daily move before sizing." - *Follow-up they may ask*: "How do you size across a portfolio then?" → I budget total portfolio SPAN and worst-case scenario loss to a fixed % of capital, and back out lots from that, not the other way round.

Q8. India VIX — what does it tell you and how do you use it in options decisions? - *Interviewer is testing*: whether you use the vol index as a live tool, not a headline number. - *Deep answer*: India VIX is NSE's 30-day forward implied vol of Nifty, annualised, computed from the near/next-month option chain (VIX-methodology). Two uses. First, **regime**: sub-11 is complacent/cheap-vol (I favour being long optionality / long gamma, or at least not selling cheap), mid-teens is normal, 20+ is stressed (rich premium — I lean to being a net seller of vol, carefully). Second, **expected daily move**: $VIX/\sqrt{252} \approx$ the one-standard-deviation daily move in %. At VIX 14, that's $14/15.87 \approx 0.88\%$ /day, so on Nifty ~24,000 that's a ~±210-point 1-sigma day — I sanity-check my strike selection and straddle pricing against that. I also watch VIX *term structure and*

spikes: VIX jumps into events (budget, elections, Fed) and crushes after — that pre-event run-up/post-event collapse is itself the trade. And I never sell a straddle "because premium looks big" without checking whether VIX is high *because* an event is priced; the premium is big for a reason. - *Say it crisply*: "India VIX is Nifty's 30-day implied vol; I read the level for regime (cheap under ~11, rich over ~20) and use $VIX/\sqrt{252}$ as the expected 1-sigma daily move to sanity-check strikes and premium." - *Follow-up they may ask*: "What's a 1-sigma day at VIX 20?" → About 1.26%/day, so ~300 points on a 24,000 Nifty.

Q9. How does physical settlement of stock options change how you manage a position into expiry? -

Interviewer is testing: awareness that stock F&O ≠ index F&O at expiry. - *Deep answer*: Since 2019 all NSE **stock** options and futures are **physically settled** — if your stock option is ITM at expiry and you don't square off, you take/give **delivery of the underlying shares**, needing the full contract value in cash (for a bought call / assigned put) or the shares in demat. That's a huge cash/margin event versus the small option premium. It also means margins on ITM/near-ITM stock options ramp up in expiry week (physical-delivery margin), and there's **pin risk** — an option sitting right at the strike near the close can flip ITM/OTM, leaving you unsure whether you'll be assigned. My management: for stock options I *square off ITM positions before expiry* unless I genuinely want the delivery; I watch near-the-money shorts for assignment risk in the last two days; and I factor the delivery-margin ramp into whether the position is even worth holding into expiry week. Index options (Nifty/Bank Nifty) are **cash-settled**, so this doesn't apply there — but the STT-on-exercise point still does. Confusing the two is a classic rookie error. - *Say it crisply*: "Stock options are physically settled, so an ITM position at expiry means taking or giving actual share delivery plus a big margin ramp and pin risk — I square off ITM stock options before expiry unless I want the stock; index options are cash-settled so it doesn't apply." - *Follow-up they may ask*: "What's pin risk?" → When spot sits right at a short strike near expiry and you can't tell if you'll be assigned — the delta whipsaws and hedging is treacherous.

Q10. Given all these 2026 India specifics, how do they concretely shape what and when you trade? -

Interviewer is testing: synthesis — can you turn micro-structure into a coherent playbook. - *Deep answer*: It shapes a few decisions. **Instrument**: weekly gamma/expiry structures → Nifty (the only surviving liquid weekly); directional financials/rate views → Bank Nifty monthly, sized for wider spreads; Fin Nifty only for relative-value, sized down. **Timing within the week**: theta acceleration means I put on short-vol later (mid-week) and manage or close it by the final session rather than carrying naked gamma into the close; long-vol/directional I do on monthlies for time. **Structure choice**: raised expiry-day margins and STT hikes push me toward *defined-risk spreads* over naked shorts — the margin efficiency and capped tail justify giving up some premium. **Tax/exercise discipline**: I square off ITM longs before expiry to dodge settlement-STT (index) or physical delivery (stocks). **Around events**: I respect that VIX-rich premium is rich for a reason and prefer calendars/spreads to naked short straddles into budget/RBI/Fed. **Sizing**: chunkier lots and upfront margining mean I run a margin cushion and think in worst-case rupees-per-lot, not premium. The through-line: liquidity, decay, margin and tax all reward being hedged, current-expiry, and disciplined about ITM management. - *Say it crisply*: "Nifty for weekly gamma, Bank Nifty monthlies for directional financials, defined-risk over naked shorts given margin and STT, square off ITM before expiry, respect event-rich VIX, and size in worst-case rupees-per-lot with a margin cushion." - *Follow-up they may ask*: "One thing you changed most in 2026?" → I stopped running daily naked expiry straddles across Bank Nifty — with weeklies gone there and expiry margins up, I moved to Nifty spreads.

Event & Directional Trading with Options

Events are where options traders make or lose their year — and where amateurs learn the hard way that being right on direction can still lose money on a long option. This chapter is about expressing views through the vol run-up and crush around the Budget, RBI, Fed and results, on Nifty and Bank Nifty. Numbers are illustrative and as of 2026 — **verify current** strikes, VIX and rules.

Q1. Explain the pre-event IV run-up and post-event crush. Why can you be right on direction and still lose on a long option? - *Interviewer is testing:* the single most important event-trading lesson — vol crush beats direction. - *Deep answer:* Ahead of a known event (Budget, RBI policy, big-name results), uncertainty is high, so implied vol on the expiries covering the event gets bid up — India VIX and the front-month/weekly IV climb in the days before. That inflated IV is baked into option *premiums*: an ATM straddle prices in a big expected move. The instant the event passes and uncertainty resolves, IV collapses — the "crush." So if you bought a call because you were bullish, and the market gaps up but by *less than the priced-in move*, your call's *intrinsic* gain is more than offset by the *vega* loss from IV falling. Worked example: Nifty 24,000, budget tomorrow, VIX 22. The ATM call trades ₹280 (fat, event-loaded). Budget day Nifty rises 250 points to 24,250 — you were *right*. But VIX crushes to 13, so the call reprices to maybe ₹300–310 despite +250 intrinsic — you barely make money, and if the move were smaller you'd lose outright. That's the trap: you paid for a move that had to *exceed* the priced-in move for a naked long to win. The fix is either express the view with structures that neutralise vega, or demand a move bigger than what's priced. - *Say it crisply:* "IV inflates before an event and crushes right after, so a naked long option can lose to vega even when direction is right — you need the move to beat what's already priced in, not just to be correct." - *Follow-up they may ask:* "How do you know what move is priced in?" → The ATM straddle premium $\approx$ the market's expected move; if you don't beat it, the long loses.

Q2. How do you extract the priced-in expected move from the option chain before an event? -

Interviewer is testing: a concrete, quantitative pre-event workflow. - *Deep answer:* Two quick reads. First, the **ATM straddle**: sum the ATM call and put premiums of the expiry covering the event — that's roughly the market's expected absolute move by that expiry (breakeven of a long straddle). If Nifty 24,000's covering-weekly ATM straddle = ₹360, the market's pricing $\sim \pm 360$ points ($\sim 1.5\%$) by expiry. Second, **VIX-implied daily move**: $VIX/\sqrt{252} \times \text{spot}$. At VIX 22, that's $\sim 1.39\%/\text{day} \approx \pm 333$ points — consistent with the straddle. I compare that priced-in move to my *own* view of the likely move. If I think the Budget will move Nifty 500 points and the chain only prices 360, long optionality (or a directional structure) has edge. If I think it'll be a damp squib and only 150 points, the vol is *rich* and I'm a seller of premium (fading the event). I also look at the **IV term structure** — the covering weekly's IV vs the next weekly/monthly; a steep front hump quantifies the event premium I'd sell or the crush I'd suffer as a buyer. - *Say it crisply:* "I read the ATM straddle of the covering expiry as the priced-in move and cross-check it with $VIX/\sqrt{252} \times \text{spot}$, then trade the gap between that and my own view of the move." - *Follow-up they may ask:* "Straddle says 360, you think 200 — what do you do?" → Vol's rich; I'm a net premium seller into the event, hedged/defined-risk.

Q3. Long option vs vertical spread vs future — how do you choose to express a directional view? -

Interviewer is testing: the core structuring decision and its trade-offs. - *Deep answer:* Three tools, three profiles. A **long option** is long delta *and* long vega *and* short theta — great if you expect a big move *AND* rising/holding vol, terrible into a vol crush. A **vertical spread** (e.g. bull call spread) sells a further strike to fund the long — it caps upside but slashes cost, cuts vega (you're long one vol, short another, so it's far less vega-sensitive) and cuts theta bleed; it's the right tool for a *directional-but-vol-crush* event view. A **future** is pure delta — no vega, no theta, symmetric payoff, cheapest way to be directional if you're confident and

want no vol exposure, but unlimited downside and full margin. My rule: strong conviction + want vol crush protection + capped move expectation → **spread**. Strong conviction + expect a *big* move + vol not rich → **long option** (or long a slightly OTM to cheapen). Pure directional, no vol view, deep conviction → **future** (or synthetic via options). Into a budget where IV is fat, I almost never buy a naked long — the vega tax is too high; I use a spread or a future so I'm not paying for the crush. - *Say it crisply*: "Long option = $\text{delta} + \text{vega} + \text{theta}$, good only for a big move with vol not rich; spread caps the move but kills vega and theta, ideal into a vol crush; future is pure delta with no vol exposure — I pick based on how much of the move is already priced." - *Follow-up they may ask*: "Why not always use the future?" → Unlimited loss and full margin; the spread gives defined risk and often better risk/reward when I expect a bounded move.

Q4. Walk me through a full worked trade: how would you trade Nifty into the Union Budget? -

Interviewer is testing: end-to-end event structuring with real numbers and risk management. - *Deep answer*: Setup (illustrative, Feb 2026 — verify): Nifty 24,000, budget on a Saturday special session, VIX elevated at 20 (up from 12), covering weekly ATM straddle ~₹340, so market prices ~±340 (1.4%). My view: mildly bullish (capex-heavy budget likely) but I *know* IV will crush Monday. A naked long call is a trap — I'd pay ₹200 for a strike that needs +200 just to break even against a crush. Instead I put on a **bull call spread**: buy 24,000 call ~₹190, sell 24,300 call ~₹80, net debit ₹110, max value ₹300 at/above 24,300, max profit ₹190, defined risk ₹110. Because it's a spread, the vega is largely netted — Monday's crush hurts both legs similarly, so I keep my directional edge without eating the full crush. If I were *neutral* and thought the market over-priced the move, I'd instead **sell** the straddle or an iron condor to harvest the crush, defined-risk, sized small. Risk management: I size the spread to a fixed % of capital as max loss, I set a mental stop if the thesis breaks (e.g. budget turns fiscally loose and market sells off through 23,700), and I plan to exit into Monday's liquidity/crush rather than holding to expiry. The discipline is: pick the structure that isolates the edge (direction) and neutralises the tax (vega crush). - *Say it crisply*: "Bullish into the budget with VIX fat, I'd buy a 24,000/24,300 bull call spread for ~₹110 debit — it keeps my directional edge, nets out most of the Monday vol crush, and caps risk — rather than buy a naked call that the crush would gut." - *Follow-up they may ask*: "What if you had *no* directional view?" → Then I'd fade the priced-in move with a defined-risk iron condor/short straddle sized small, to harvest the crush.

Q5. Explain using a calendar spread around an event. When does it work and when does it hurt? -

Interviewer is testing: understanding of term-structure vol, not just directional bets. - *Deep answer*: A calendar (sell near-dated, buy longer-dated, same strike) is a bet on **term structure and the crush timing**. Into an event, the near expiry's IV is pumped more than the far, so the near option is relatively expensive — selling it and buying the cheaper far leg means after the event the near crushes hard (you gain on the short) while the far holds more of its vol (you keep value). It profits if spot stays near the strike (max value at the strike at near-expiry) and if the front IV crush exceeds the back's. It *hurts* if spot makes a big directional move away from the strike (both legs move but the short near-leg's gamma bites), or if the whole vol surface collapses uniformly, or if you mis-time and the far leg crushes too. So a calendar is really a "big priced-in move that I think won't happen, pinned near this strike, with front vol richer than back" trade. I use it when the event premium is concentrated in the front weekly and I expect a damp move — I'm selling the overpriced front crush while staying long some vega on the back in case I'm wrong on magnitude. - *Say it crisply*: "A calendar sells the event-inflated near expiry and buys the cheaper far one — it profits when spot pins near the strike and the front IV crushes harder than the back, and it hurts on a big directional move or a uniform vol collapse." - *Follow-up they may ask*: "Directional risk?" → Yes — it's short gamma on the front, so a big move away from the strike is the main loss driver; size and strike selection manage it.

Q6. What's a backspread and why might you use one into an event? - *Interviewer is testing:* knowledge of convex, long-gamma event structures. - *Deep answer:* A ratio backspread (e.g. call backspread: sell 1 near ATM call, buy 2 further-OTM calls) is *net long options* — long gamma and vega — often structured for zero or small net debit/credit. Into an event you'd use a call backspread if you expect a *big* upside move (bigger than priced-in) but want to cheapen the long optionality by financing it with the short ATM. Payoff: you lose a little in the middle if the market stalls near the short strike (the danger zone), but if it rockets you have net-positive convexity — the two long OTM calls run away. It's the structure for "I think the event triggers a violent move and vol will *spike further*, not crush" — e.g. a shock RBI hike or a tail-risk political event. The risk is the reverse of a naked long: if the move is medium (lands in the short-strike zone) you take the max loss there. So backspreads are for *convexity/fat-tail* event views where you expect the priced-in move to be *exceeded* and vol to expand — the opposite regime from the typical crush. I size them small; they're a lottery-ticket-with-financing, not a bread-and-butter trade. - *Say it crisply:* "A backspread is net long gamma/vega, financed by a short ATM — I use it when I expect the event to trigger a move *bigger* than priced and vol to expand, accepting a loss zone around the short strike if the move is only medium." - *Follow-up they may ask:* "Crush vs backspread?" → Backspread wins if the move exceeds priced-in and vol spikes; it's the wrong trade if you expect the normal post-event crush.

Q7. Trading RBI policy vs the Fed vs results — how do the vol dynamics differ? - *Interviewer is testing:* nuance across event types, especially Bank Nifty sensitivity. - *Deep answer:* **RBI policy** hits Bank Nifty hardest (rate-sensitive financials) — the move is often in *rates guidance/stance* not just the repo number, so a "no change but hawkish" can still whip financials. I trade RBI mostly through Bank Nifty, and the crush is sharp because it's a scheduled, binary-ish event. **The Fed (FOMC)** is an *overnight/gap* event for India — it happens after our close, so the reaction is a gap open, meaning intraday hedging is impossible and the risk is a jump; I size for gap risk and lean on defined-risk structures or hold delta-one hedges overnight. **Corporate results** (e.g. HDFC Bank, Reliance) are single-stock events with physically-settled stock options — huge stock-specific IV run-up and crush, plus assignment/delivery risk into expiry; and index impact is weighted (a big HDFC Bank miss drags Bank Nifty/Nifty). Across all three the crush pattern holds, but the *hedgeability* differs: RBI is intraday and hedgeable, Fed is a gap you can't hedge live, results are single-name with delivery mechanics. I match structure to hedgeability — spreads/defined-risk for the un-hedgeable gaps. - *Say it crisply:* "RBI is a hedgeable intraday event best played via Bank Nifty, the Fed is an un-hedgeable overnight gap so I use defined-risk/held hedges, and results are single-name crushes with delivery risk — same crush, different hedgeability." - *Follow-up they may ask:* "Which has the biggest Bank Nifty crush?" → RBI policy — it's the most bank-specific scheduled catalyst.

Q8. Explain a gamma-heavy expiry-day directional play on Nifty. What's the edge and the danger? - *Interviewer is testing:* understanding of expiry-day gamma dynamics. - *Deep answer:* On Nifty expiry day (the surviving weekly), near-ATM options have enormous gamma and almost no time value left, so they behave like cheap, high-leverage directional bets — a 30-point Nifty move can double a well-chosen ATM/slightly-OTM option bought for ₹10–20. The *edge* case: if you have a strong intraday directional read (breakout, trend day, momentum after an open) and buy a near-ATM option, the gamma means your delta ramps *with* you — the position accelerates in your favour. The *danger*: theta is brutal and gamma cuts both ways — if the market pins or reverses, that ₹15 option decays to near zero within hours, and "pinning" near a high-OI strike (dealers hedging short gamma pull spot toward the max-pain strike) can trap you. So expiry-day long-gamma directional is a *timing* trade, not a hold: I only take it with a clear intraday catalyst, size it as risk capital I can lose entirely, set a tight time-and-price stop, and I respect max-pain/high-OI strikes as magnets. The alternative expiry play is being the *seller* of that decay — but then I'm short the gamma and one clean

trend move hurts. It's the purest risk/reward asymmetry on the board, which is exactly why it's dangerous. - *Say it crisply*: "Expiry-day near-ATM options are cheap, high-gamma directional lottery tickets — great with a clear intraday catalyst because delta ramps in your favour, but theta and pinning gut them fast, so it's a tightly-stopped timing trade, not a hold." - *Follow-up they may ask*: "What's max pain?" → The strike where total option-holder losses are maximised; spot often gravitates there near expiry as dealers hedge, so I treat high-OI strikes as magnets.

Q9. How do you manage a directional options position that's working — and one that isn't — through an event? - *Interviewer is testing*: live risk management and discipline, not just entry. - *Deep answer*: Working: if my directional spread/option is in profit post-event, I don't get greedy against the crush — I take profit into the post-event liquidity, or roll to a further-OTM structure to lock gains and keep a cheaper runner. On a long option that's worked on direction, I'm acutely aware vega is now against me, so I harvest rather than hope. Not working: I pre-define the invalidation *before* the event — a price level where my thesis is wrong (e.g. budget-day Nifty breaks 23,700 on a bullish trade). Because event moves gap, a hard stop can slip, so for un-hedgeable gaps I prefer *defined-risk structures* (spreads) where my max loss is the debit — I can't be stopped worse than that. I never average down into a losing event trade (throwing good money at a crushed long). And I size so that the *worst case* — full debit loss, or the spread's max loss — is a tolerable fraction of capital decided at entry. The meta-skill is that event trades are decided at *entry*: structure and size chosen so that both the win and the loss are things I can live with, because you can't reliably manage a gapping event intraday. - *Say it crisply*: "I decide the structure and worst-case size at entry so a gap can't hurt me beyond plan, take profits into the crush rather than hoping, pre-set my invalidation level, and never average down a losing event long." - *Follow-up they may ask*: "Why prefer spreads for stops?" → Because event gaps blow through hard stops; a spread's max loss is capped by design, so the gap can't exceed it.

Q10. Give me your general framework for deciding whether to be a net buyer or net seller of options into any event. - *Interviewer is testing*: a repeatable decision process, the sign of an experienced trader. - *Deep answer*: It comes down to comparing **priced-in move vs my expected move**, and **direction conviction vs uncertainty**. Step 1: extract priced-in (ATM straddle / VIX-implied). Step 2: form my own expected move and direction. Step 3: (a) If I expect a move *bigger* than priced AND have a direction → net *buyer*, via a spread if vol's rich (to dodge crush) or long option/backspread if I expect vol to expand. (b) If I expect a move *smaller* than priced (event is over-hyped) → net *seller*, harvesting the crush via defined-risk short straddle/iron condor/calendar. (c) If I expect a big move but *no* direction → long straddle/strangle only if it's cheap vs my move estimate, else stand aside (the crush usually punishes naked long straddles). Step 4: overlay hedgeability — un-hedgeable gaps (Fed) push me to defined-risk. Step 5: size to worst-case-as-%-of-capital. The discipline: I'm not "bullish/bearish," I'm trading the *gap between what's priced and what I expect*, and I let vol richness and hedgeability pick the structure. Most retail loses at events by being a naive naked buyer of over-priced, about-to-crush options. - *Say it crisply*: "I compare the priced-in move to my expected move: bigger-and-directional → buy (spread if vol's rich), smaller → sell the crush defined-risk, big-but-no-direction → only a cheap straddle — then let hedgeability and size discipline finish the decision." - *Follow-up they may ask*: "Default bias into most Indian events?" → Slight seller of the crush via defined-risk, because event IV is usually rich relative to the realized move — but only when I have no strong directional edge.

Advanced: Market-Making, Gamma Scalping, Dispersion & Vol-Arb

The senior/quant round. Here they're probing whether you understand options as a *volatility* business, not a directional one — capturing edge, rehedging gamma, trading the relationship between index and single-name vol, and knowing why even a "hedged" short-vol book can blow up. Answers assume India F&O context where relevant; concepts are universal. Numbers illustrative, 2026 — **verify current**.

Q1. How does a delta-neutral options market-maker actually make money? - *Interviewer is testing:* whether you grasp that MM edge is the spread plus vol edge, harvested through hedging, not directional bets. - *Deep answer:* A market-maker quotes a two-sided bid/ask and earns the **spread** when they buy at bid and sell at ask — that's the raw edge. But they end up warehousing risk (net long or short options), so they immediately **delta-hedge** with the underlying/future to strip out directional exposure, leaving them running a *vol* position. Their real business is capturing the **difference between the implied vol they trade at and the realized vol they hedge against**, plus the bid/ask edge, minus hedging costs. If a MM sells options (collecting rich IV) they're short gamma — they make theta but must re hedge, and profit if realized vol comes in below the implied they sold. If they're forced long options, they gamma-scalp (below). They manage inventory skew — if they're getting hit on one side, they lean their quotes to attract offsetting flow. In India the edge sources are the same but the game is dominated by tight-spread near-ATM weekly Nifty strikes where competition is fierce and edge is thin; the far strikes have wide spreads but little flow. So MM P&L = spread capture + (implied – realized) vol edge – hedging/slippage/financing costs, run continuously delta-neutral. - *Say it crisply:* "A market-maker earns the bid/ask spread, delta-hedges away direction, and is then really trading implied vs realized vol — profiting when the vol they trade at beats the vol they actually hedge against, net of hedging costs." - *Follow-up they may ask:* "What kills a MM?" → Adverse selection (being picked off by informed flow) and a realized-vol spike blowing past the implied they sold while short gamma.

Q2. Explain gamma scalping. What determines its P&L? - *Interviewer is testing:* the mechanical link between hedging a long-gamma book and the realized-vs-implied vol payoff. - *Deep answer:* If you're **long options (long gamma)** and delta-hedge continuously, every time spot moves your delta changes in your favour — a long-gamma position gets longer as spot rises and shorter as it falls — so you **sell high and buy low** when you re hedge back to neutral, banking small scalps. Those scalps are your gross gamma P&L. Against that, you *pay theta* every day for holding the long options. The net result: **long gamma P&L ≈ realized vol – implied vol** (times a dollar-gamma scaling). You win if the underlying actually moves (realizes vol) more than the implied vol you paid for the options; you lose if it sits still (theta bleeds, no scalps). Worked intuition: buy a Nifty straddle pricing 12% implied; if Nifty then chops around realizing 16%, your rehedging scalps out-earn the theta and you profit; if it pins and realizes 8%, theta wins and you lose. Practical levers: **how often you re hedge** (continuous captures more but pays more transaction cost/slippage; discrete bands trade off scalp capture vs cost), and **where spot is relative to strike** (gamma is highest ATM near expiry, so scalping is richest there but theta is also brutal). Gamma scalping is literally *monetising the gap between realized and implied volatility*. - *Say it crisply:* "Long a gamma-hedged book, each spot move lets you re hedge by selling high/buying low — those scalps pay you realized vol while theta charges you implied, so gamma-scalp P&L ≈ realized minus implied vol." - *Follow-up they may ask:* "How often do you re hedge?" → A trade-off: tighter bands capture more scalps but pay more slippage/STT; I widen bands when transaction costs are high and tighten when vol and gamma are high.

Q3. If gamma-scalp P&L is realized minus implied, what's the point of the greeks — just watch vol? -

Interviewer is testing: depth — that the path, dollar-gamma and vega/vanna/volga all matter, not a single number. - *Deep answer:* The realized-minus-implied result is the *clean* theory under continuous hedging with constant vol. Reality diverges, and the greeks tell you how. **Dollar-gamma** scales the payoff — the same vol move earns more when your gamma is large (ATM, near expiry), so *when and where* the move happens matters, not just the annualised realized number: a move that happens while you're ATM-heavy pays more than the same move when you're OTM. **Path dependence:** realized vol measured over the period can equal implied yet you lose if the moves came when your gamma was low. **Vega** captures P&L from the *level* of implied vol repricing (a MtM hit if IV moves), separate from the hedging scalps. **Vanna/volga** (skew and vol-of-vol sensitivities) matter when you hold a skewed book and the surface shifts. So an experienced vol trader watches: dollar-gamma profile across strikes/time, vega by expiry (term structure exposure), and the skew greeks — because the "realized – implied" headline hides *where* on the surface and *when* in the path the P&L is coming from. That granularity is the difference between a book that behaves and one that surprises you. - *Say it crisply:* "Realized-minus-implied is the clean theory, but dollar-gamma scales it, path decides when it's earned, and vega/vanna/volga capture surface repricing — so I watch the whole greek profile, not one vol number." - *Follow-up they may ask:* "Give an example of same realized vol, different P&L." → If the big moves happen when I'm far OTM (low gamma) I capture little; the same annualised vol delivered while I'm ATM pays much more.

Q4. What is dispersion trading? - *Interviewer is testing:* understanding of index vol vs single-name vol and correlation. - *Deep answer:* Index variance is a function of the constituents' variances *and their correlations*: an index moves less than the average of its stocks because they don't all move together. So **index implied vol is cheap relative to the average single-name implied vol when implied correlation is high**, and vice versa. Dispersion trades that: classically you **sell index options (short index vol) and buy options on the constituents (long single-name vol)** — you're short correlation, betting the stocks will move around individually more than the index (i.e., realized correlation comes in below the implied correlation embedded in index vol). If the names decorrelate (idiosyncratic, stock-specific moves — think an earnings season where each bank reacts to its own results), the single-name legs pay while the index leg stays calm. You lose in a **correlation-1 crash** where everything sells off together — the index leg (short) blows out while the single names don't diversify. In India this is harder: liquid single-stock options are limited to the big F&O names, Bank Nifty is only ~12 names (so a Bank Nifty vs constituent-banks dispersion is actually feasible and is the cleanest local version), and borrow/liquidity constraints bite. It's a **relative-value vol / short-correlation** strategy, not a directional one. - *Say it crisply:* "Dispersion sells index vol and buys constituent vol — a short-correlation bet that single names move more idiosyncratically than the index implies; it pays when stocks decorrelate and loses in a correlated crash." - *Follow-up they may ask:* "Local version?" → Bank Nifty vs its ~12 constituent banks' options is the cleanest Indian dispersion, since the index is concentrated and those names have liquid options.

Q5. What is implied correlation and how does it sit inside index vol? - *Interviewer is testing:* the math intuition behind dispersion and correlation risk. - *Deep answer:* For an index, variance $\approx \sum w_i^2 \sigma_i^2 + \sum w_i w_j \sigma_i \sigma_j \rho_{ij}$ — the weighted sum of constituent variances plus the covariance (correlation) terms. Given the index implied vol and the constituents' implied vols and weights, you can back out the **implied correlation** the market is pricing — a single number roughly between 0 and 1 telling you how together the market expects the names to move. High implied correlation (near 1) means index vol is *expensive* relative to the components (dispersion is attractive to put on — sell index, buy names); low implied correlation means the opposite. Implied correlation spikes in crises (everything moves together → index vol rich) and falls in stock-

picker/earnings regimes. Traders watch implied correlation as its *own* tradable variable — a "dispersion index." The risk in being short correlation (long dispersion) is exactly a correlation spike: a market crash drives ρ toward 1, index vol explodes against your short index leg, and the long single-name legs don't diversify enough to save you. So implied correlation is both the signal (when to put dispersion on) and the risk factor (what blows it up). - *Say it crisply*: "Index variance is component variances plus correlation terms, so you can back out the implied correlation priced into index vol — high implied correlation makes index vol rich vs the names (dispersion signal), and a correlation spike toward 1 is what blows a short-correlation book up." - *Follow-up they may ask*: "So dispersion is short what, exactly?" → Short realized correlation — you profit if realized correlation is below the implied correlation you sold via the index leg.

Q6. Explain a skew relative-value trade. When is skew "too steep"? - *Interviewer is testing*: whether you trade the shape of the vol surface, not just its level. - *Deep answer*: Equity index skew is persistently negative — OTM puts trade at higher IV than OTM calls (crash fear, hedging demand). A skew RV trade bets the *shape* is mispriced relative to history or to realized dynamics. Example: a **risk reversal** (sell the expensive OTM put, buy the cheaper OTM call, delta-hedged) is short skew — you put it on when skew looks too steep vs its typical range and you expect it to flatten, i.e. put IV to come down relative to call IV. Or a **put spread vs call spread** to isolate the smile's slope. "Too steep" is judged relative to: the skew's own history (percentile), the level of vol (skew and level co-move — skew steepens as vol rises), and realized skew (does the market actually move down faster than up by as much as priced?). The risk: skew is steep *for a reason* — it's the price of crash insurance, and being short skew (short the put wing) means you're short the tail; a crash both steepens skew further and hurts your short put. So skew RV is a *carry-with-tail-risk* trade: you collect when the surface mean-reverts and pay badly when the tail hits. I size it small and often keep a cheap deep-tail hedge so I'm short the "belly" of the skew, not the extreme wing. - *Say it crisply*: "Skew RV trades the surface's slope — e.g. a risk reversal short an over-steep put skew expecting it to flatten — judged against skew's own history and vol level, with the catch that steep skew is crash insurance, so you're short the tail and size it small." - *Follow-up they may ask*: "Why does skew steepen when vol rises?" → Fear drives put demand and spot-vol correlation is negative, so down-moves come with vol spikes — the surface prices that leverage into a steeper put skew.

Q7. Variance swaps and vol swaps — what are they and how do they differ from trading options for vol? - *Interviewer is testing*: knowledge of pure vol instruments and the convexity distinction. - *Deep answer*: A **variance swap** pays the difference between **realized variance** and a strike (variance), i.e. it's a *pure* bet on realized vol^2 with no delta and no need to gamma-hedge — you get clean exposure to realized variance. A **vol swap** pays on realized *vol* (not variance) linearly. The key distinction: variance swaps are **convex in vol** (payoff in variance = vol^2), so they're worth more than a vol swap when vol is uncertain — that convexity premium is why a variance swap strike sits slightly above the ATM implied (it's priced off the *whole* option strip, via the log-contract replication: a static portfolio of options across all strikes weighted $1/K^2$ plus a dynamic future hedge). Versus trading options for vol: with options you get *messy* vol exposure — your vega changes with spot, you must gamma-scalp and re hedge, and your realized-vs-implied capture is path-dependent and concentrated near your strikes. A variance swap gives you the *clean* realized-variance exposure that a perfectly hedged, continuously-rehedged strip of options *approximates* — it removes the path/dollar-gamma noise. In India these OTC vol products aren't exchange-traded for retail, so the *concept* matters (it's how you think about "pure vol" and why an option book's vol P&L is lumpy), even if you actually express vol via listed options. - *Say it crisply*: "A variance swap is a clean bet on realized variance (no delta, no gamma-hedging), convex in vol so it prices above ATM implied and replicates via a $1/K^2$ -weighted option strip; a vol swap is the linear version — both give the pure vol exposure that a hedged option book only

approximates messily." - *Follow-up they may ask*: "Why does a variance swap replicate with $1/K^2$ weights?" → That weighting across all strikes makes the portfolio's aggregate gamma constant in dollar terms, which is exactly what gives exposure to variance independent of where spot goes.

Q8. Why does a hedged short-vol book still carry fat-tail risk even when it's delta-neutral and gamma-managed? - *Interviewer is testing*: the central humility of the vol-selling business — the thing that blows up funds. - *Deep answer*: Delta-neutral removes *direction*; it does nothing about **gap risk, jumps and the vol-of-vol**. A short-vol book is short gamma (loses on big moves) and short vega (loses when IV spikes) — and those two hit *together and non-linearly* in a crash. Continuous delta-hedging assumes you can re hedge in small increments; a **gap** (overnight, or a circuit-breaker, or a Fed shock while India's shut) jumps spot past your hedge, and short gamma means the loss grows *quadratically* with the move — a 5-sigma gap doesn't cost 5x a 1-sigma, it costs ~25x on the gamma. Simultaneously **IV explodes** (vega loss) and **skew steepens** (your short put wing reprices against you) and **correlation goes to 1** (if it's a dispersion/index book). And **SPAN margin gets hiked mid-crisis**, forcing you to cover shorts at the worst prices — a liquidity/forced-liquidation spiral. So the book that quietly collects theta for months has a **short, fat left tail**: many small wins, rare enormous losses (short-vol payoff is "picking up pennies in front of a steamroller"). Managing it means: cap gross short gamma/vega, always own some cheap deep-OTM tail hedges (convert naked shorts to defined-risk spreads), stress-test to jumps not just 1-sigma moves, keep a margin cushion, and size so a 5–8 sigma gap is survivable, not fatal. - *Say it crisply*: "Delta-neutral only removes direction — a short-vol book is short gamma and vega, so a gap makes losses grow quadratically while IV spikes, skew steepens, correlation goes to 1 and margin gets hiked all at once; it's pennies-in-front-of-a-steamroller, so I cap size, keep tail hedges, and stress to jumps." - *Follow-up they may ask*: "How do you convert it to survivable?" → Buy cheap deep-OTM wings so every short is a defined-risk spread, cap net short vega/gamma, and size to survive a multi-sigma overnight gap with margin cushion.

Q9. How do you decide what implied vol is "fair" — what's your fair-value process for vol? - *Interviewer is testing*: a structured vol-valuation framework, the core of a vol trader's edge. - *Deep answer*: I triangulate. (1) **Realized vs implied**: compute recent realized vol (close-to-close and range-based like Parkinson/Garman-Klass) over relevant windows and compare to the implied I'd trade at — is the market paying a premium (usual) or discount to recent realized? (2) **Vol risk premium**: implied structurally sits above realized (sellers demand a premium), so I judge whether the current premium is rich or thin vs its history. (3) **Term structure**: is the front cheap/rich vs back (contango/backwardation)? Event humps? (4) **Events calendar**: what known catalysts (budget, RBI, Fed, results) justify or don't justify the level — is IV high because of a real event or just fear? (5) **Skew/surface**: is the wing I'm trading fair vs the smile? (6) **Regime**: VIX level and its percentile, macro backdrop. Fair value isn't a point, it's "given recent realized ~11%, a normal ~2-point premium, no event this week, and VIX in the 30th percentile, 13% implied looks slightly rich → lean short, defined-risk." The edge is disciplined comparison, not a model spitting one number — and always cross-checked against *what could make me wrong* (an un-priced catalyst). - *Say it crisply*: "I triangulate implied against recent realized, the historical vol-risk-premium, the term structure and event calendar, the skew, and the VIX regime/percentile — fair value is a lean (rich/cheap) with a reason, not a single model number." - *Follow-up they may ask*: "Implied always above realized — so always sell?" → No — the premium compensates for exactly the fat-tail/gap risk in Q8; you only sell when the premium is *rich* relative to that risk, sized to survive the tail.

Q10. As a desk lead, how would you build and risk-manage a relative-value vol book across Nifty/Bank Nifty? - *Interviewer is testing*: synthesis and risk-management maturity at a portfolio level. - *Deep answer*: I'd frame the book around a few *independent* vol edges rather than one big directional-vol bet:

(a) **term-structure RV** (front vs back Nifty weeklies/monthlies), (b) **index vs constituent / Bank Nifty dispersion** (short-correlation, sized for the crash tail), (c) **skew RV** (risk reversals on over-steep wings, tail-hedged), and (d) opportunistic **event vol** (selling rich crush, buying cheap pre-event convexity). Each is delta-hedged so the book is directionally flat and lives on vol/correlation/skew. Risk management is the job: I run aggregate greeks — net vega by expiry, net dollar-gamma, skew (vanna) and vol-of-vol (volga) exposure — and cap each. Critically I **stress the book to jumps and correlation-to-1**, not just 1-sigma, because the edges (short vol, short correlation, short skew) all lose *together* in a crash — so I keep them small enough and tail-hedged enough that a systemic gap is survivable. I budget **SPAN under a stressed-parameter scenario** (assuming SPAN gets hiked) and run margin at ~60–70% utilisation. I size each strategy to a fraction of capital-at-risk and require them to be as *uncorrelated* as I can make them — the whole point is diversified vol edge, so a bad month in dispersion isn't a bad month everywhere. And I keep a permanent cheap deep-tail hedge as portfolio insurance. The philosophy: harvest multiple small vol edges, hedge direction, and spend real money and discipline making sure the shared left tail can't end the book. - *Say it crisply*: "I'd run several independent, delta-hedged vol edges — term-structure, dispersion, skew, event crush — cap aggregate vega/gamma/skew greeks, stress to jumps-and-correlation-to-1 (since they all lose together in a crash), keep a permanent tail hedge, and size to a stressed-SPAN margin so a systemic gap is survivable." - *Follow-up they may ask*: "Biggest hidden risk in that book?" → Correlation *between the strategies* — they look diversified in calm markets but all short the tail, so in a crash they converge and lose together; that's what I stress and hedge for.

Behavioral & Experience Questions (with Answer Templates)

These are the questions that actually decide the offer. By the time a desk head asks "what's your edge?", the technical screen is already passed — now they want to know if you're safe with capital, honest about losses, and coachable. Below is a strong template answer for each, plus a note on how to personalise it *truthfully* to a real NSE F&O / research background. The golden rule: never fabricate a track record. Frame genuine experience well, and where you lack live P&L, say so and show process instead. (India context, 2026 — STT-on-options hike to ~0.15% of premium from Apr 2026 and SEBI's expiry-day/lot-size changes are the kind of "current-rules" awareness they like to hear you reference; verify current at interview time.)

Q1. What is your edge? - *Interviewer is testing:* Whether you have a repeatable, articulable reason you make money — not vibes. - *Deep answer:* A real edge is one sentence, then evidence. Structure it as: *source of edge* → *why it persists* → *how you monetise it* → *how you know it's real*. Weak answers say "I read charts well." Strong answers name a specific, defensible thing. Examples that hold up on an F&O desk: "I trade the vol-risk-premium on Bank Nifty weeklies — implied consistently prints richer than subsequent realised into expiry, so I'm a structural net seller of short-dated premium, sized so a single 3-sigma gap can't end me." Or an execution edge: "I'm fast and disciplined around the 3:30 expiry-day pin and the post-9:15 opening auction — I exploit the predictable order flow and IV crush, not a directional view." Or a research edge: "I model event vol — I know what Nifty options are pricing into an RBI policy or a large-cap result versus what that stock/index has actually done across the last 12 similar events, and I trade the gap." Then close with honesty about capacity: an edge decays, so I monitor whether my win rate and average edge-per-trade are holding, and I retire a strategy when the market arbitrages it away. The interviewer wants to hear that you understand edge = statistical expectancy, not a lucky streak. - *Say it crisply:* "My edge is the short-dated vol-risk-premium on Nifty/Bank Nifty weeklies — IV structurally overprices realised into expiry, I'm a disciplined net seller sized for tail gaps, and I track whether that premium is still there." - *Personalise truthfully:* If you haven't run live capital, say "My edge today is analytical, not a P&L track record — here's the specific inefficiency I've researched and how I'd trade it." Never claim a Sharpe you don't have. - *Follow-up they may ask:* "What kills that edge?" → "Crowding — when everyone sells the same weekly straddle, the premium compresses and the tail gets worse; I watch IV percentile and my realised fill quality for that."

Q2. Tell me about your biggest loss and what you learned. - *Interviewer is testing:* Risk maturity and honesty. They're screening OUT people who blame the market or hide blowups. - *Deep answer:* Pick a real, specific loss — never "I've never had a big loss" (instant red flag) and never a story where you were secretly the hero. Structure: *the setup* → *the mistake (owned, singular, process-level)* → *the number* → *the fix that's now permanent*. Good template: "I was short a Bank Nifty strangle into a range week, then a global risk-off gap opened the index ~4% against me at 9:15. My real mistake wasn't the trade — it was sizing: my short leg's delta had drifted and my max loss on a gap was ~2.5x my per-trade risk budget because I'd sized on the calm IV, not the tail. I took a ₹1.8L hit on a book that should have risked ₹70k. What changed permanently: I now size undefined-risk shorts on the *gap scenario*, not the current delta; I convert naked shorts to defined-risk spreads before known event risk; and I have a hard rule that no single position can lose more than X% of equity on a limit-down move." The learning must be structural (a rule you now follow), not emotional ("I'll be more careful"). - *Say it crisply:* "Short a Bank Nifty strangle, market gapped 4%, and I learned I'd sized on calm vol not the tail — now I size undefined-risk on the gap scenario and cap single-position tail loss with a hard rule." - *Personalise truthfully:* No live blowup? Use a paper/small-size loss, or the most painful research

call you got wrong, and be explicit it was small size — the *lesson* is what they're grading. - *Follow-up they may ask*: "How do you know you won't repeat it?" → "Because it's a hard-coded position-sizing rule now, not a judgment call I re-make under stress."

Q3. What's your win rate, and how do you size? - *Interviewer is testing*: Whether you understand that win rate is meaningless without payoff and sizing — the mark of an amateur is quoting win rate alone. - *Deep answer*: Immediately connect win rate to expectancy and risk-of-ruin. "Win rate alone tells you nothing — a premium-selling book can win 80% and still blow up if the 20% losers are 6x the winners." Give the honest shape of your strategy: "As a net vol seller I run a high win rate, ~70–80%, with a negatively-skewed payoff, so my entire job is making sure the losers are capped and small relative to equity. My sizing is risk-first: I fix the rupee amount I'm willing to lose per trade — say 0.5–1% of equity — and I back into position size from the *defined* max loss, using spreads or hard stops so 'max loss' is a real number, not a hope." Mention Kelly awareness without being a zealot: "I size well under full Kelly — quarter-Kelly-ish — because Kelly assumes you know your edge precisely and I don't." And mention correlation: "I risk-budget at the portfolio level too, because five 'independent' Nifty short-vol trades are really one trade on a gap day." - *Say it crisply*: "High win rate, negative skew — so I size risk-first: fixed ~0.5–1% equity max loss per trade, defined via spreads, sized well under Kelly, and I budget correlated positions as one risk." - *Personalise truthfully*: Quote a real number if you have one; if it's backtested/paper, say so plainly. Never invent a Sharpe or win rate. - *Follow-up they may ask*: "So why sell premium if the skew is bad?" → "Because positive expectancy comes from the vol-risk-premium and disciplined tail control, not from a pretty win/loss ratio."

Q4. How do you handle a drawdown? - *Interviewer is testing*: Emotional control and pre-defined process under stress. Do you tilt, or do you have a plan? - *Deep answer*: The right answer is that the response is decided *before* the drawdown, in cold blood. "I run tiered risk-down rules. I track a rolling drawdown on the book; at defined thresholds I mechanically cut size — say at -6% peak-to-trough I halve position sizing, at -10% I go to minimum size and stop adding new risk until I've had a green stretch." The point is de-risking is a rule, not a mood. Then the diagnostic layer: "A drawdown makes me ask *is this variance or is my edge broken?* — I go back to the journal and check whether losers are inside my expected distribution or whether the market regime changed (e.g. IV regime shift, a new SEBI expiry structure changing weekly flow). If it's variance, I keep trading the plan at reduced size; if the edge is genuinely gone, I stop and rebuild." Crucially, mention the human side honestly: "Reducing size also reduces the emotional charge, which keeps me from revenge-trading — the fastest way to turn a drawdown into a blowup is trying to make it back in one trade." - *Say it crisply*: "Pre-set tiered size cuts as drawdown deepens, then a journal check on whether it's variance or a broken edge — de-risking first stops the revenge trade." - *Personalise truthfully*: Frame it as a rule set you'd run (or ran on small size) — grounded in process, not a war story you don't have. - *Follow-up they may ask*: "When do you fully stop?" → "When losers fall outside my modelled distribution or the regime that gave me edge has clearly changed — variance I trade through, broken edge I don't."

Q5. Why options rather than futures or cash? - *Interviewer is testing*: Whether you chose options for a real structural reason and understand what they uniquely give you. - *Deep answer*: The answer is that options let you trade dimensions cash and futures can't: volatility, time, and shaped payoffs. "Futures give me linear directional exposure — one Greek, delta. Options let me express a *view on volatility and on the distribution*, not just direction: I can be long gamma into an event, short theta in a range, or build a defined-risk payoff that pays if Nifty stays in a band. That non-linearity is the whole point." Give a concrete India example: "If I think Bank Nifty is range-bound for two weeks, futures can't express that — a short weekly strangle or iron condor monetises the time decay and the vol-risk-premium directly." Also the capital/risk-shaping angle: "Options let me define maximum loss precisely — a long option or a debit spread has a known, capped

downside, which is capital-efficient risk in a way an unhedged future isn't." Then show you respect the cost: "The tradeoff is I pay theta and the bid-ask, and with the STT-on-options premium hike from Apr 2026 and physical settlement of stock options, the frictions matter — so I use options where the *shape* of the payoff justifies the cost, and I'll use futures when I just want clean linear delta cheaply." - *Say it crisply*: "Options let me trade volatility, time and shaped payoffs with defined risk — futures only give me linear delta. I use options when the payoff shape earns its cost, futures when I just want cheap delta." - *Personalise truthfully*: If your background is research, lean into "I came to options because they let a view become a precisely-shaped, defined-risk trade." - *Follow-up they may ask*: "Downside of options vs futures?" → "You bleed theta and pay wider spreads plus STT — you have to be right on more than just direction."

Q6. Walk me through a trade you're proud of. - *Interviewer is testing*: How you actually think — thesis, execution, risk management, and exit discipline — in a real case. - *Deep answer*: Pick a trade where the *process* was good, not just the outcome (they'll respect a well-managed small winner over a lucky moonshot). Structure it as a story: *thesis* → *why the options structure* → *sizing/risk* → *how you managed it live* → *exit* → *what you'd do the same/differently*. Example: "Ahead of a Nifty event where IV had spiked to the 90th percentile but the index had historically under-delivered on that event across the last several occurrences, I sold a defined-risk iron condor on the weekly — short strikes around the expected-move edges, wings for a capped tail. I sized so max loss was ~1% of book. IV crushed post-event as expected, the index stayed inside the body, and I closed at ~60% of max profit rather than holding to expiry to avoid pin/gamma risk near the strikes and the ITM-exercise STT trap on any leg." The maturity signals: sold rich vol not cheap, defined the risk, took profit early, respected settlement mechanics. End with reflection: "What I'd repeat is exiting at 60% instead of getting greedy; what I watch now is not oversizing after a run of these working." - *Say it crisply*: "Sold a defined-risk weekly iron condor when IV was 90th-percentile rich into an event the index historically under-delivered on, sized at 1% max loss, and closed at 60% of max — process over hero-ball." - *Personalise truthfully*: A paper or small trade is fine — say the size honestly and let the *decision quality* carry it. - *Follow-up they may ask*: "Why close at 60%, not hold to expiry?" → "The last bit of premium isn't worth the gamma and pin risk near my short strikes — risk-adjusted, 60% is where I want out."

Q7. How do you journal and review your trades? - *Interviewer is testing*: Whether you have a feedback loop — the thing that separates traders who improve from those who repeat mistakes. - *Deep answer*: Show a concrete, lightweight-but-real system. "Every trade gets logged at entry with the *thesis and the invalidation* — not just the fill — so I can grade the decision independently of the outcome. I capture: structure, strikes/expiry, entry IV and IV percentile, sizing/max-loss, the reason, and the pre-committed exit. At close I log realised P&L, whether I followed the plan (a yes/no I'm strict about), and one line of what I learned." Then the review cadence: "Weekly I review all trades bucketed by *setup type*, not by winner/loser, so I can see which strategies have real expectancy and which I just like emotionally. Monthly I look at aggregate stats — expectancy per setup, average adverse excursion, whether my losers are staying inside their modelled size." The key insight to voice: "I grade *process*, not P&L — a trade can lose money and be an A-grade decision, or win and be a C-grade gamble. Rewarding good decisions is what compounds." Bonus India-specific: "I also track my frictions — STT, especially the ITM-exercise trap, and slippage on wide weekly spreads — because on short-dated books costs are a real chunk of edge." - *Say it crisply*: "I log thesis and invalidation at entry, grade process-vs-outcome at exit, and review weekly by setup type — because rewarding good decisions, not lucky P&L, is what actually compounds." - *Personalise truthfully*: If your journal is from paper trading or research calls, say so — the discipline is the point and it transfers. - *Follow-up they may ask*: "What's one thing your journal changed?" → "It showed one 'favourite' setup was net-negative expectancy — I only felt like it worked because the winners were memorable. I cut it."

Q8. How has your trading process evolved? - *Interviewer is testing:* Coachability and self-awareness — a good trader's process should look different from a year ago. - *Deep answer:* Show a clear before/after arc with a lesson in the middle. The strongest version moves from *outcome-focused and directional* to *process-focused and risk-first*. "Early on I was mostly directional and outcome-obsessed — I judged myself by whether the trade made money, and I sized by conviction, which meant I bet biggest right before my worst losses. The evolution was three things: first, I moved from directional guessing to trading *volatility and structure* — asking 'is vol rich or cheap?' before 'which way?'. Second, I made risk sizing mechanical and edge-first instead of conviction-based. Third, I built the journal and started grading process, which killed a couple of setups I emotionally liked but that had no expectancy." Then show it's ongoing: "Most recently I've been adapting to the 2026 structural changes — the STT-on-options hike making high-churn short-dated scalping less viable, and SEBI's expiry-day and lot-size changes reshaping weekly flow — so I've shifted toward holding structures a bit longer and being more selective, because paying more per round-trip means each trade has to carry more edge." This signals you adapt to regime and rule changes, which is exactly what a desk wants. - *Say it crisply:* "I went from directional-and-outcome-driven to volatility-and-process-driven with mechanical risk sizing — and lately I've adapted to 2026's higher STT and SEBI expiry changes by trading more selectively for more edge per round-trip." - *Personalise truthfully:* Anchor the arc in your real journey — MBA finance to markets, research to trading — whatever is genuinely yours. - *Follow-up they may ask:* "What are you working on now?" → "Tightening my event-vol model and being more ruthless about only taking setups where the edge clears the higher 2026 cost of trading."

Q9. Why do you want to trade on a desk rather than your own account? - *Interviewer is testing:* Motivation and cultural fit — are you here to learn and contribute, or just to get funded? - *Deep answer:* Be honest and specific. The good answer combines capital, infrastructure, and *people*: "Three reasons. Capital and risk infrastructure — a desk lets me express edges at a size and with risk systems I can't replicate alone, and a proper risk framework actually makes me a better trader, not a constrained one. Second, the flow and information — being on a desk means seeing order flow, other traders' thinking, and market structure in a way a retail screen never shows. Third, and most important for a five-year horizon, the people — I learn fastest around sharper traders who'll tell me when my reasoning is wrong. Solo, you marinate in your own biases." Avoid the trap answer ("I want your capital because mine is small") without the growth framing. Show you understand the deal: "I know a desk seat comes with accountability, risk limits, and a mandate — I want that structure, it's a feature not a cost." - *Say it crisply:* "Capital and risk infrastructure to size edges properly, the flow and market-structure view you only get on a desk, and — most of all — sharper people who'll correct my reasoning faster than I can alone." - *Personalise truthfully:* Tie it to your genuine stage — early-career wanting mentorship, or research wanting to convert analysis into live risk. - *Follow-up they may ask:* "How do you handle risk limits you disagree with?" → "I respect the limit and make my case with data — the limit protects the firm, and being right about a trade doesn't make me right about firm-level risk."

Q10. Tell me about a time you were wrong and changed your mind. - *Interviewer is testing:* Intellectual honesty and the ability to update — critical for anyone managing risk. - *Deep answer:* Markets punish stubbornness, so they want to see you separate ego from position. Structure: *the conviction* → *the disconfirming evidence* → *what you did* → *the meta-lesson about updating*. "I was convinced Bank Nifty was range-bound and kept a short strangle on; the tape started telling me otherwise — realised vol rising, the range breaking on volume, my short leg's delta running. My old self would have 'defended' the view. Instead I'd pre-committed to an invalidation level, and when it hit I closed and flipped my bias rather than adding to a loser. The meta-lesson: the market is a better judge of my thesis than I am, and 'averaging into' a short vol position that's already moving against me is how strangles blow up. Now every directional or vol view has a

written invalidation, and hitting it is non-negotiable — being wrong is cheap, staying wrong is what's expensive." The signal: you have a mechanism (pre-set invalidation) that overrides ego in real time. - *Say it crisply*: "My range view broke on rising realised vol; I hit my pre-written invalidation and closed instead of defending it — being wrong is cheap, staying wrong is expensive, so every view now has a hard invalidation." - *Personalise truthfully*: Use a real research or trading call you got wrong; the willingness to say "I was wrong" cleanly is itself the answer. - *Follow-up they may ask*: "What if the invalidation was just noise and you'd have been right?" → "Sometimes it is — but a rule that occasionally stops me out early is far cheaper than the one blowup from having no rule."

Q11. How do you handle stress and a bad losing streak emotionally? - *Interviewer is testing*:

Psychological durability — can they trust you with capital at 2:45pm on a down day? - *Deep answer*: Don't claim to be a robot; claim to have *systems that make emotion irrelevant to decisions*. "I assume I'll be emotional — the goal isn't to feel nothing, it's to make sure feelings don't touch the position. The mechanisms: pre-committed sizing and invalidations so the hard decisions are already made when I'm calm; automatic size reduction in a drawdown so the stakes drop before my judgment degrades; and physical circuit-breakers — if I catch myself wanting to 'make it back', I flatten and step away, because revenge-trading is the single most destructive behaviour on a desk." Add the sustainable-career framing: "Over a five-year horizon, the traders who last aren't the ones who never lose — they're the ones who never let a bad day become a catastrophic one. Sleep, not over-leveraging, and having a life outside the screen are risk-management tools, not soft stuff." This reassures them you won't be the person who doubles down at 3:15pm to get flat by close. - *Say it crisply*: "I assume I'll feel it, so I make the decisions cold in advance — pre-set sizing, invalidations, and auto de-risking — and I flatten and walk away the moment I feel the urge to make it back." - *Personalise truthfully*: Speak to how you genuinely manage pressure; authenticity reads better than a canned 'I stay calm.' - *Follow-up they may ask*: "What's your tell that you're tilting?" → "Wanting to size up right after a loss, and checking the P&L every thirty seconds — both are my cue to reduce and step back."

Q12. Where do you want to be in five years, and what do you need to get there? - *Interviewer is testing*:

Ambition, realism, and whether your goals fit the seat they're offering. - *Deep answer*: Balance ambition with the humility of the craft. "In five years I want to be running a meaningful book with a proven, documented edge and a track record that stands on its own — ideally with a strategy or a niche the desk associates with me. But I'm realistic that trading is a slow compounding game: year one is about absorbing the desk's risk framework, market structure, and process, and earning trust by being disciplined at small size. What I need from the firm is honest feedback, exposure to more experienced traders, and a risk framework that lets me scale as I prove expectancy." Show you understand the actual path: "The traders who make it aren't the ones who make the most in year one — they're the ones who don't blow up and keep compounding. I'd rather be the boringly consistent one than the flashy one who's gone in eighteen months." This signals longevity, coachability, and that you're not going to reach for a hero trade to accelerate. - *Say it crisply*: "Running a meaningful book with a documented edge and a real track record — but I know that's built by not blowing up and compounding discipline, so year one is earning trust at small size." - *Personalise truthfully*: Match the horizon to your genuine ambition; don't oversell a timeline you don't believe. - *Follow-up they may ask*: "What if you're not profitable in year one?" → "Then I want to know precisely why from the data — profitability lags process, so I'd focus on whether my process is sound and the losses are variance, not a broken edge."

Curveballs, Brain-Teasers & "Trade This Scenario"

This is where the interview stops being a viva and becomes a live test of your reflexes: mental math, quick Greeks, expected-value puzzles, and "the market is here, VIX is X — trade it." They don't want a perfect number; they want to see fast, structured reasoning delivered out loud without freezing. Below are the classics with the shortcut logic to say in real time. Numbers are illustrative for 2026 NSE F&O (verify current lot sizes, STT, and expiry structure at interview time — the STT-on-options hike to ~0.15% of premium from Apr 2026 is a favourite "do you know the frictions" check).

Q1. An ATM straddle costs roughly what percentage move? - *Interviewer is testing:* Whether you can instantly link straddle price to the market's expected move — core options intuition. - *Deep answer:* The shortcut every desk trader carries: an ATM straddle price $\approx$ the market's expected (1-standard-deviation) move over its life. So if Nifty is at 24,000 and the weekly ATM straddle (call + put) trades at $\approx$ ₹360, the market is pricing roughly a $\pm$ 360-point move, i.e. $\pm$ 1.5%, by expiry. The cleaner rule: **ATM straddle $\approx 0.8 \times S \times \sigma \times \sqrt{T}$** (σ = annualised IV, T in years). Turn it around to sanity-check IV against VIX: with India VIX at $\sim$ 14% and 5 calendar days to expiry, $\sqrt{T} = \sqrt{(5/365)} \approx 0.117$, so expected move $\approx 24,000 \times 0.14 \times 0.117 \approx$ **₹393**, $\sim$ 1.6%. If the straddle is trading richer than that, IV > VIX-implied on this expiry (weekly event premium); cheaper, and realised has room to disappoint the seller. Out loud you say the mapping, then the number. The follow-through insight: the straddle *is* the expected move, so if you think the actual move will be smaller you sell it, larger you buy it — that's the whole trade. - *Say it crisply:* "ATM straddle $\approx$ the 1-sigma expected move — roughly $0.8 \times S \times IV \times \sqrt{T}$. At Nifty 24,000, $\sim$ 14 VIX, weekly, that's about $\pm$ ₹390, $\sim$ 1.6%, and if the straddle's richer than that I'm a seller." - *Follow-up they may ask:* "So what's a rough IV from a straddle?" $\rightarrow$ "IV $\approx$ straddle $\div (0.8 \times S \times \sqrt{T})$ — invert the same formula."

Q2. ATM delta is about 0.5 — so what? - *Interviewer is testing:* Whether you understand delta as both hedge ratio and rough probability, and can extend it. - *Deep answer:* Three readings of "ATM delta $\approx$ 0.5" you fire off in order. **Hedge ratio:** the ATM call moves $\sim$ ₹0.50 per ₹1 in the underlying, so to hedge one ATM option's delta on Nifty (lot 25, say) I need $\sim$ half a lot of futures equivalent — i.e. delta-neutralise with $\sim$ 12–13 units of underlying delta. **Probability proxy:** delta $\approx$ risk-neutral probability of finishing ITM, so ATM $\approx$ 50/50, a 0.30-delta OTM call $\approx$ $\sim$ 30% chance of expiring ITM — which is how I pick strikes for a target probability-of-profit. **Straddle delta:** long ATM call (+0.5) plus long ATM put (−0.5) $\approx$ 0 net delta — that's why a straddle is a pure vol/gamma bet at inception, direction-neutral. The nuance a senior trader adds: delta drifts. As the underlying moves or time passes, that 0.5 doesn't stay 0.5 — gamma is highest ATM near expiry, so a "delta-neutral" short straddle on expiry morning can be dangerously long or short delta by lunch. So "delta 0.5, so what?" — so I hedge it, I read it as $\sim$ 50% ITM odds, and I respect that it won't stay 0.5 for long. - *Say it crisply:* "0.5 means half a unit of hedge per option, $\sim$ 50% odds of finishing ITM, and a straddle is delta-neutral at entry — but gamma means it won't stay 0.5, so I re-hedge as it drifts." - *Follow-up they may ask:* "0.30-delta strike — probability ITM?" $\rightarrow$ "Roughly 30%, so a short 0.30-delta option has $\sim$ 70% chance of expiring worthless, before costs."

Q3. Nifty 24,000, you buy the 24,200 call for ₹80 — breakeven and max loss? - *Interviewer is testing:* Clean payoff mechanics under time pressure, including that you don't forget costs. - *Deep answer:* Breakeven = strike + premium = 24,200 + 80 = **24,280** at expiry (index must rise $\sim$ 1.17% just to break even — that's the theta/OTM cost you're paying). Max loss = premium paid = **₹80 per unit**, $\times$ lot 25 = **₹2,000** per lot, and that's the *whole* risk, which is the beauty of a long option. Max profit = unlimited above breakeven. The experienced-trader add-ons said out loud: (1) breakeven is at expiry — before expiry the option can be profitable well below 24,280 if IV rises or time hasn't decayed, so I don't need to reach breakeven to make

money if I'm trading it, not holding to expiry. (2) Costs bite: STT on the buy premium, brokerage, and if I let it expire ITM the exercise-side STT is charged on *settlement value*, not premium — the classic trap that can make a marginally-ITM held-to-expiry option a net loser. So I'd square off before expiry rather than exercise. (3) Probability check: 24,200 is OTM, delta maybe ~0.35, so ~35% chance of finishing ITM — I'm paying ₹80 for a ~1-in-3 shot, which only makes sense if I think IV is cheap or the move is bigger than priced. - *Say it crisply*: "Breakeven 24,280 at expiry, max loss the ₹80 premium (₹2,000/lot), unlimited up — but I'd square off rather than exercise to dodge the ITM-exercise STT trap." - *Follow-up they may ask*: "Why not hold to expiry if it's ITM by ₹50?" → "Because exercise STT on settlement value could exceed the ₹50 intrinsic — squaring off in the market avoids that."

Q4. You flip a fair coin; heads you win ₹2, tails you lose ₹1. Do you play, and how much? - *Interviewer is testing*: Expected value plus bet sizing (Kelly) — the mental model behind position sizing. - *Deep answer*: EV per flip = $0.5(+2) + 0.5(-1) = +₹0.50$, positive, so yes I play — repeatedly. But "how much" is the real question and the answer is Kelly, not "all-in". Kelly fraction for this bet: $f = \text{edge}/\text{odds} = (p \cdot b - q)/b$ where $b = 2$ (win 2 per 1 risked), $p = 0.5$, $q = 0.5$, so $f = (0.5 \times 2 - 0.5)/2 = 0.5/2 = 25\% \text{ of bankroll}$ at full Kelly. Then the senior-trader caveat: full Kelly is too aggressive in the real world because I never know the true edge and drawdowns at full Kelly are brutal, so I'd bet **a fraction of that — quarter-to-half Kelly, ~6–12%**. The trading translation, which is why they ask: this coin is a metaphor for a positive-expectancy strategy. Positive EV says *trade it*; Kelly says *size it to the edge*; fractional Kelly says *stay alive through variance because ruin is permanent and a good edge only pays if you're still in the game*. If they make it lose ₹1 on tails but only win ₹0.90 on heads, EV flips negative and I don't play at any size. - *Say it crisply*: "EV is +₹0.50, so yes — full Kelly says 25% of bankroll, but I'd bet a quarter of that to survive variance. Positive EV says trade, Kelly says size to edge, fractional Kelly keeps me alive." - *Follow-up they may ask*: "Why not full Kelly?" → "Because I don't know my true edge and full-Kelly drawdowns can hit 50%+ — fractional Kelly gives up a little growth for a lot of survivability."

Q5. Market's at Nifty 24,000, India VIX is 11 — historically low. How do you position? - *Interviewer is testing*: Whether you translate a vol regime into a coherent structure, not just "buy calls". - *Deep answer*: Low VIX means options are cheap in absolute terms and vol is likelier to mean-revert *up* than fall much further — so the asymmetric play is to be a *net buyer of vol/gamma*, not a seller. First I check IV percentile/rank, not just the level: 11 might be the 5th percentile of the last year, which strengthens the "own vol" case. Structures I'd voice: long a cheap straddle/strangle if I expect a regime break or have an event catalyst; or, if I want to be direction-agnostic and pay less theta, a calendar or a long-gamma position where cheap vol works for me. Critically, I'd *avoid* being a naked premium seller here — selling an 11-VIX weekly strangle collects tiny premium for full tail risk, terrible risk/reward, and one vol spike wipes weeks of it. The nuance: cheap vol can stay cheap (theta bleeds you while you wait), so I'd size the long-vol position small, tie it to a catalyst or a tight time window, and treat it as a cheap option on disorder rather than a conviction bet. Contrast this with the mirror question — VIX at 25 — where I'd flip to being a disciplined, defined-risk *seller* of rich premium. - *Say it crisply*: "Vol's cheap and mean-reverts up, so I'm a net buyer of gamma — long straddle/calendar tied to a catalyst, small size for the theta bleed — and I refuse to sell tail risk for pennies at 11 VIX." - *Follow-up they may ask*: "And if VIX were 25?" → "Flip it — disciplined defined-risk premium selling like an iron condor, sized for the fat tail, because now I'm being paid richly for vol that's likelier to fall."

Q6. You think Bank Nifty stays in a range for the next two weeks. Trade it. - *Interviewer is testing*: Structure selection, strike placement, and — critically — how you'd manage a range trade that breaks. - *Deep answer*: A range view is a *short-vol/short-gamma* view, so I sell premium and collect theta. Cleanest defined-risk expression: an **iron condor** — sell an OTM call spread and an OTM put spread around the expected

range, wings capping the tail. Strike placement is the skill: I'd anchor short strikes near the edges of the expected move (roughly ± 1 sigma from the straddle, or the range's technical bounds — say short 51,000 call / 49,000 put if Bank Nifty's at 50,000), collect the premium, and buy wings ~500–1,000 points further out to cap loss. Why not a naked short strangle? Because Bank Nifty gaps, and undefined risk on a gap is how books die — the condor's defined loss is worth the smaller credit. Sizing: max loss (width minus credit) sized to ~1% of book. Management, which is what they're really probing: I take profit early (~50% of max credit) rather than milking the last rupee near expiry where gamma explodes; I have a mechanical adjustment/exit if the underlying tags a short strike (roll the tested side out, or just take the defined loss); and I avoid holding through a known event inside the window. The India kicker: with 2026's higher STT and expiry changes, I'd lean monthly-ish or the longer weekly rather than churning multiple weeklies, so costs don't eat the thin range premium. - *Say it crisply*: "Range = short vol, so a defined-risk iron condor with shorts near the ± 1 -sigma edges and wings for the gap — take profit at ~50%, roll or cut the tested side, and never naked-short the tail on Bank Nifty." - *Follow-up they may ask*: "Why condor not short strangle?" → "Same view, but the wings cap the gap risk — on Bank Nifty an undefined short is a blowup waiting for a bad open."

Q7. You're short a Bank Nifty strangle and the market gaps 4% overnight. What now? - *Interviewer is testing*: Crisis management under a live tail event — the single most revealing scenario question. - *Deep answer*: First, no panic and no ego — the decision is risk, not "being right." A 4% gap on a short strangle means my tested (say, put) side is now near/ITM, delta has blown out against me, and gamma means it's getting worse fast as spot moves. Step one: **assess the real exposure** — what's my current max loss and net delta right now, not what it was yesterday. Step two: **cut or hedge the delta immediately** — the killer in a gap is the runaway directional exposure, so I'd buy futures/deltas to neutralise the position's delta and stop the bleeding, *then* think. Step three: decide on the structure — if my thesis is dead I close the tested side and take the defined loss cleanly; I do **not** average down / sell more premium to "reduce basis" — that's doubling into a moving tail and how strangle sellers blow up. If IV has spiked hard, the untested (call) side has cheapened and I can buy it back cheap to remove that tail. Step four: check the whole book for correlated shorts — a 4% gap likely hit every short-vol position at once, so the portfolio delta/vega is the real risk. The meta-point they want: I had this planned *before* the trade — defined risk via wings, and a pre-set "on a gap I hedge delta first, question later" rule — so I'm executing a plan, not improvising in fear. - *Say it crisply*: "Hedge the runaway delta with futures first to stop the bleed, then close the tested side and take the defined loss — never average down into the gap — and check the whole book for correlated short-vol risk." - *Follow-up they may ask*: "Why hedge delta before deciding?" → "Because gamma makes the loss accelerate while I deliberate — neutralising delta buys me time to think without the position running further away."

Q8. Two options, same everything, but one strike's implied vol is higher. What does that tell you, and can you arb it? - *Interviewer is testing*: Understanding of the volatility skew/smile and whether you know it's a feature, not a free lunch. - *Deep answer*: Different IVs across strikes is the **volatility skew** — in index options like Nifty, OTM puts almost always carry higher IV than OTM calls because of crash-risk demand (people pay up for downside protection) and the leverage effect. So a higher IV on the low strike isn't a mispricing to arbitrage — it's the market pricing fatter left-tail risk, and it's persistent and rational. Can I "arb" it? Not risklessly — selling the expensive-IV put and buying the cheap-IV call (a risk-reversal) leaves me with directional and tail exposure, not a locked profit; the skew exists precisely because that tail risk is real. What I *can* do is trade the skew as a relative-value view: if I think the skew is steeper than justified (crash premium overpriced), I can lean short the rich puts within a defined-risk structure; if I think it's too flat before a risky event, I own downside. The senior signal: I distinguish *statistical* mispricing (tradeable edge) from *risk premium* (compensation for real risk you must bear). Skew is mostly the latter. And I'd sanity-check it's not

stale quotes or a wide book on an illiquid strike before assuming it's meaningful at all. - *Say it crisply*: "That's the skew — OTM puts price fatter crash risk, and it's a risk premium, not a free arb. I can trade it as relative value with defined risk, but there's no riskless lock — the tail it's pricing is real." - *Follow-up they may ask*: "So skew is never mispriced?" → "It can be over/under-priced versus fair, and that's a real RV trade — but it's never a riskless arbitrage, you're always bearing tail risk."

Q9. Quick: a call and a put, same strike and expiry — how are their prices related? - *Interviewer is testing*: Put-call parity, the most fundamental no-arbitrage relationship in options. - *Deep answer*: Put-call parity: $C - P = S - K \cdot e^{-rT}$ (for European options, ignoring dividends). In plain desk terms: a call minus a put at the same strike equals a (discounted) forward position in the underlying — long call + short put = synthetic long the underlying at strike K. So if I know the call, the put, and the underlying, the fourth is pinned; any deviation beyond costs is an arbitrage (a conversion/reversal). The practical uses I'd name: (1) **synthetics** — I can build a long/short underlying, or replace an expensive/illiquid leg, using the other three; if the ATM call is liquid but the put isn't, I price the put off parity. (2) **arbitrage check** — if $C - P$ strays from $S - PV(K)$, a market-maker locks it with a box/conversion. (3) It tells you calls and puts at a strike share the *same* implied vol in theory — so an IV gap between a call and put at the identical strike signals either the skew reference, a dividend/rate assumption, or a stale quote. Indian index options are European (Nifty/Bank Nifty), so parity holds cleanly; stock options being American and physically settled introduces early-exercise and settlement nuance. Say the formula, then "call minus put is synthetic underlying" — that's the intuition they want. - *Say it crisply*: "Put-call parity: $C - P = S - PV(K)$. Long call plus short put is synthetic long the underlying, so the fourth price is pinned — any real gap is a conversion arbitrage." - *Follow-up they may ask*: "Does it hold for Indian stock options?" → "Less cleanly — they're American and physically settled, so early exercise and settlement mechanics break strict parity; index options being European hold it tightly."

Q10. Estimate: Nifty at 24,000, 30 days to expiry, 15% IV. What's the ATM straddle worth, no calculator? - *Interviewer is testing*: Fast mental approximation of option value — the ability to price in your head, roughly. - *Deep answer*: Use the ATM approximation **straddle $\approx 0.8 \times S \times \sigma \times \sqrt{T}$** . Plug in: $S = 24,000$, $\sigma = 0.15$, $T = 30/365 \approx 0.082$, so $\sqrt{T} \approx 0.286$. Straddle $\approx 0.8 \times 24,000 \times 0.15 \times 0.286$. Chunk it: $24,000 \times 0.15 = 3,600$; $\times 0.286 \approx 1,030$; $\times 0.8 \approx \text{₹}825$. So the ATM straddle's worth roughly **₹800–850**, meaning each leg (call, put) $\approx \text{₹}410\text{--}420$. Sanity check via expected move: $0.15 \times \sqrt{(30/365)} \approx 0.15 \times 0.286 \approx 4.3\%$ monthly move, $\times 24,000 \approx \text{₹}1,030$ for the 1-sigma move, and the straddle at $\sim 0.8\times$ that $\approx \text{₹}825$ — consistent. The bits that make you sound seasoned: (1) I quote a *range*, not a false-precise number, because I'm approximating. (2) $\sqrt{T}$ is the workhorse — halve the days, price drops by $\sim 30\%$ ($1/\sqrt{2}$), not 50%; that non-linear time decay is the intuition. (3) Real straddle will differ for skew, rates, and the actual IV surface, so I'd treat ₹825 as the anchor and check it against the live mid. The whole point is producing a defensible number in ten seconds and knowing *why* it's roughly right. - *Say it crisply*: "Straddle $\approx 0.8 \times S \times IV \times \sqrt{T} = 0.8 \times 24,000 \times 0.15 \times 0.29 \approx \text{₹}825$, so $\sim \text{₹}410$ a leg — and I'd quote it as a range because it's an approximation." - *Follow-up they may ask*: "Weekly instead of monthly?" → " $\sqrt{T}$ shrinks by $\sim \sqrt{4} = 2$, so roughly half the monthly straddle — about ₹410 — for the same IV."

Q11. A stock's equally likely to go up 20% or down 20% each year. Expected value after two years? - *Interviewer is testing*: Volatility drag / geometric-vs-arithmetic mean — a subtle trap most people get wrong. - *Deep answer*: The trap: arithmetic intuition says " $\pm 20\%$ averages to 0%, so flat." Wrong for compounding. Track the paths from ₹100: up-up = $100 \times 1.2 \times 1.2 = 144$; up-down or down-up = $100 \times 1.2 \times 0.8 = 96$; down-down = $100 \times 0.8 \times 0.8 = 64$. Each of the four paths is equally likely ($1/4$), so **expected value = $(144 + 96 + 96 + 64)/4 = 400/4 = \text{₹}100$** — the arithmetic *expectation* is genuinely flat at ₹100. BUT the *median/typical* outcome is ₹96, a loss, because three of four paths end at or below 100 and the mean is dragged up by the

single 144 outlier. That gap is **volatility drag**: the geometric (compounded) return is negative even though the arithmetic mean is zero — $\sqrt{(1.2 \times 0.8)} = \sqrt{0.96} \approx 0.98$, so $\sim -2\%$ per year typical. Why an options interviewer loves this: it's *why* long volatility/gamma has value (you profit from the dispersion of paths, not the mean) and why leveraged/compounding products bleed in choppy markets. Say both numbers: "Expected value ₹100, but the typical path lands at ₹96 — that's vol drag, and it's the whole reason gamma is worth paying for." - *Say it crisply*: "Expected value is ₹100 — but the median path is ₹96 because up-down doesn't cancel when you compound. That gap is volatility drag, and it's exactly why long gamma has value." - *Follow-up they may ask*: "So arithmetic mean lies?" → "For compounding returns, yes — the geometric mean is what you actually earn, and it's always $\leq$ arithmetic, the gap growing with volatility."

Q12. It's expiry day, 3:15pm, Nifty is sitting exactly at 24,000 and you're short the 24,000 straddle.

What are you thinking? - *Interviewer is testing*: Deep understanding of pin risk, expiry-day gamma, and settlement mechanics under pressure. - *Deep answer*: Both my short legs are ATM with 15 minutes left — this is **peak gamma, peak pin risk**, the most dangerous spot on the board. My position delta is a hair-trigger: a small tick up and I'm suddenly short a real call delta; a tick down and I'm short a put delta — and near expiry that delta swings violently for tiny spot moves, so I can't cleanly hedge (I'd be whipsawed buying high/selling low). Best case, if Nifty pins *exactly* at 24,000 both legs expire worthless and I keep full premium — but "exactly" is a knife-edge and the settlement price is the average of the last 30 minutes (weighted), not the 3:29 tick, so it's not fully in my control. The real risks I'm managing: (1) a late move puts one leg ITM and Indian index options are cash-settled so I owe intrinsic — manageable but I'd rather square off. (2)

Pin/whipsaw — I'd generally just buy back the straddle for cheap (a few rupees each) rather than gamble on the exact pin; paying ₹5–10 to remove tail risk in the last minutes is cheap insurance. (3) If these were *stock* options I'd be far more careful — physical settlement plus the ITM-exercise STT on full contract value is a genuine trap, so I'd never let a stock option sit ATM into settlement. The mature answer: at 3:15 the edge is mostly earned and the remaining premium isn't worth the gamma lottery — I close and bank it. - *Say it crisply*: "Peak gamma and pin risk — the delta's a hair-trigger I can't hedge cleanly, so I'd just buy the straddle back for a few rupees and bank the premium rather than gamble on an exact pin, especially anything physically settled." - *Follow-up they may ask*: "But you'd give up the last ₹10 of profit?" → "Gladly — that ₹10 is a lottery ticket on the exact pin against real gamma and settlement tail risk; closing is the positive-expectancy move."